Ⓟ ICAI past papers — question paper + ICAI suggested answers

Official ICAI suggested answers (resource.cdn.icai.org), unchanged: May 2026, Jan 2026, Sep 2025, May 2025, Nov 2024 — newest first; use the bookmarks. Below: the last three papers' questions grouped by SM chapter (labels and marks ICAI's; one-line concept is app-written). Attempt each question timed before reading ICAI's answer.

Chapter	Attempt	Q	M	Concept tested
Ch 19 Professional Ethics and Liabilities of Auditors	Sep 2025	MCQ CS-I Q4	2	Clause (10) Part I Second Schedule: advance against services not kept in separate bank account; Council suggestion (key B)
Ch 19 Professional Ethics and Liabilities of Auditors	Sep 2025	MCQ Q14	2	Regulation 192: contingent fee arrangements that breach it (key C)
Ch 19 Professional Ethics and Liabilities of Auditors	Sep 2025	MCQ Q15	2	Ethical Standards Board recent decisions: assignment acceptable for audit-client engagement partner (key B)
Ch 19 Professional Ethics and Liabilities of Auditors	Sep 2025	Q1(b)	5	ICAI Guidelines for Networking: Form A name approval, name reserved 3 months, Form B registration in 3 months, Form D listing for network outside India within 30 days
Ch 19 Professional Ethics and Liabilities of Auditors	Sep 2025	Q2(b)(i)	2	NOCLAR in Code of Ethics (ICAI text: Section 260): senior professional accountant in service = director of listed entity only; unlisted so not applicable
Ch 19 Professional Ethics and Liabilities of Auditors	Sep 2025	Q2(b)(ii)	3	NOCLAR: documentation required over and above SAs (response of management/TCWG, courses of action, public-interest test)
Ch 19 Professional Ethics and Liabilities of Auditors	Sep 2025	Q5(c)	4	Section 2(2)(iv) CA Act, Council resolution: advisor to issue permitted; underwriting not permitted
Ch 19 Professional Ethics and Liabilities of Auditors	Sep 2025	Q6(c) EITHER	4	Clause (6) Part I First Schedule: responding to tender with only maximum fee prescribed, audit reserved for CAs (Council guidelines)
Ch 19 Professional Ethics and Liabilities of Auditors	Jan 2026	MCQ CS-I Q5	2	Articled assistant related to CFO: safeguard = remove from team, re-evaluate/re-perform work (key B; chapter judgement, could also sit in Ch 1)
Ch 19 Professional Ethics and Liabilities of Auditors	Jan 2026	MCQ CS-II Q9	2	Council clarifications: documents audit assistants may sign (routine correspondence, information requests) (key B)
Ch 19 Professional Ethics and Liabilities of Auditors	Jan 2026	MCQ Q15	2	Which activities need specific prior approval of Council (key B)
Ch 19 Professional Ethics and Liabilities of Auditors	Jan 2026	Q2(a)	5	Clauses (8) and (9) Part I First Schedule: incoming auditor, communication with previous auditor, ascertain Sections 139-141 compliance, special notice Section 140(4)
Ch 19 Professional Ethics and Liabilities of Auditors	Jan 2026	Q3(b)	5	Clause (10) Part I Second Schedule: client monies in separate bank account; Council suggestions; Rs 70,000 and Rs 40,000
Ch 19 Professional Ethics and Liabilities of Auditors	Jan 2026	Q4(b)	5	Clause (6) Part I First Schedule: sponsorship (ICAI PoU event with CPE approval permitted; CSR: individual name with 'CA', firm name/logo not permitted)
Ch 19 Professional Ethics and Liabilities of Auditors	Jan 2026	Q5(c)	4	Clause (10) Part I First Schedule: contingent fees; Mystery Audit permissible per Ethical Standards Board decision
Ch 19 Professional Ethics and Liabilities of Auditors	May 2026	MCQ CS-II Q9	2	CA in practice as whole-time director of non-profit Trust: specific and prior approval of Council (key C)
Ch 19 Professional Ethics and Liabilities of Auditors	May 2026	MCQ CS-III Q11	2	BRSR study by firm not permissible (Ethical Standards Board) vs advisory/BRSR Core assurance (key C)
Ch 19 Professional Ethics and Liabilities of Auditors	May 2026	Q2(b)	5	Clause (7) Part I First Schedule and ICAI Advertisement Guidelines 2008 (write-up): 'AI Professional', client turnover (also Clause (1) Part I Second Schedule), award, tagline
Ch 19 Professional Ethics and Liabilities of Auditors	May 2026	Q3(b)	5	ICAI KYC norms: information to be kept for a corporate client (general, engagement, regulatory); mandatory in

Chapter	Attempt	Q	M	Concept tested
Ch 7 Reporting	Sep 2025	MCQ CS-I Q2	2	Reporting a matter (FEMA show-cause notices) not in FS or Board report: Other Matter paragraph (key B; EOM/OMP/KAM named in options)
Ch 7 Reporting	Sep 2025	MCQ CS-II Q7	2	CARO 2020 reporting on revaluation of PPE/intangibles by Registered Valuer; amount of change (key D)
Ch 7 Reporting	Sep 2025	MCQ CS-II Q8	2	KAM for trade payables observation and qualified opinion for inventory limitation, material not pervasive (key D; modification and KAM named in options)
Ch 7 Reporting	Sep 2025	MCQ CS-III Q11	2	Early adoption of Ind AS with material disclosed effect: Emphasis of Matter paragraph (key D)
Ch 7 Reporting	Sep 2025	Q1(c)	4	CARO 2020 para 3 clause (xxi): qualifications/adverse remarks in CARO reports of companies in consolidated FS (clauses 3(i)(c), 3(ix)(a), 3(xv) in the case)
Ch 7 Reporting	Jan 2026	MCQ CS-I Q1	2	Adverse opinion: material and pervasive misstatement from change in revenue recognition policy (SA 705 concept; key C)
Ch 7 Reporting	Jan 2026	MCQ CS-I Q4	2	Management refuses to disclose pending litigation: paragraph in report (key C, Emphasis of Matter as per ICAI key)
Ch 7 Reporting	Jan 2026	Q1(a)	5	SA 705: disclaimer of opinion (management-imposed limitation, material and pervasive); drafting Disclaimer and Basis paragraphs
Ch 7 Reporting	Jan 2026	Q5(a)	5	CARO 2020 applicability and clauses (xvii) cash losses, (xi)(c) whistle-blower, (ix)(c) term loans; SA 570 note
Ch 7 Reporting	May 2026	MCQ CS-I Q3	2	CARO 2020 reporting on Rs 15 crore loan to company in which MD's spouse holds shares: Sections 185 and 186 named in options (key B or C, both shown by ICAI)
Ch 7 Reporting	May 2026	Q5(a)	5	Section 143(12) and Rule 13 Companies (Audit and Auditors) Rules 2014 (fraud below Rs 1 crore: report to Audit Committee/Board within 2 days); CARO 2020 clause 3(xi); Board's report disclosure
Ch 14 Special Features of Audit of Banks and NBFCs	Sep 2025	MCQ CS-II Q5	2	Revenue leakage in bank branch audit: interest rate/fee/penal and overdue interest shortfalls (numerical; key A/D both shown)
Ch 14 Special Features of Audit of Banks and NBFCs	Sep 2025	MCQ CS-II Q6	2	NBFC aggregate risk-adjusted value of funded assets for minimum capital ratio (numerical; key B)
Ch 14 Special Features of Audit of Banks and NBFCs	Sep 2025	Q4(a)(i)	3	Restructuring of advances (RBI prudential norms): Standard account downgraded to Sub-standard
Ch 14 Special Features of Audit of Banks and NBFCs	Sep 2025	Q4(a)(ii)	2	IRAC provisioning norms are minimum; higher bank rate (20% vs 15%) acceptable
Ch 14 Special Features of Audit of Banks and NBFCs	Jan 2026	MCQ CS-II Q12	2	NBFC approved liquid assets: safe custody with designated bank (key B)
Ch 14 Special Features of Audit of Banks and NBFCs	Jan 2026	MCQ CS-II Q7	2	NBFC (ICC) minimum Net Owned Fund by 31 March 2027 (key C)
Ch 14 Special Features of Audit of Banks and NBFCs	Jan 2026	MCQ CS-II Q8	2	NBFC asset classification and minimum provision on NPA with secured/unsecured portions (numerical; key C)
Ch 14 Special Features of Audit of Banks and NBFCs	Jan 2026	Q6(b)	5	Bank audit of investments: segregation of duties, outstanding Bank Receipts, AFS to HTM transfer approval
Ch 14 Special Features of Audit of Banks and NBFCs	May 2026	MCQ Q14	2	Bank asset classification: working-capital limit overdue for renewal, NPA norms (key C; AS 4 named in options)

Chapter	Attempt	Q	M	Concept tested
Ch 2 General Auditing Principles and Auditor's Responsibilities	Sep 2025	Q2(a)	5	SA 250: two categories of laws (direct effect vs other laws); Fire NOC non-compliance; adverse/qualified opinion if not reflected
Ch 2 General Auditing Principles and Auditor's Responsibilities	Jan 2026	Q5(b)	5	SA 240: fraud risk factors (incentives/pressures, opportunities) for fraudulent financial reporting
Ch 2 General Auditing Principles and Auditor's Responsibilities	Jan 2026	Q6(c) OR	4	SA 240: exceptional circumstances, withdrawal from engagement on fraud
Ch 2 General Auditing Principles and Auditor's Responsibilities	May 2026	MCQ CS-I Q2	2	Laws not directly affecting FS but fundamental to operations: auditor limited to specified procedures (inquiry, inspection) to identify non-compliance (key A; SA 250 concept in SM Ch 2)
Ch 2 General Auditing Principles and Auditor's Responsibilities	May 2026	MCQ CS-II Q7	2	Service organisation Type 2 report: reference to service auditor in report to be removed, additional procedures on controls (key B; SA 402 in SM Ch 2)
Ch 2 General Auditing Principles and Auditor's Responsibilities	May 2026	Q2(a)	5	SA 260: significant qualitative aspects of accounting estimates (discount rate) and significant difficulties (delay); other significant findings to TCWG
Ch 5 Audit Evidence	Sep 2025	Q5(b)	5	SA 505 / SA 500: reliability of confirmation responses received indirectly via management; additional evidence, fraud risk
Ch 5 Audit Evidence	Jan 2026	MCQ CS-I Q2	2	Unable to observe stock count, immaterial balance, alternative procedures done: no modification (key D; SA 501 concept from wording)
Ch 5 Audit Evidence	Jan 2026	MCQ CS-I Q3	2	Related party loan not disclosed: assess material misstatement and request disclosure (key A/C both shown; SA 550 concept from wording)
Ch 5 Audit Evidence	May 2026	Q1(a)	5	SA 580 (representation not sufficient evidence) and SA 501 (direct communication with external legal counsel); additional procedures; modified opinion under SA 705 if no evidence
Ch 5 Audit Evidence	May 2026	Q4(a)	5	SA 500: information prepared by management's expert (CTO): competence, capabilities, objectivity; understand work; evaluate as audit evidence
Ch 10 Review of Financial Information	Sep 2025	Q3(c)	4	SRE 2410: objective of engagement to review interim financial information
Ch 10 Review of Financial Information	Sep 2025	Q6(b)	5	SRE 2410: areas management written representations should cover
Ch 10 Review of Financial Information	Jan 2026	Q2(c)	4	SRE 2400: how analytical procedures assist in a review of FS
Ch 10 Review of Financial Information	May 2026	Q4(b)	5	SRE 2400: management does not provide written representations: discuss, re-evaluate integrity, disclaim conclusion or withdraw
Ch 18 SDG and ESG Assurance	Sep 2025	MCQ Q13	2	BRSR Core: assurance provider methodology steps (key C)
Ch 18 SDG and ESG Assurance	Sep 2025	Q4(c)	4	ESG Social pillar and its elements (human capital, product liability, stakeholder opposition, social opportunity)
Ch 18 SDG and ESG Assurance	Jan 2026	MCQ Q14	2	BRSR / National Guidelines on Responsible Business Conduct: principle not adhered to (Principle 3) (key C)
Ch 18 SDG and ESG Assurance	Jan 2026	Q4(c)	4	Integrated Reporting capitals: Human Capital and Manufactured Capital
Ch 18 SDG and ESG Assurance	May 2026	MCQ CS-III Q10	2	BRSR principle-wise disclosures: chamber membership and inputs to legislative bill, Essential vs Leadership indicators (key D)
Ch 18 SDG and ESG Assurance	May 2026	Q4(c)	4	BRSR Principle 6, Protection and Restoration of Environment: core elements

Chapter	Attempt	Q	M	Concept tested
Ch 12 Digital Auditing and Assurance	Jan 2026	MCQ Q13	2	Cyber-attack type: Denial-of-Service (key C)
Ch 12 Digital Auditing and Assurance	Jan 2026	Q3(c)	4	RPA: key audit implications and common risks
Ch 12 Digital Auditing and Assurance	May 2026	MCQ CS-II Q6	2	Social engineering types: whaling (Chairman email), smishing (SMS), vishing (phone) (key A)
Ch 12 Digital Auditing and Assurance	May 2026	Q2(c)	4	SA 315: evaluating entity's risk assessment process for cybersecurity risks (asset inventory, governance, CISO/CIO)
Ch 17 Due Diligence, Investigation and Forensic Accounting	Sep 2025	Q6(c) OR	4	Investigating commission-scheme fraud (fictitious billing by salesmen): procedures of investigating accountant
Ch 17 Due Diligence, Investigation and Forensic Accounting	Jan 2026	Q6(a)	5	Steps in conducting due diligence
Ch 17 Due Diligence, Investigation and Forensic Accounting	May 2026	MCQ CS-III Q12	2	Forensic investigation vs statutory audit: inappropriate statement (key A)
Ch 17 Due Diligence, Investigation and Forensic Accounting	May 2026	Q6(b)	5	Investigating accountant: considerations in evaluating Fixed Assets (age analysis, obsolescence, title deeds, maintenance, revaluation, impairment AS 28, idle assets)
Ch 3 Audit Planning, Strategy and Execution	Sep 2025	MCQ CS-III Q10	2	Procedures to evaluate relevance and reasonableness of expert's findings and consistency with other evidence (key B)
Ch 3 Audit Planning, Strategy and Execution	Sep 2025	Q3(b)	5	SA 540: matters to evaluate on estimation uncertainty for estimate with significant risk (warranty provision)
Ch 3 Audit Planning, Strategy and Execution	Jan 2026	Q1(b)	5	SA 450: evaluating uncorrected misstatements (reassess SA 320 materiality, aggregate); communication to TCWG under SA 260
Ch 3 Audit Planning, Strategy and Execution	May 2026	MCQ CS-I Q5	2	Auditor's valuation expert: failure to evaluate adequacy incl. relevance and reasonableness of assumptions and methods (key B; SA 620 in SM Ch 3)
Ch 3 Audit Planning, Strategy and Execution	May 2026	MCQ CS-II Q8	2	Using internal auditors: only tracing transactions and hardware counts appropriate, going-concern evaluation is external auditor's (key D; SA 610 in SM Ch 3)
Ch 15 Audit of PSUs	Sep 2025	Q2(c)(i)	2	Compliance audit: concept and perspective (with FS audit / separate / with performance audit)
Ch 15 Audit of PSUs	Sep 2025	Q2(c)(ii)	2	Compliance auditing is concerned with regularity and propriety
Ch 15 Audit of PSUs	Jan 2026	Q3(a)	5	Propriety audit by C&AG; its principles
Ch 15 Audit of PSUs	May 2026	MCQ Q15	2	Parliamentary Committee for public enterprises' policies not leading to desired results (key D, Estimates Committee)
Ch 15 Audit of PSUs	May 2026	Q6(c) OR	4	Performance audit: efficiency (input-output) aspects for a government programme
Ch 4 Materiality, Risk Assessment and Internal Control	Sep 2025	MCQ CS-III Q9	2	Control activities: information processing controls (edit checks, access authorisation) (key D)
Ch 4 Materiality, Risk Assessment and Internal Control	Sep 2025	Q6(a)	5	SA 265: communicate significant deficiencies in internal control in writing to TCWG and management; contents
Ch 4 Materiality, Risk Assessment and Internal Control	Jan 2026	MCQ CS-I Q6	2	Auditor's responsibility on internal control: ICFR, material weakness, significant deficiencies to TCWG; CARO clause (xiii) option is the odd one (key D)
Ch 4 Materiality, Risk Assessment and Internal Control	Jan 2026	Q2(b)	5	Principles of adequate internal check (no single control, rotation of duties, custody vs records); effect on inherent and control risk

Chapter	Attempt	Q	M	Concept tested
Ch 1 Quality Control	Sep 2025	Q1(a)	5	SQC 1 / SA 220: EQCR must be suitably experienced (listed entity) and must document EQCR review; signing a few working papers is not enough
Ch 1 Quality Control	Jan 2026	Q1(c)	4	SQC 1: Leadership responsibilities for quality within the firm; three considerations
Ch 1 Quality Control	May 2026	MCQ CS-I Q1	2	EQCR objective evaluation for listed entities: which option is a lapse (key B); standard not named in key (SQC 1 / SA 220 in SM Ch 1)
Ch 13 Group Audits	Sep 2025	MCQ CS-I Q3	2	Which item is NOT a current-period consolidation adjustment: goodwill/capital reserve determination (key C)
Ch 13 Group Audits	Sep 2025	Q3(a)	5	Other Matter paragraph (SA 706) in consolidated report where subsidiaries audited by other auditors; aggregate assets/revenues/cash flows; foreign subsidiary conversion adjustments (drafting)
Ch 13 Group Audits	Jan 2026	MCQ CS-II Q11	2	Ind AS 110 (named): notes in separate FS not needed in consolidated FS (key A)
Ch 13 Group Audits	May 2026	MCQ Q13	2	Consolidation: unrealised profit elimination, deferred tax, customer insolvency as subsequent event (numerical; key D)
Ch 6 Completion and Review	May 2026	MCQ CS-I Q4	2	Fire after audit report signed but before FS issued; management refuses to amend: notify TCWG not to issue FS, steps to prevent reliance (key C; subsequent events, SA 560 in SM Ch 6)
Ch 6 Completion and Review	May 2026	Q1(b)	5	SA 560 non-adjusting event after balance sheet date; Emphasis of Matter paragraph under SA 706 with drafted paragraph; opinion not modified
Ch 6 Completion and Review	May 2026	Q3(c)	4	SA 570: going concern with disclosed material uncertainty: unmodified opinion plus 'Material Uncertainty Related to Going Concern' section
Ch 8 Specialised Areas	Sep 2025	Q5(a)	5	SA 810: procedures for report on summary (abridged) financial statements
Ch 8 Specialised Areas	Jan 2026	Q4(a)	5	SA 810: auditor's report on summary FS when audit report has qualified (i) / adverse (ii) opinion
Ch 11 Prospective Financial Information and Other Assurance Services	Jan 2026	Q6(c) EITHER	4	SAE 3400: duties when examining Prospective Financial Information
Ch 11 Prospective Financial Information and Other Assurance Services	May 2026	Q6(a)	5	SAE 3400: matters considered in deciding nature, timing and extent of examination procedures on PFI
Ch 16 Internal Audit	Jan 2026	MCQ CS-II Q10	2	Audit trail: IT controls (unique user IDs, authorised configuration changes) to show feature is functional (key C; SM Ch 16 section 9)
Ch 16 Internal Audit	May 2026	Q5(b)	5	SIA 390 Monitoring and Reporting of Prior Audit Issues: follow-up; Action Taken Report to Audit Committee and its contents
Ch 9 Related Services	May 2026	Q1(c)	4	SRS 4410 Compilation Engagements: engagement documentation requirements

PAPER – 3: ADVANCED AUDITING, ASSURANCE AND PROFESSIONAL ETHICS

PART – I Multiple Choice Questions

Integrated Case Scenario - I

Myra Developers Ltd. ('MDL') is a prominent, publicly listed conglomerate primarily engaged in the development of "Smart City" infrastructure and large-scale urban transit systems. The Company currently manages several high-value projects under the Service Concession Arrangement (SCA) model. Effective Financial Year 2025-26, M/s. MS & Associates, Chartered Accountants were re-appointed as the statutory auditors, for a period of five years, with CA Raja as the Engagement Partner. To comply with the firm's quality control policies for high-risk listed clients, CA Puja was designated as the Engagement Quality Control Reviewer (EQCR).

The audit environment became increasingly complex during the final quarter of the year. A primary area of concern involved the valuation of Service Concession Assets, which are valued based on discounted future cash flows from projected toll collections and government subsidies. Due to the high degree of estimation uncertainty and specialized mathematical models involved, CA Raja determined this to be a "significant risk" area. To address this, the firm engaged a third-party valuation specialist. CA Raja verified the expert's professional membership and checked two previous project reports the expert had completed for other firms. However, he chose not to delve into the specific discount rates or growth assumptions used in the current model, citing that his decade-long experience in construction auditing provided him with enough "intuitive comfort" to accept the expert's final figures without further technical challenge.

As the audit progressed into April 2026, the engagement team flagged a transaction involving an unsecured, interest-free loan of ₹ 15 crores extended to Emerald Ventures Private Ltd. Investigation revealed that the spouse of MDL's Managing Director holds a 30% equity stake in Emerald Ventures. The Board was just informed about this transaction without any specific details and the board approvals were entirely bypassed. When confronted, the CFO argued that the loan was a 'temporary bridge' for a sub-contractor and that the amount was negligible,

representing less than 1% of MDL's total asset base and thus did not warrant any disclosure.

Concurrent with the financial review, the team evaluated MDL's compliance with broader regulatory frameworks. It was discovered that the Environmental Management Authority had issued a 'Show Cause Notice' to MDL for failing to renew the mandatory operating licenses for three major project sites. These licenses are fundamental to the Company's legal right to operate, while these projects continued to generate revenue and no financial penalties had been crystallized by the balance sheet date. CA Raja noted the non-compliance in the working papers but concluded that since it had no 'direct effect' on the calculation of the current year's depreciation or revenue, it did not require specific procedures beyond a standard management representation letter.

The audit report was formally signed dated May 15, 2026. However, a week later, on May 22, 2026, before the Company had printed and dispatched the annual reports to the shareholders, a catastrophic fire occurred at the Company's central logistics hub. The fire decimated specialized equipment and inventory worth ₹40 crores. Since the insurance policy for that specific hub had lapsed two months prior, the loss was total. When CA Raja requested management to adjust the financial statements or at least include a detailed note for the subsequent event, the Board refused, claiming that auditor's responsibility for FY 2025-26 accounts ended the moment the audit report was signed off.

Based on the above facts, answer the following ***Q. Nos. 1 to 5*** *by choosing the most appropriate option:*

1. *Considering the mandatory requirements for listed entities, which of the following represents a lapse in objective evaluation of an EQCR?*

   (A) EQCR has made a review of the financial statements and the proposed auditor's report.

   (B) EQCR did not specifically evaluate and document the engagement team's assessment of the firm's independence prior to report finalization.

   (C) EQCR disagreed with the engagement partner's reporting conclusion but escalated the matter to the firm's technical committee as per policy.

   (D) EQCR restricted the detailed review to areas involving significant judgment instead of reviewing all routine audit documentation.

(2 Marks)

2. *Regarding the "Show Cause Notice" and the expired environmental licenses, how should the auditor's responsibility be categorized under the standards on auditing?*

   (A) The auditor's responsibility is limited to performing specified audit procedures, specifically inquiry and inspection, to identify non-compliance that may have a material effect on the financial statements.

   (B) The auditor must obtain sufficient appropriate audit evidence regarding compliance because these regulations have a direct effect on the determination of material amounts and disclosures.

   (C) Since the non-compliance is "fundamental to the operating aspects," the auditor must treat this as a "direct effect" law and perform extensive substantive testing on all environmental filings.

   (D) No responsibility exists under the auditing standards because the legal non-compliance had not resulted in a quantified financial penalty or "direct" monetary misstatement by the year-end. ***(2 Marks)***

3. *Given the dispute over the ₹ 15 crore loan to a Company in which the MD's spouse held shares, what is the mandatory reporting requirement for M/s. MS & Associates under CARO 2020?*

   (A) Since the amount is less than 1% of the total assets, it is considered "immaterial" for CARO purposes and no mention is required.

   (B) The auditor must state whether the provisions of Section 185 and 186 have been complied with, and since they have not, provide the specific details of the non-compliance.

   (C) The auditor should report this under the "Related Party Transactions" clause of CARO only if the transaction was not at "arm's length," regardless of Section 185 compliance.

   (D) Because the transaction involves a spouse and not the Director directly, Section 185 is not triggered, and thus no reporting is required under CARO. ***(2 Marks)***

4. *Following the warehouse fire on May 22, 2026, and management's subsequent refusal to amend the financial statements, which is the most appropriate course of action for CA Raja?*

(A) *He should issue a "Qualified Opinion" immediately, dating the new report May 22, 2026, to account for the unadjusted inventory loss.*

(B) *As the report is already signed, he should inform the management that he will "withdraw" his signature, effectively cancelling the previous report via a public notice.*

(C) *He must notify those charged with governance not to issue the financial statements to third parties; if they are still issued, he must take steps to prevent reliance on the report.*

(D) *He should include an "Emphasis of Matter" paragraph in the next year's audit report (FY 2026-27) to explain the loss that occurred in the previous period.* ***(2 Marks)***

5. *CA Raja's reliance on the valuation expert's findings for the Service Concession Assets was based on his 'intuitive comfort' and the expert's professional credentials. With reference to relevant Standard on Auditing, which of the following statements is appropriate?*

(A) *CA Raja's approach is appropriate because an auditor is not expected to review the assumptions and methods of a specialized valuer and is entitled to rely on the expert's professional membership as sufficient evidence of the reliability of the work.*

(B) *CA Raja failed to meet the requirements of the standards because he did not evaluate the adequacy of the expert's work, which includes evaluating the relevance and reasonableness of the expert's significant assumptions and methods.*

(C) *The auditor's reliance is technically deficient because the engagement of a third-party expert for a 'significant risk' area automatically requires the Engagement Quality Control Reviewer to perform an independent re-calculation of the model.*

(D) *CA Raja acted correctly by focusing on the expert's previous project reports for other firms, as this fulfils the requirement to obtain a sufficient understanding of the expert's field of expertise to verify the final valuation figures.* ***(2 Marks)***

Integrated Case Scenario - II

Horizon Tech-Solutions Ltd. (HTSL) is a prominent, unlisted public company specializing in providing end-to-end cloud infrastructure and digital transformation services. M/s. JK & Associates, Chartered Accountants were the Statutory Auditors, with CA Vicky as the engagement partner for third consecutive year. HTSL's operations are highly decentralized, with its primary revenue driver being the 'HR-Flow' platform. To maintain cost efficiency, HTSL has outsourced its entire data processing and payroll calculation engine to Data-Sync Private Ltd. (DSPL). During the audit planning phase in October 2025, the CFO, Mr. Rane, received an urgent email from an address nearly identical to the Group Chairman's, requesting a 'discreet' $50,000 wire transfer for an undisclosed project. Simultaneously, several junior staff members in the accounts department reported receiving urgent SMS alerts claiming their corporate login credentials had expired and providing a link to a 'Security Portal' to prevent account lockout. Later, in December 2025, the IT Manager was contacted by a person claiming to be from the Company's telecom provider, who successfully convinced him to reveal the administrative password for the VoIP gateway over a recorded 'verification call'.

As the audit progressed into the finalization stage, HTSL provided CA Vicky with a Type 2 Report for DSPL. This report covered the description, design and operating effectiveness of controls at DSPL. CA Vicky's audit assistant, noting that payroll costs constitute 68% of the total expenditure, drafted an unmodified audit report including a paragraph stating: "Our opinion is based in part on the report of the service organization's auditor, which confirms the effectiveness of the payroll processing engine." To meet the reporting deadline, CA Vicky decided to utilize the internal audit function. He assigned them to trace transaction flows from the CRM to the general ledger and to attend the physical verification of high-value hardware at four remote data centers. However, he also asked them to 'independently evaluate' whether the Management's assessment of the Company's ability to continue as a going concern was 'reasonable' given a recent loss of a major contract.

Meanwhile, CA Anaya, a senior partner at the firm, was offered the role of 'Whole-time Director' at a reputable non-profit educational Trust. While she has no financial interest in the Trust, the role involves significant administrative responsibilities and a fixed monthly honorarium.

Based on the above facts, answer the following ***Q. Nos. 6 to 9*** *by choosing the most appropriate option:*

6. *Considering the various security breaches described (the Chairman's email, the SMS alerts, and the password disclosure over the phone), which of the following accurately categorizes the nature of these social engineering attacks for the purpose of the Risk Assessment and Internal Control evaluation?*

   (A) The Chairman impersonation email represents Whaling; the SMS credential reset alerts represent Smishing; and the password extraction through the verification call represents Vishing.

   (B) The Chairman impersonation email represents Spear-phishing; the SMS alerts represent Smishing; and the phone-based credential extraction represents Vishing.

   (C) The Chairman impersonation email and the phone-based password extraction both represent Whaling due to targeting employees in sensitive control positions, while the SMS alerts represent Smishing.

   (D) All three incidents represent targeted Spear-phishing attempts using different communication channels. ***(2 Marks)***

7. *CA Vicky is reviewing the audit report draft prepared by his assistant regarding the reliance on the Type 2 report of DSPL. Considering the materiality of payroll, which of the following is the most appropriate professional response?*

   (A) The assistant is correct; because the payroll cost is a material 68% a reference to the service auditor is necessary to limit M/s JK & Associates' liability.

   (B) The reference should be removed from the report; however, CA Vicky must perform additional procedures to obtain an understanding of the controls at the service organization.

   (C) The reference should be moved to an 'Emphasis of Matter' paragraph to highlight the significant reliance on the service auditor's Type 2 report without modifying the opinion.

(D) *The reference is permitted only if CA Vicky issues a 'Qualified Opinion', as the use of services of DSPL constitute a limitation on the scope of the statutory audit.* ***(2 Marks)***

8. *CA Vicky has assigned several tasks to the internal audit function. Evaluate the appropriateness of these assignments under the framework of using the work of internal auditors.*

(A) *All assigned tasks (tracing transactions, hardware counts, and evaluating going concern) are appropriate as they pertain to the operating effectiveness of the entity's reporting framework.*

(B) *Tracing transactions and attending hardware counts are inappropriate for internal auditors as these are core substantive procedures that must be performed by the engagement team to ensure independence.*

(C) *Only the evaluation of the going concern is inappropriate; however, the internal auditors can perform hardware counts only if CA Vicky provides 'direct assistance' supervision throughout the process.*

(D) *Only the tracing of transactions and hardware counts are appropriate; the evaluation of the going concern assumption involves significant judgment and is the sole responsibility of the external auditor.*

(2 Marks)

9. *Regarding CA Anaya's offer to become a Whole-time Director at the educational Trust. Which of the following is most appropriate in the background of professional guidelines issued by the Institute?*

(A) *Since she holds no 'substantial interest' and the entity is a non-profit, she can accept the role without any notification to the Institute, provided the honorarium is below the prescribed limit.*

(B) *She can accept the role only if she resigns as a partner from M/s. JK & Associates, as a member cannot simultaneously be in 'Full-time Practice' and 'Full-time Employment as a Director.*

(C) *She may accept the role of a Whole-time Director only after obtaining the specific and prior approval of the Council, regardless of whether the entity is a business or a non-business concern.*

(D) She is permitted to accept the role under the "General Permission' category of the Institute, provided she informs the Council within 30 days of joining the trust. ***(2 Marks)***

Integrated Case Scenario - III

M/s. Sterling & Co LLP, Chartered Accountants are the statutory auditors of Green-Horizon Infrastructure Ltd. (GHIL), a listed entity. The management has requested the firm to draft and finalize their comprehensive Business Responsibility & Sustainability Report (BRSR) for the current fiscal year.

CA Prem, the engagement partner, reviewed the section concerning the Company's influence on public and regulatory policy. The Company is a prominent "Platinum Member" of the National Infrastructure Council (NIC) and the Renewable Energy Federation (REF), paying substantial annual fees to these industry chambers. Additionally, the Company's CEO served as a key member of a Ministry-led task force that drafted the "National Green Hydrogen Policy 2024", providing extensive technical inputs on subsidies and regulatory easing. The Company also submitted a formal white paper to the Ministry of Power suggesting specific amendments to the Electricity Act regarding grid access. During the year, it had also submitted to one of the industry chambers certain key inputs on leveraging India's power infrastructure for creating renewable energy solutions as its task force member on the subject.

The Managing Director argues that since the auditors are already the designated "Assurance Provider of BRSR Core" as per SEBI requirements, having them also prepare the underlying study would ensure maximum data consistency. He further contends that the firm can legally provide both preparation and assurance services for the same BRSR framework to an audit client.

GHIL is currently undergoing an ₹ 80 crore expansion, called the 'Green Data Park'. The budget is allocated as ₹45 crore for cooling systems, ₹30 crore for civil construction (steel and cement), and ₹ 5 crore for licensing. An internal whistleblower alleged that the civil contractor, in collusion with the Project Manager, submitted invoices for 'Grade-A Steel' while installing 'Grade-B' material, pocketing the price difference. The Board is now debating the technical distinction between the two, asking CA Prem to perform 'extended audit procedures' on these construction invoices versus appointing a separate firm for a 'Forensic Accounting' engagement.

Based on the above facts, answer the following ***Q. Nos. 10 to 12*** *by choosing the most appropriate option:*

10. *How the above information would likely to be disclosed by GHIL in "principle-wise performance disclosures" as a part of BRSR for the current year? Select the correct option.*

    (A) Information relating to membership of Chamber/associations is in the nature of Leadership Indicators and requires optional disclosures. Information relating to inputs provided by company to the Ministry of Power on a legislative bill is in the nature of Essential Indicators and requires mandatory disclosures.

    (B) Information relating to membership of Chamber/associations is in the nature of Leadership Indicators and requires mandatory disclosures. Information relating to inputs provided by company to the Ministry of Power on a legislative bill is in the nature of Leadership Indicators and requires mandatory disclosures.

    (C) Information relating to membership of Chamber/associations is in the nature of Essential Indicators and requires optional disclosures. Information relating to inputs provided by company to the Ministry of Power on a legislative bill is in the nature of Leadership Indicators and requires mandatory disclosures.

    (D) Information relating to membership of Chamber/associations is in the nature of Essential Indicators and requires mandatory disclosures. Information relating to inputs provided by company to the Ministry of Power on a legislative bill is in the nature of Leadership Indicators and requires optional disclosures. ***(2 Marks)***

11. *Select the correct option with reference to professional code of conduct applicable for the M/s. Sterling & Co LLP who are involved in preparation of BRSR study, providing advisory services, and acting as BRSR Core Assurance provider?*

    (A) Preparation of BRSR study by M/s. Sterling & Co LLP is permissible by recent decisions of Ethical Standards Board for the same client. However, providing advisory services or acting as BRSR Core Assurance provider is not permissible as per SEBI framework for the same client.

(B) *Preparation of BRSR study or providing advisory services by M/s. Sterling & Co LLP is permissible by recent decisions of Ethical Standards Board for the same client. However, acting as BRSR Core Assurance provider is not permissible as per SEBI framework for the same client.*

(C) *Preparation of BRSR study by M/s. Sterling & Co LLP is not permissible by recent decisions of Ethical Standards Board for the same client. However, providing advisory services or acting as BRSR Core Assurance provider is permissible as per SEBI framework for the same client.*

(D) *Preparation of BRSR study or acting as BRSR Core Assurance provider by M/s. Sterling & Co LLP is not permissible by recent decisions of Ethical Standards Board for the same client. However, providing advisory services is permissible as per SEBI framework for the same client.*

(2 Marks)

12. *The Board is debating the forensic investigation for the steel price inflation in the "Green Data Park". Which of the following statements is inappropriate in this regard?*

(A) *In statutory audit individual transactions and balances play a major role irrespective of the fact whether they have a material impact on the overall financial statements,*

(B) *The Forensic professional does not conduct an audit using sample selection methodologies to perform substantive or compliance tests.*

(C) *No audit report with any opinion is issued by Forensic Professional.*

(D) *The Forensic Professional's mandate is limited to present his findings to a superior authority who will examine these from a legal point of view to establish whether the law has been violated or not.* ***(2 Marks)***

13. *Virup Global Holdings Ltd. (VGHL) is preparing Consolidated Financial Statements for the year ended March 31, 2026. VGHL owns 80% of Nexus Systems Private Ltd. (NSPL). During the year, VGHL sold goods to NSPL at a 25% markup on cost. At year end, 40% of these goods remained unsold in NSPL's inventory. The applicable tax rate is 30%.*

The group prepares consolidated financial statements under Ind AS. Separately, NSPL had a customer receivable of ₹ 4 crore outstanding as at

March 31, 2026. On May 15, 2026, the customer was declared insolvent following a fire incident that occurred on March 30, 2026 in his factory.

The required consolidation adjustments and treatment of subsequent events is

(A) Unrealised profit elimination equals 10% of intercompany sales value, deferred tax adjustment is not required, and the customer insolvency is treated as a non-adjusting event requiring disclosure only.

(B) Unrealised profit elimination equals 40% of intercompany profit only, deferred tax adjustment is not required on consolidation entries, and the customer insolvency is treated as a non-adjusting event.

(C) Unrealised profit elimination equals 25% of closing inventory value, deferred tax adjustment is optional based on materiality, and the customer insolvency is treated as a disclosure event only.

(D) Unrealised profit elimination equals 8% of intercompany sales value, deferred tax adjustment is required on unrealised profit elimination, and the customer insolvency is treated as an adjusting event requiring recognition of impairment. ***(2 Marks)***

14. *During the statutory branch audit of ABC Bank for the financial year ended March 31, 2026, you are reviewing the credit portfolio of the Corporate Banking division. One significant exposure involves G-Mart Ltd., which was granted a working capital credit limit of ₹ 100 lakh on September 1, 2023. According to the bank's internal policy and regulatory norms, these limits were due for a comprehensive renewal on September 1, 2025.*

Upon scrutiny, you observe that as of March 31, 2026, the formal renewal had not been executed, despite more than 180 days having elapsed since the due date. The Branch Manager contends that the account is "perfectly healthy", noting that the balance has remained within the sanctioned Drawing Power, interest has been serviced promptly, and the account shows high turnover. The delay is attributed to the sudden demise of G-Mart Ltd.'s

statutory auditor, which stalled the finalization of audited financial statements required for renewal.

A letter dated February 15, 2026, from the client confirms that a new auditor was appointed and the audited financial statements were finally submitted on April 10, 2026, and the bank issued the formal renewal letter on April 12, 2026, prior to the signing of your branch audit report.

Your audit assistant argues that because the 180-day grace period expired during the financial year without a formal renewal, the account's status is non-negotiable and must be downgraded to NPA.

As the Statutory Branch Auditor, how should you evaluate the asset classification of G-Mart Ltd.'s account for the year ended March 31, 2026?

(A) Classify as NPA, the 180-day grace period from the due date expired prior to the balance sheet date, making the account technically irregular regardless of the reason for delay.

(B) Classify as NPA; it is a non-adjusting event under AS 4 "Contingencies and Events Occurring after the Balance Sheet date". There is no matter of substance over form.

(C) Classify as Standard; it is an adjusting event under AS 4 "Contingencies and Events Occurring after the Balance Sheet date". It is a matter of substance over form.

(D) Classify as NPA; however, the classification can be reversed in the same financial year's audit report if the renewal is completed before the independent auditor's report is signed. ***(2 Marks)***

15. *The examination of public enterprises by the Committee takes the form of comprehensive appraisal or evaluation of performance of the undertaking. It involves a thorough examination, including evaluation of the policies, programmes and financial working of the undertaking. Therefore, the Parliament and the State Legislatures have, for this purpose, constituted specialized Committees. Funds were approved to procure medical equipment*

for district hospitals. Audit reports show that 30% of the equipment remains unused due to lack of trained staff. Which Committee can bring to the notice of the house that the particular policy is not leading to the desired results or is leading to waste:

(A) Committee on Public Undertakings.

(B) Public Accounts Committee.

(C) Financial Committee.

(D) Estimates Committee. ***(2 Marks)***

Answer Key

MCQ No.	Correct Option
1.	(B)
2.	(A)
3.	(B) OR (C)
4.	(C)
5.	(B)
6.	(A)
7.	(B)
8.	(D)
9.	(C)
10.	(D)
11.	(C)
12.	(A)
13.	(D)
14.	(C)
15.	(D)

PART – II Descriptive Questions

*Question No.**1** is compulsory.*

*Candidates are required to answer any **four** questions from the remaining **five** questions.*

Working notes should form part of the answer.

Question 1

(a) The statutory audit of Nizovus Pharmaceuticals Ltd., for the financial year 2025-26, is underway. During the review of "Professional and Legal Fees" ledger, the engagement team noted a significant payment to a high-profile law firm specializing in Intellectual Property (IP) disputes. The management, during initial inquiries, stated that the payment was for 'general advisory services and that no active litigation exists that requires disclosure under the applicable financial reporting framework. However, the minutes of the Board Meeting from February 2026 hint at a potential significant patent infringement claim from a global competitor.

The engagement partner, CA Rukma, insisted on sending a letter of direct inquiry to the external legal counsel to assess the probability of an outflow of resources. The management has refused to permit this communication, citing 'confidentiality clauses' in their contract with the law firm. They have offered to provide a comprehensive written representation confirming that no material litigations are pending. CA Rukma is concerned about the management's stand and non-availability of direct confirmation from the lawyers.

Is management's written representation sufficient in place of legal confirmation? Advise CA Rukma, about the additional audit procedures and reporting implications, if legal confirmation is denied. ***(5 Marks)***

(b) Hortiko Ltd. is a logistics company that maintains its primary inventory and research assets in a specialized cold-storage facility. On April 5, 2026, a massive technical failure in the cooling systems led to the spoilage of specialized raw materials valued at ₹21 crore. This event occurred after the balance sheet date but before the financial statements were authorized for issue.

Management has determined this to be a 'non-adjusting event' and has provided a detailed disclosure in Note 28 to the Financial Statements,

explaining the financial impact and the status of the insurance claim. The statutory auditor, after performing subsequent event procedures, is satisfied with the disclosure and has concluded that the matter is fundamental to the users' understanding of the financial statements. However, the auditor has also confirmed that this event does not impact the 'Going Concern' assumption for the foreseeable future.

Considering the above facts, state the reporting requirements under relevant Standard on Auditing and draft a suitable paragraph to be included in the Independent Auditor's Report. ***(5 Marks)***

(c) *CA Pawan is engaged by M/s RK Industries, a partnership firm to compile its financial statements for the past two financial years. During performance of the engagement, CA Pawan, was not satisfied with certain significant adjustments made to inventory valuation over the years. The matter was subsequently resolved after obtaining appropriate clarifications from the management. Further, at the completion stage, CA Pawan, has provided the final compiled statements along with the compilation report to M/s RK Industries.*

You are required to explain the documentation requirements that should be adhered to by CA Pawan for this type of engagement. ***(4 Marks)***

Answer

(a) SA 580 "Written Representations" deals with the auditor's responsibility to obtain written representations from management and, where appropriate, those charged with governance. Although written representations provide necessary audit evidence, they do not provide sufficient appropriate audit evidence on their own about any of the matters with which they deal. Furthermore, the fact that management has provided reliable written representations does not affect the nature or extent of other audit evidence that the auditor obtains about the fulfilment of management's responsibilities or about specific assertions.

Further, SA 501 "Audit Evidence - Specific Considerations for Selected Items", states that when audit procedures performed indicate that material litigation or claims may exist, the auditor shall seek direct communication with the entity's external legal counsel. The auditor shall do so through a letter of inquiry prepared by management and sent by the auditor,

requesting the entity's external legal counsel to communicate directly with the auditor.

In the given situation, significant payment to an IP litigation law firm, references in Board minutes to a possible patent infringement claim, and management's refusal to allow direct communication with legal counsel indicate a significant audit risk. As the matter may involve a contingent liability requiring disclosure or provision, she should not rely solely on management representation in this matter. The refusal to permit direct communication with external legal counsel is a significant audit concern and may indicate a scope limitation and risk of material misstatement relating to contingent liabilities and litigation disclosures.

Accordingly, CA Rukma shall design and perform additional audit procedures in order to identify litigation and claims involving the entity by:

- Inquiry of management and, where applicable, others within the entity including in-house legal counsel.
- Reviewing minutes of meetings of those charged with governance and correspondence between the entity and its external legal counsel.
- Reviewing legal expense account.

CA Rukma should express the modified opinion in accordance with SA 705 "Modifications to the Opinion in the Independent Auditor's Report", if she could not communicate with external legal counsel and unable to obtain sufficient appropriate audit evidence by performing additional audit procedures.

(b) In the given case of Hortiko Ltd, a technical failure in the cold-storage facility on April 5, 2026, resulted in spoilage of raw materials worth ₹ 21 crore after the balance sheet date but before authorization of the financial statements. Management has appropriately treated the matter as a non-adjusting event and disclosed the financial impact and insurance claim details in Note 28. The statutory auditor, after performing subsequent event procedures under SA 560, is satisfied that adequate disclosure has been made and has also concluded that the event does not affect the going concern assumption. However, as the matter is fundamental to the users' understanding of the financial statements, the auditor should include an

Emphasis of Matter paragraph in accordance with SA 706, while expressing an unmodified opinion.

When the auditor includes an Emphasis of Matter Paragraph in the auditor's report, the auditor shall:

(i) Include the paragraph within a separate section of the auditor's report with an appropriate heading that includes the term "Emphasis of Matter";

(ii) Include in the paragraph a clear reference to the matter being emphasized and to where relevant disclosures that fully describe the matter can be found in the financial statements. The paragraph shall refer only to information presented or disclosed in the financial statements; and

(iii) Indicate that the auditor's opinion is not modified in respect of the matter emphasized.

Emphasis of Matter

We draw attention to Note 28 of financial statements regarding the technical failure in the cooling systems at the Company's specialised cold-storage facility on 5th April, 2026, subsequent to the Balance Sheet date, which resulted in spoilage of specialized raw materials valued at ₹ 21 crore. This event has been considered by the Management as a non-adjusting event and appropriate disclosure has been made explaining the financial impact and status of the insurance claim.

Our opinion is not modified in respect of this matter.

(c) As per SRS 4410 "Compilation Engagements", the practitioner shall include in the engagement documentation: -

(i) Significant matters arising during the compilation engagement and how those matters were addressed by the practitioner;

(ii) A record of how the compiled financial information reconciles with the underlying records, documents, explanations and other information, provided by management; and

(iii) A copy of the final version of the compiled financial information for which management or those charged with governance, as appropriate, has acknowledged their responsibility, and the practitioner's report.

(iv) The practitioner may consider also including in the engagement documentation a copy of the entity's trial balance, summary of significant accounting records or other information that the practitioner used to perform the compilation.

Question 2

(a) CA Ravi is the engagement partner of PQR Ltd. for conducting the Statutory audit for the FY 2025-26. During the audit of PQR Ltd., he had the following observations:

(i) Management used an outdated discount rate (12% as against 8%) leading to ₹ 2 crore understatement of recoverable amount/ overstatement of impairment loss, which in the auditor's view is not appropriate.

(ii) Management delayed providing expected inventory records for 10 days, causing extensive extra effort.

You are required to:

(i) State with reasons how each of the above constitutes a significant finding requiring communication to "Those charged with governance" as per relevant Standard on Auditing.

(ii) State, apart from the above, other significant findings that an auditor should communicate to "Those charged with governance". ***(5 Marks)***

(b) CA Vinit, a practicing Chartered Accountant, after attending various courses in Data Analytics and Artificial intelligence designates as "Al Professional" in his visiting cards and letter heads. He wants to advertise through a write up, setting out the professional services provided by him and consequently he has included the basic details such as his name, membership number, professional address, website, email, details of employees and various services provided. In the Profile section of write up, he includes the following details:

(i) Disclosure of client MNP Ltd.'s turnover figures from recent audit as '₹ 500 crores audited' to show case expertise in large-scale statutory audits.

(ii) A mention of the 'Outstanding Accountant of the Year 2025' award received from the local Rotary Club in the previous year;

(iii) The firm's tagline "Precision in Every Calculation" which CA Vinit believes is an honest description of his work.

Analyze and comment whether the act of CA Vinit is in compliance with the guidelines and provisions of the Chartered Accountants Act, 1949. ***(5 Marks)***

(c) G-Tech Solutions Ltd. is a large multinational corporation engaged in providing cloud-based financial services. The company's operations are heavily reliant on proprietary software applications and extensive databases containing sensitive client financial information.

During the statutory audit for the financial year 2025-26, the engagement partner, CA Harsh, observes that the company has recently integrated multiple new digital platforms to automate revenue recognition processes and safeguard its trade secrets. Further, the company has disclosed that an incident involving an attempted unauthorized access to its network occurred approximately six months prior to the year end, although management has described the incident as minor.

As the statutory auditor, CA Harsh is in the planning stage of the audit and wants to evaluate the entity's risk assessment process with specific reference to cybersecurity risks. Explain the key aspects that CA Harsh would evaluate in identifying the entity's risk assessment process relating to cybersecurity. ***(4 Marks)***

Answer

(a) (i) Whether the given matters constitute significant findings requiring communication to TCWG: As per SA 260 "Communication with Those Charged with Governance", the auditor is required to communicate the following matters:

I. The auditor shall communicate with those charged with governance the auditor's views about significant qualitative aspects of the entity's accounting practices, including accounting policies, accounting estimates and financial statement disclosures. When applicable, the auditor shall explain to those charged with governance why the auditor considers a significant accounting

practice, that is acceptable under the applicable financial reporting framework, not to be most appropriate to the particular circumstances of the entity. In this case, Management used a discount rate of 12% instead of 8%, resulting in understatement of recoverable amount by ₹ 2 crore; and overstatement of impairment loss. Use of an outdated discount rate indicates deficiency in management's estimation process and affects the appropriateness of accounting estimates. The incorrect discount rate resulted in a ₹ 2 crore overstatement of impairment loss/understatement of recoverable amount. Such a material error is a significant audit finding. Therefore, the inappropriate use of outdated discount rate constitutes a significant audit finding that must be communicated to TCWG under SA 260.

II. The auditor shall communicate with those charged with governance significant difficulties, if any, encountered during the audit. Management delayed providing inventory records for 10 days, causing extensive extra effort to the auditor. This also constitutes a significant finding requiring communication to TCWG under SA 260.

(ii) Other significant findings that an auditor should communicate to "Those charged with governance":

- Unless all of those charged with governance are involved in managing the entity: -
  - ➢ Significant matters arising during the audit that were discussed, or subject to correspondence, with management;
  - ➢ Written representations the auditor is requesting;
- Circumstances that affect the form and content of the auditor's report, if any and
- Any other significant matters arising during the audit that, in the auditor's professional judgment, are relevant to the oversight of the financial reporting process.

(b) As per Clause (7) of Part I of the First Schedule to the Chartered Accountants Act, 1949, a Chartered Accountant in practice is deemed to be guilty of professional misconduct if he advertises his professional

attainments or services or uses any designation or expressions other than "Chartered Accountant" on professional documents, visiting cards, letterheads or sign boards, except as permitted under the Act and the Guidelines issued by the Council.

However, the proviso to the clause permits advertisement through a write-up setting out the services provided and particulars of the member or firm subject to the ICAI Guidelines for Advertisement, 2008.

In the given case, CA Vinit has circulated a write-up containing his name, membership number, professional address, website, email address, employee details and services provided. Such particulars are specifically permitted under the ICAI Advertisement Guidelines, 2008. Further, mention of website, employee details and services rendered is permissible under the list of particulars allowed in the write-up. Hence, inclusion of these details is in compliance with the Guidelines.

Further, CA Vinit describes himself as an "AI Professional" after attending various courses in Data Analytics and Artificial Intelligence. Under Clause (7), use of designations other than "Chartered Accountant" is generally prohibited unless it is a recognized qualification or title permitted by ICAI. The expression "AI Professional" is not a recognized qualification approved by ICAI or the Central Government. Therefore, use of such expression on visiting cards and letterheads may amount to violation of Clause (7) of Part I of the First Schedule.

Furthermore, disclosure of client MNP Ltd.'s turnover figure of ₹ 500 crores audited by him is not permissible. ICAI Advertisement (Write-up) Guidelines specifically prohibit mention of names of clients, whether past or present, in the write-up. Moreover, disclosure of turnover details obtained during professional engagement breaches client confidentiality and may amount to professional misconduct under Clause (1) of Part I of the Second Schedule, which prohibits disclosure of confidential information acquired in the course of professional engagement without client consent or legal requirement.

In addition to above, mention of the "Outstanding Accountant of the Year 2025" award received from the local Rotary Club is also not permissible. ICAI Advertisement (Write-up) Guidelines prohibit inclusion of information regarding achievements or awards except those given by the Central

Government, State Government or Regulatory Bodies. Since the award has been granted by a local Rotary Club, its inclusion violates the Guidelines and consequently attracts Clause (7) of Part I of the First Schedule relating to impermissible advertisement of professional attainments.

Similarly, the tagline "Precision in Every Calculation" is not permissible. ICAI Advertisement (Write-up) Guidelines specifically prohibit use of monograms, catch words or similar promotional expressions. The tagline used by CA Vinit is a promotional catch phrase and therefore violates the Guidelines, thereby attracting Clause (7) of Part I of the First Schedule.

Accordingly, while inclusion of basic professional particulars and services rendered is permissible under the ICAI Advertisement Guidelines, use of the expression "AI Professional", disclosure of client turnover details, mention of Rotary Club award and use of the promotional tagline are not in compliance with the Chartered Accountants Act, 1949 and the ICAI Advertisement Guidelines, 2008.

(c) The auditor has to determine whether the entity's risk assessment process considers cybersecurity risks.

While planning the audit in accordance with SA 315, key aspects CA Harsh would evaluate in identifying the entity's risk assessment process relating to cybersecurity are:

- Entity should conduct a periodic risk assessment & develop a management strategy which identifies cybersecurity risks around IT system failure affecting the entity's primary business or potential loss of data or inability to access data as required, risk of unauthorized access to the IT network.
- The entity should maintain and periodically review an inventory of their information assets- i.e., Asset Management (e.g., intellectual property, patents, copyrighted material, trade secrets and other intangibles).
- The entity should classify and prioritize protection of their information assets based on sensitivity and business value and periodically review the systems connected to the network on which digital assets reside.
- From the governance perspective management should review how cybersecurity risks affect internal controls over financial reporting. In case of adverse attack how management is going to assess the impact

on the recoverability of financial data and impact on revenue recognition.

- Management needs to identify if any established a risk-based cybersecurity program can be leveraged (e.g. NIST, ISO etc.).
- To determine overall responsibility for cybersecurity in the business environment, entity should establish roles and responsibilities over cybersecurity (CISO, CIO). Further the risk assessment should be discussed with those charged with governance (e.g., the Audit Committee or Board of Directors).

Since G-Tech Solutions Ltd. is highly dependent on proprietary software applications, automated revenue recognition systems and sensitive financial databases, the cybersecurity environment assumes significant importance from an audit perspective. Further, the attempted unauthorized access incident indicates the possibility of heightened cybersecurity risks. Therefore, CA Harsh should carefully evaluate the adequacy and effectiveness of the entity's cybersecurity risk assessment process, governance framework and related internal controls to identify risks of material misstatement and determine the nature, timing and extent of further audit procedures.

Question 3

(a) *FinBridge Digital Lending Ltd., a non-deposit taking financial intermediary registered with the financial sector regulator, operates an online platform that enables individual lenders to fund retail borrowers after performing onboarding, credit scoring, documentation, and recovery support functions. During the audit, CA Mehta, the engagement partner, observed that certain borrower accounts with overdue instalments were internally tagged as "watchlist" instead of being migrated to non-performing categories pending expected recovery from collection agents.*

Further, income relating to such stressed accounts continued to be recognised based on contractual schedules. The Board has approved broad risk policies, however, detailed operational guidance and periodic monitoring reports were not consistently documented.

Mr. Mehta wants to assess whether FinBridge Digital Lending Ltd., is complying with the Prudential Norms. Guide Mr. Mehta in this regard. ***(5 Marks)***

(b) *CA Jiva, a practicing Chartered Accountant since last five years, is providing various advisory services to a wide range of clients. One of his client ASP Ltd. is a subsidiary of an overseas conglomerate. CA Jiva is providing advisory services in the field of taxation, GST consultancy, issuing Form 15CB for foreign remittances. All services were being smoothly provided to ASP Ltd. until after a certain period it was revealed on an enquiry from the Regulator that the overseas conglomerate had invested in ASP Ltd. to use it for carrying out money laundering and crypto laundering. The regulator directed CA Jiva to provide details about ASP Ltd. for the ongoing enquiry. CA Jiva contended that he was providing only taxation, GST consultancy and certification to ASP Ltd. and therefore was not required to keep detailed information about the company.*

Based on the guidelines issued by ICAI comment on the contentions of CA Jiva? ***(5 Marks)***

(c) *CA Deepa is the statutory auditor of SGP Textiles Ltd. for the FY 2025-26 and is in the process of finalizing the audit report.*

During the course of the audit CA Deepa obtained information indicating that SGP Textiles Ltd. is experiencing severe liquidity crisis arising from a sudden shift in market demand and cancellation of its largest export order. As at the Balance Sheet date, the company's current liabilities exceed its current assets and it has defaulted in repayment of certain borrowings. Management has disclosed in the notes to the financial statements that these events or conditions indicate material uncertainty that may cast significant doubt on the entity's ability to continue as a going concern. However, the financial statements for the FY 2025-26 have been prepared on going concern basis, based on management's expectation that a proposed merger with a larger conglomerate will be completed and will stabilize the company's financial position.

Analyze and state the reporting responsibilities of CA Deepa in the Independent Auditor's Report of SGP Textiles Ltd. in accordance with the relevant applicable Standard on Auditing. ***(4 Marks)***

Answer

(a) Mr. Mehta should assess the compliance of Prudential Norms by applying the following audit procedures:

(i) Check compliance with prudential norms encompassing income recognition, income from investments, accounting standards, accounting for investments, asset classification, provisioning for bad and doubtful debts, capital adequacy norms, prohibition on granting of loans by NBFC against its own shares, prohibition on loans and investments for failure to repay public deposits and norms for concentration of credit/investments.

(ii) An auditor should ensure that the Board of Directors of every NBFC granting/intending to grant demand/call loans shall frame and implement a policy for the company.

(iii) An auditor should assess on the basis of examinations conducted by him whether the NBFC has complied with the prudential norms. In particular, he should verify that advances and other credit facilities have been properly classified as standard/substandard/doubtful/loss and that proper provision has been made in accordance with the Directions.

Assess whether overdue borrower accounts have been correctly classified as Standard, Sub-standard, Doubtful or Loss Assets in accordance with the Prudential Norms. Mere internal tagging of accounts as "watchlist" cannot override regulatory asset classification requirements.

(iv) In respect of Non-Performing Assets, an auditor should check whether the unrealised income in respect of such assets has not been taken to the Profit & Loss Account on an accrual basis. Income from NPAs should be accounted for on realisation basis only.

(v) Check whether all accounts which have been classified as NPAs in the previous year also continue to be shown as such in the current year also. If the same is not treated as an NPA in the current year, the auditor should specifically examine such accounts to ascertain whether the account has become regular and the same can be treated as performing as per the Directions.

Considering the facts of the case, Mr. Mehta should critically examine whether overdue borrower accounts were deliberately retained in "watchlist" categories to avoid NPA classification and provisioning

requirements. He should also verify whether income from such stressed accounts has been incorrectly recognised on accrual basis contrary to Prudential Norms. If material non-compliance is identified, appropriate adjustments, additional disclosures and reporting implications should be considered in the audit report.

(b) The financial services industry globally is required to obtain information of their clients and comply with Know Your Client Norms (KYC norms). Keeping in mind the highest standards of Chartered Accountancy profession in India, the Council of ICAI issued such norms to be observed by the members of the profession who are in practice.

In the given situation, CA Jiva provided advisory services in the field of taxation, GST consultancy and issuing Form 15CB for foreign remittances to ASP Ltd., which was a subsidiary of an overseas conglomerate. Later, it was revealed that the overseas conglomerate had invested in ASP Ltd. to use it for carrying out money laundering and crypto laundering. CA Jiva was asked to provide details about ASP Ltd. for the ongoing enquiry. The contention of CA Jiva that he provided only taxation, GST consultancy and certification to ASP Ltd. and therefore was not required to keep detailed information about the company is not valid as CA Jiva should have kept following information in compliance with KYC Norms which are mandatory in nature and shall apply in all assignments pertaining to attestation functions.

In the given case of ASP Ltd., a Corporate Entity, CA Jiva should have kept following information:

A. General Information

- Name and Address of the Entity
- Business Description
- Name of the Parent Company in case of Subsidiary
- Copy of last Audited Financial Statement

B. Engagement Information

- Type of Engagement

C. Regulatory Information

- Company PAN No.

- Company Identification No.
- Directors' Names & Addresses
- Directors' Identification No.

(c) In accordance with SA 570 "Going Concern", if events or conditions have been identified that may cast significant doubt on the entity's ability to continue as a going concern, the auditor shall obtain sufficient appropriate audit evidence to determine whether or not a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern by performing additional audit procedures, including consideration of mitigating factors.

In the given case, SGP Textiles Ltd. is experiencing severe liquidity crisis arising from sudden shift in market demand and cancellation of its largest export order. Further, as at the Balance Sheet date, the company's current liabilities exceed its current assets and it has defaulted in repayment of certain borrowings. These conditions indicate existence of a material uncertainty that may cast significant doubt on the company's ability to continue as a going concern.

However, the management has disclosed these matters in the notes to the financial statements for FY 2025-26 and has prepared the financial statements on going concern basis based on expectation that a proposed merger with a larger conglomerate is expected to stabilize the company's financial position.

As such, considering that the going concern assumption is appropriate but a material uncertainty exists, CA Deepa should:

(1) Express an unmodified opinion; and

(2) Include in his audit report, a separate section under the heading "Material Uncertainty Related to Going Concern" to:

(i) Draw attention to the note in the financial statements that discloses the matters; and

(ii) State that these events or conditions indicate that a material uncertainty exists that may cast significant doubt on the entity's ability to continue as a going concern and that the auditor's opinion is not modified in respect of the matter.

Thus, CA Deepa should report the matter in her Independent Auditor's Report in the above manner in accordance with SA 570.

Question 4

(a) *Evershine Refineries Ltd. has recognized a substantial provision towards decommissioning and environmental restoration obligations relating to its offshore drilling operations. The measurement of this provision requires complex assumptions involving long-term discounting, engineering life-cycle estimates, and evolving environmental compliance costs. For the current financial year, the Company has relied on a technical assessment prepared by its internal Chief Technical Officer (CTO), who is a qualified environmental engineer and has been associated with the organization for over two decades. Based on internally developed operational efficiency measures, the CTO's report recommends a 15% reduction in the existing provision.*

During the audit, the engagement partner, CA Meera, has identified the provision as a significant matter due to the significant estimation uncertainty and its material effect on the profitability of the Company. Although the CTO possesses relevant technical competence, CA Meera has noted that the CTO's performance incentives are linked to the Company's profitability targets. Further, the audit team does not possess specialized engineering expertise to independently validate the technical assumptions underlying the revised provision estimate, and no comparable external market benchmarks are available for similar offshore decommissioning projects.

Analyse the case and guide CA Meera whether to rely on CTO'S recommendations with reference to the relevant Standard on Auditing.

(5 Marks)

(b) *CA Pranav is engaged to perform a review of the historical financial statements of LAN Innovations Ltd. for the financial year 2024-25. While performing analytical procedures, CA Pranav identifies several significant payments made to a newly incorporated entity. Based on the nature and pattern of transactions, CA Pranav suspects that the entity may be a related party. Upon inquiry, management provides only a vague oral explanation, asserting that the entity is an independent third party vendor. To corroborate management's assertions, CA Pranav requests written representations, confirming identity, completeness and appropriate disclosure of all related party relationships and transactions. However, management refuses to*

provide written representations, stating that oral explanations are sufficient for a limited review engagement.

In the context of SRE 2400, explain the course of action CA Pranav should take in response to management's refusal to provide written representations. Discuss the circumstances under which CA Pranav would be required to disclaim a conclusion or withdraw from the engagement. ***(5 Marks)***

(c) MK Steel Manufacturing Ltd. is a listed company among the top 1000 entities in India, leading in steel production and related products. The company has been expanding its operations over the past four years and is now operating five large manufacturing units across different industrial belts in the country.

The steel manufacturing process generates substantial waste including slag, dust and chemical residues, majority of which is disposed of in landfills without proper treatment. The company's energy consumption has also increased by 50% over the last three years, which is met mostly through coal-based thermal power, thereby contributing significantly to carbon emissions.

Outline the BRSR principle which is most relevant to the above scenario mentioning the core elements associated with it. ***(4 Marks)***

Answer

(a) In the case of Evershine Refineries Ltd., the Company reduced its decommissioning and environmental restoration provision by 15% based on a technical assessment prepared by its internal CTO, who is a management expert. Since the provision involves significant estimation uncertainty and materially impacts profitability, and the CTO's incentives are linked to profitability targets, there is a risk of management bias affecting objectivity. Accordingly, as the assessment is prepared by management's expert, the provisions of SA 500 relating to evaluation of information prepared by management's expert are applicable.

As per SA 500 "Audit Evidence", when information to be used as audit evidence has been prepared using the work of a management's expert, the auditor shall, to the extent necessary, having regard to the significance of that expert's work for the auditor's purposes,

(i) Evaluate the competence, capabilities and objectivity of that expert;

(ii) Obtain an understanding of the work of that expert; and

(iii) Evaluate the appropriateness of that expert's work as audit evidence for the relevant assertion.

The auditor may obtain information regarding the competence, capabilities and objectivity of a management's expert from a variety of sources, such as personal experience with previous work of that expert; discussions with that expert; discussions with others who are familiar with that expert's work; knowledge of that expert's qualifications; published papers or books written by that expert.

Aspects of the management's expert's field relevant to the auditor's understanding may include what assumptions and methods are used by the management's expert, and whether they are generally accepted within that expert's field and appropriate for financial reporting purposes.

The auditor may also consider the following while evaluating the appropriateness of the management's expert's work as audit evidence for the relevant assertion:

(i) The relevance and reasonableness of that expert's findings or conclusions, their consistency with other audit evidence, and whether they have been appropriately reflected in the financial statements.

(ii) If that expert's work involves use of significant assumptions and methods, the relevance and reasonableness of those assumptions and methods; and

(iii) If that expert's work involves significant use of source data, the relevance, completeness, and accuracy of that source data.

In view of above, despite the CTO's technical competence, CA Meera cannot rely solely on the CTO's assessment due to the possible threat to objectivity and significant estimation uncertainty involved. She should evaluate the assumptions, methods, and supporting data in accordance with SA 500 and obtain sufficient appropriate audit evidence before concluding on the reasonableness of the provision.

(b) As per SRE 2400 "Engagements to Review Historical Financial Statements", if management does not provide one or more of the requested written representations, CA Pranav, the practitioner shall:

- Discuss the matter with management and those charged with governance, as appropriate;

- Re-evaluate the integrity of management, and evaluate the effect that this may have on the reliability of representations (oral or written) and evidence in general; and
- Take appropriate actions, including determining the possible effect on the conclusion in the practitioner's report in accordance with this SRE.

CA Pranav shall disclaim a conclusion on the financial statements, or withdraw from the engagement if withdrawal is possible under applicable law or regulation, as appropriate, if:

- The practitioner concludes that there is sufficient doubt about the integrity of management such that the written representations are not reliable or
- Management does not provide the required representations in respect of its responsibilities for preparation of financial statements and recording of all transactions in financial statements.

(c) In the given case, MK Steel Manufacturing Ltd. is involved in large-scale steel production, which results in substantial waste generation, high energy consumption, and increased carbon emissions. Therefore, the most relevant BRSR principle applicable to the company is Principle 6 – Protection and Restoration of Environment. This principle looks at the environmental responsibility as a basic requirement for the economic prosperity and sustainability.

The core elements associated with this principle are:

(i) The entities should have policies, procedures, and practices in place to assess and rectify impacts to the environment. This should cover the whole life cycle of the product.

(ii) The entities have to make use of natural and manmade resources in an optimum manner to ensure their sustainability by taking feedback from the stakeholders.

(iii) The entities have to measure their performance relating to the prevention of pollution, destruction of forests, waste generation, energy use, land use, etc.

(iv) The entities have to contribute towards climate change resilience in line with India's commitment to various international mechanisms such as, Paris Agreement and National Action Plans for Climate Change.

(v) The entities should explore the comparison of its activities with industry best practices to reduce, reuse and recycle/ recover materials, resources.

(vi) The companies have to look out for avenues by which they can improve their performance towards various environmental responsibilities.

Question 5

(a) TOOLS Limited is a Public company engaged in manufacturing of industrial components. During the course of statutory audit for the FY 2025-26, CA Vasu, the engagement partner, identified a serious discrepancy on 15th April 2026 involving misappropriation of funds amounting to ₹ 75 lakhs, perpetrated by the senior accountant through the creation of fictitious vendor invoices. Subsequent verification and inquiry revealed that the accountant had acted independently, without the involvement of other employees. The management acknowledged the failure of internal controls and requested CA Vasu not to highlight this in the audit report, contending that the amount was immaterial in context of the company's turnover of ₹ 500 crore.

Evaluate the scenario and elaborate the duties of CA Vasu under the Companies Act, 2013 with respect to the fraud and reporting requirements, if any, in accordance with CARO, 2020.

You are also required to state the responsibility cast on the Board of Directors in relation to the fraud which has occurred. ***(5 Marks)***

(b) QR Ltd., a listed company, has appointed CA Suba as its Chief Internal Auditor, and she is continuing in this role for the third consecutive year.

The following unresolved issues were reported in the Internal audit reports for quarter ended June 2025 and September 2025:

- *Lack of adequate segregation of duties in inventory procurement cycle.*
- *Persistent delays in reconciliation of vendor balances.*
- *Deficiencies in IT user access controls.*

During a recent meeting, the Audit Committee expressed concern over the

recurrence of these issues and asked CA Suba to present a list of corrective actions taken by management against the above-mentioned findings.

In context of the applicable Standards on Internal Audit, answer the following:

(1) Explain the responsibilities of CA Suba with regard to the above reported issues.

(2) Identify the most appropriate report that should be submitted to the Audit Committee in this situation and briefly outline the key matters that should be covered in such a Report? ***(5 Marks)***

(c) CA Karan, a practicing Chartered Accountant, was approached by Greentech Solutions Ltd. requesting him to issue a certificate regarding the utilization of term loan funds for their expansion project. The company had received ₹ 25 crores from a financial institution and needed to submit a utilization certificate within 60 days of disbursement. CA Karan issued the utilization certificate, stating that the entire loan amount was properly utilized for the intended purpose. However, his verification process was limited to reviewing the summary reports provided by the finance manager and brief discussions with the managing director. He did not examine the bank statements, supporting documents like purchase invoices, contracts, payments, etc. The certificate did not mention any limitations or assumptions made during the verification process.

Four months later, it was discovered that ₹ 5 crores of the loan amount were diverted for purposes other than the approved project, leading to regulatory action against the company.

Comment on the action of CA Karan with reference to the Chartered Accountants Act, 1949 and Schedules thereto. ***(4 Marks)***

Answer

(a) In the given case of TOOLS Limited, CA Vasu identified a fraud involving misappropriation of funds amounting to ₹ 75 lakhs through fictitious vendor invoices created by the senior accountant. Although management has argued that the amount is immaterial considering the company's turnover of ₹ 500 crore and requested that the matter should not be highlighted in the audit report, the auditor's reporting responsibilities

under the Companies Act, 2013 and CARO 2020 are independent of management's views.

As per sub-section (12) of section 143 of the Companies Act, 2013, if an auditor of a company in the course of the performance of his duties as auditor, has reason to believe that an offence of fraud involving lesser than the specified amount [i.e. less than ₹ 1 crore], the auditor shall report the matter to the audit committee constituted under section 177 or to the Board in other cases within such time and in such manner as may be prescribed.

In this regard, sub-rule (3) of Rule 13 of the Companies (Audit and Auditors) Rules, 2014 states that in case of a fraud involving lesser than the amount specified in sub-rule (1) [i.e. less than ₹ 1 crore], the auditor shall report the matter to Audit Committee constituted under section 177 or to the Board immediately but not later than 2 days of his knowledge of the fraud and he shall report the matter specifying the following:

(i) Nature of Fraud with description;

(ii) Approximate amount involved; and

(iii) Parties involved.

In the instant case, since the fraud amount in the present case is ₹ 75 lakhs, reporting to the Audit Committee constituted under section 177 or to the Board is required on immediate basis in the abovementioned prescribed manner.

The auditor CA Vasu is also required to report under clause (xi) of paragraph 3 of Companies (Auditor's Report) Order, 2020 on whether any fraud by the company or any fraud on the Company has been noticed or reported during the year. If yes, the nature and the amount involved is to be indicated.

Thus, CA Vasu must report fraud in the CARO Report irrespective of materiality considerations raised by management.

In this regard, sub-rule (4) of Rule 13 of the Companies (Audit and Auditors) Rules, 2014 states that the company is required to disclose in the Board's Report the following details of each of the fraud reported to the Audit Committee or the Board under sub-rule (3) during the year:

(a) Nature of Fraud with description;

(b) Approximate Amount involved;

(c) Parties involved, if remedial action not taken; and

(d) Remedial actions taken.

(b) (1) As per SIA 390 Monitoring and Reporting of Prior Audit Issues, the Chief Internal Auditor CA Suba is responsible for continuously monitoring the closure of prior audit issues through timely implementation of action plans included in past audits. This shall be done with a formal monitoring process, elements of which are pre-agreed with management and those charged with governance. The responsibility to implement the action plans remains with the management.

In monitoring and reporting of prior audit issues, the responsibility of the Internal Auditor is usually in the form of an "Action Taken Report (ATR) of previous audits". The internal auditor should review whether follow-up action is taken by the management on the basis of his report. If no action is taken within a reasonable time, he should draw the management's attention to it. Where the management has not acted upon his suggestions or not implemented his recommendations, the internal auditor should ascertain the reasons thereof.

Where the management has accepted his recommendations and initiated the necessary action, the internal auditor should periodically review the manner and the extent of implementation of the recommendations and report to the management, highlighting the recommendations which have not been implemented fully or partly.

In the given situation, CA Suba is responsible not only for reporting internal control weaknesses but also for following up on the status of corrective actions taken by management. Since the deficiencies relating to segregation of duties, vendor reconciliations, and IT access controls were repeatedly reported in earlier internal audit reports and still remain unresolved, she should evaluate the adequacy and effectiveness of management's corrective measures, assess the risk arising from continued non-compliance, and communicate the status of unresolved issues to the Audit Committee. She should also highlight delays or failure by management in implementing recommendations

and assess whether the recurring weaknesses increase the risk of fraud, errors, or control failures within the organization.

(2) In the given situation, the most appropriate report to be submitted is a Follow-up Internal Audit Report / Action Taken Report (ATR) to the Audit Committee with the status of corrective actions taken by management on previously reported observations. Action Taken Report may include the following:

(i) Reference to the previous audit reporting containing the reported issues.

(ii) Implementation Action agreed by the management along with target implementation date.

(iii) Status of action taken by management. The same may be classified under Implemented/ Not Implemented.

(iv) Residual risk and rating for any unimplemented action.

(v) Audit findings not implemented for long period of time.

(vi) Any critical audit finding that requires immediate action for action or implementation.

(c) According to Clause (7) of Part I of Second Schedule of the Chartered Accountants Act, 1949, a Chartered Accountant in practice is deemed to be guilty of professional misconduct if he does not exercise due diligence or is grossly negligent in the conduct of his professional duties.

It is a vital clause which unusually gets attracted whenever it is necessary to judge whether the accountant has honestly and reasonably discharged his duties. The expression negligence covers a wide field and extends from the frontiers of fraud to collateral minor negligence.

Further, as per Clause (8) of Part I of Second Schedule of the Chartered Accountants Act, 1949, a Chartered Accountant in practice is deemed to be guilty of professional misconduct if he fails to obtain sufficient information which is necessary for expression of an opinion or its exceptions are sufficiently material to negate the expression of an opinion.

In the given case, CA Karan issued a utilization certificate for a term loan of ₹ 25 crores stating that the entire amount was utilised for the intended expansion project without conducting adequate verification procedures.

His review was restricted to summary reports provided by the finance manager and discussions with the managing director, while he failed to examine supporting documents such as bank statements, invoices, contracts, and payment records. The certificate also did not disclose any limitations or assumptions in the verification process. Subsequently, it was discovered that ₹ 5 crores had been diverted for purposes other than the approved project. This indicates gross negligence and lack of due diligence in the discharge of professional duties, as the certificate was issued without obtaining sufficient appropriate information which is necessary for expression of an opinion.

Therefore, CA Karan is guilty of professional misconduct under Clause (7) and Clause (8) of Part I of Second Schedule of the Chartered Accountants Act, 1949.

Question 6

(a) ED Motors Ltd., a leading manufacturer of high-performance electric bikes, is planning to expand its operations globally. In order to obtain a long-term loan working capital funding of ₹450 crores from a consortium of banks, the company has prepared Prospective Financial Information (PFI) covering the next three years.

CA Madhu, who has been the statutory auditor of the company for the past four years, has been appointed to examine and report on the PFI prepared by the management. During her preliminary discussions, CA Madhu noted the following matters:

(i) The management is completely new to the complexities involved in international marketing projections.

(ii) The financial projections are significantly dependent on hypothetical assumptions that the company will achieve a 20% market share in Europe, within the first year. This assumption would require productions levels exceeding the current installed capacity of their domestic manufacturing facility.

(iii) Management has relied on a combination of internal budgetary data and external reports from independent industry analysts to justify their growth projections.

On the basis of above information determine the nature, timing and extent

of examination procedures that CA Madhu would perform on the Prospective Financial Information in accordance with applicable Standard on Assurance Engagements. ***(5 Marks)***

(b) *QRT Electricals Ltd. is a mid-sized manufacturing company with a substantial investment in Fixed Assets comprising of Plant & machinery and Land. UV Ltd. is proposing to acquire QRT Electricals Ltd. and for this purpose it has considered various aspects like studying the overall picture, Statement of Profit and Loss, Balance Sheet. You have been appointed as an investigating accountant to carry out the business investigation and it was found that some machinery owned by the company is over 15 years old. Furthermore, the company has revalued its fixed assets two years ago, increasing their book values. Maintenance expenses have also declined over the years. The machinery related to packaging line has remained idle from past 2 years.*

As an investigating accountant, you are required to highlight the considerations that shall be taken into account while evaluating the Fixed Assets item shown in the Balance Sheet of QRT Electricals Ltd. ***(5 Marks)***

(c) *CA Alok is the auditor of VT Limited, an unlisted public company, which has a turnover of ₹ 100 crore during the FY 2025-26. The statutory audit fee for the year is fixed at ₹ 10 lakh. During the year, the company also offered CA Alok, the following further assignments:*

(i) Tax audit of the company u/s 44AB of the Income-tax Act, 1961, for which the fees is fixed at ₹ 5 lakh.

(ii) Various certification work for which fees is fixed at ₹ 2 lakh.

(iii) Representation before GST authorities for which fees is fixed at ₹ 4 lakh.

CA Alok seeks your advise for accepting the above assignments. Comment with reference to the provisions of the Chartered Accountants Act, 1949.

OR

(c) *The Ministry of Information Technology of the Government of India has initiated a large-scale infrastructure project to improve rural connectivity under its "Digital Connect" programme. As part of the audit team, you are assigned to conduct a performance audit of this project with a focus on assessing its efficiency. While auditing the efficiency of the project, what key aspects should the auditor consider to determine whether resources are used efficiently.* ***(4 Marks)***

Answer

(a) As per SAE 3400 "The Examination of Prospective Financial Information", when determining the nature, timing and extent of examination procedures, the following matters should be considered by CA Madhu:

- the knowledge obtained during any previous engagements;
- management's competence regarding the preparation of prospective financial information;
- the likelihood of material misstatement;
- the extent to which the prospective financial information is affected by the management's judgment;
- the sources of information considered by the management for the purpose, their adequacy, reliability of the underlying data, including data derived from third parties, such as industry statistics, to support the assumptions;
- the stability of entity's business; and
- the engagement team's experience with the business and the industry in which the entity operates and with reporting on prospective financial information.

(b) Consideration that shall be taken into account while evaluating the Fixed Assets item shown in the Balance Sheet -

(i) Fixed assets, usually, are shown in accounts at cost less depreciation but the accounts do not show the ages of different assets. It is desirable, therefore, to obtain age analysis of various items of fixed assets.

(ii) Assets which are old or are obsolete would naturally have to be replaced. It should be seen that their values are not in excess of the value of service that they could be expected to render to the business during the balance period of their active life and the amount they would fetch on sale as scrap.

(iii) Title deeds should be verified to ascertain the extent of enterprise's ownership in such assets, like land and building jointly owned by two or more companies or their subsidiaries.

(iv) In addition, from a study of the maintenance expenses incurred from year to year, it should be judged whether the assets have been properly maintained. If not, it might be necessary to incur heavy expenditure on repairs to put them in a proper working order. In such a case, an allowance for this factor should be made in the value of assets.

(v) More particularly, it should be seen that if assets have been revalued, the increased depreciation charge has been adjusted against profit.

(vi) Further, investigator has to assure whether assets whose recoverable amount is less than carrying amount are impaired and requirement of AS 28, "Impairment of Asset", has been complied.

(vii) It would be the duty of the investigating accountant to eliminate idle assets after proper identification from the net worth of the business. However, proper value of the idle assets may be separately added to the value of the business.

(c) Appointment as a Statutory Auditor of a PSUs'/Govt Company(ies)/ Listed Company(ies) and Other Public Company(ies): As per the Council General Guidelines 2008, under Chapter IX on appointment as statutory auditor a member of the Institute in practice shall not accepts the appointment as a statutory auditor of a PSUs'/Govt company(ies)/Listed company(ies) and other public company(ies) having a turnover of ₹ 50 crores or more in a year and where he accepts any other work(s) or assignment(s) or service(s) in regard to same undertaking(s) on a remuneration which in total exceeds the fee payable for carrying out the statutory audit of the same undertaking.

For this purpose, the term "other work(s)" or "service(s)" or "assignment(s)" shall include Management Consultancy and all other professional services permitted by the Council pursuant to Section 2(2)(iv) of the Chartered Accountants Act, 1949 but shall not include

(a) audit under any other statute;

(b) certification work required to be done by the statutory auditors; and

(c) any representation before an authority;

In the given case, turnover of the VT Limited, which is a public company, is having turnover ₹ 50 crore or more, therefore CA Alok statutory auditor is covered under the provision of Chapter IX of the Council Guidelines 2008.

Fees for tax audit work under u/s 44AB of the Income-tax Act, 1961 for ₹ 5 lakh, certification work for ₹ 2 lakh and representation fees before GST authority for ₹ 4 lakh totaling to ₹ 11 lakh exceeds statutory audit fees ₹ 10 lakh. However, all these three services are excluded from the term "other work(s)" or "service(s)" or "assignment(s)".

Therefore, there is no restriction for CA Alok to accept offer of these services, hence there is no misconduct on the part of CA Alok under the Chartered Accountants Act, 1949.

OR

(c) Efficiency is the input-output ratio. In the case of public spending, efficiency is achieved when the output is maximised at the minimum of inputs, or input is minimised for any given quantity and quality of output. When the audit objective of efficiency considers outputs, focus is usually on processes by which an organisation transforms inputs into outputs.

While conducting a performance audit of "Digital Connect" programme, the following key aspects should be considered by the auditor to determine whether resources are used efficiently:

(i) sound procurement practices are followed;

(ii) resources are properly protected and maintained;

(iii) human, financial and other resources are efficiently used;

(iv) optimum amount of resources (staff, equipment, and facilities) are used in producing or delivering the appropriate quantity and quality of goods or services in a timely manner;

(v) public sector programmes, entities and activities are efficiently managed, regulated, organised and executed;

(vi) efficient operating procedures are used; and

(vii) the objectives of public sector programmes are met cost-effectively.

PAPER – 3: ADVANCED AUDITING, ASSURANCE AND PROFESSIONAL ETHICS

Part I – Multiple Choice Questions

Integrated Case Scenario - I

AT Solutions Ltd. (ATS) is a rapidly growing, unlisted tech company specializing in providing cloud-based software services. The company was founded five years ago by two visionary co-founders, Mr. RV (CEO) and Mr. AG (CTO), who also serve as the key members of Those Charged with Governance (TCWG).

CA RM is the Engagement Partner for the audit of ATS for the financial year ending March 31, 2025. Your firm, RM & Associates, has been the statutory auditors for the last three years.

During the audit, your team encounters the following key issues and observations:

- *ATS earns revenue primarily through subscription services. A new policy was implemented in the current year, effective from April 1st, 2024, to recognize revenue from multi-year contracts on an accelerated basis in the initial year, deviating from the previous practice of straight-line recognition over the contract period. This change was not communicated to your firm beforehand and resulted in a significant overstatement of current year revenue by ₹ 4 crores, which is both material and pervasive amount to the financial statements. The company's previous policy was in line with applicable accounting standards. When you raise this matter with the management, they insist that the new policy better reflects the value derived from the initial customer onboarding efforts. The management refuses to revert to the previous policy.*
- *ATS holds a small amount of physical inventory, consisting of specialized server components. The physical verification was conducted by the company's internal team on March 31, 2025. However, the auditor was not able to observe the stock count due to a last-minute travel restriction on the audit team. Upon inquiry, the management provides a signed stock count sheet and a video recording of the count. Your team performs alternative*

procedures, including inspecting subsequent sales invoices and conducting a review of the inventory movement records. The inventory balance is ₹ 24 lakhs, which is not material to the financial statements.

- *Your team identified a significant transaction where ATS provided a loan of ₹ 20 crores to a subsidiary company, "ABC Solutions Pvt. Ltd.", which is a related party. The transaction was approved by the board but was not adequately disclosed in the draft financial statements. When confronted, the management explained that since both the companies have common ownership and control, they did not deem it necessary to disclose the transaction, believing it was an internal matter.*
- *A former employee has filed a significant lawsuit against ATS, claiming intellectual property theft. The claim amount is ₹ 6 crores, and the legal counsel has advised the company that the outcome is highly uncertain, but a potential liability cannot be ruled out. The management has provided a contingent liability note in the draft financial statements, but it only mentions the lawsuit without quantifying the potential financial impact or detailing the nature of the claim, stating that they do not want to alarm potential investors.*

Your firm recently hired a new articled assistant, Mr. A, who is a close relative of the CFO of ATS. Mr. A was initially assigned to the audit engagement. This relationship was not disclosed by the audit firm, and the firm's quality control procedures failed to identify this potential threat to independence. The engagement partner, CA RM, only became aware of this fact during the final review meeting. The audit fieldwork is complete. However, CA RM has applied the appropriate safeguards.

Based on the above facts, answer the following Q. Nos. ***1*** *to* ***6*** *by choosing the most appropriate option:*

1. *Based on the auditor's observation regarding the new revenue recognition policy, what type of audit opinion should CA RM issue on the financial statements of ATS?*

   (A) Unmodified opinion, as the change is management's discretion.

   (B) Qualified opinion, because the financial statements are materially misstated due to the non-adherence to the previous accounting policy.

(C) *Adverse opinion, because the material misstatement from the change in revenue recognition policy is pervasive.*

(D) *Disclaimer of opinion, due to the management's refusal to correct the misstatement.* ***(2 Marks)***

2. *Considering the issue with the physical verification of inventory, what is the most appropriate course of action for the auditor?*

(A) *Issue a Qualified opinion as the inventory balance is not material, and alternative procedures were performed.*

(B) *Issue a Disclaimer of opinion since the auditor could not observe the physical count.*

(C) *Include the matter relating to inventory in Emphasis of Matter paragraph.*

(D) *Since the inventory is not material, the auditor should consider the audit to be complete without any modification to the opinion.* ***(2 Marks)***

3. *In the context of the related party loan transaction with ABC Solutions Ltd., what is the auditor's primary responsibility?*

(A) *To issue a Qualified opinion with respect to related party transaction.*

(B) *To report the matter to the Serious Fraud Investigation Office (SFIO) under Section 143(12) of the Companies Act, 2013.*

(C) *To assess if the non-disclosure constitutes a material misstatement and, if so, to request management to disclose it.*

(D) *To issue an Unmodified opinion with an Emphasis of Matter paragraph to draw users' attention to the non-disclosure.* ***(2 Marks)***

4. *What should be the auditor's conclusion if the management refuses to disclose the pending litigation?*

(A) *The auditor should include in Other Matter Paragraph regarding the uncertainty of the pending litigation.*

(B) *The auditor should issue a Disclaimer of opinion since the outcome is uncertain.*

(C) *The auditor should include an Emphasis of Matter paragraph in the audit report to highlight the uncertainty regarding the pending litigation.*

(D) *The auditor should express an Unmodified opinion as the management has provided a note on the contingent liability.* ***(2 Marks)***

5. *What is the most appropriate safeguard that CA RM should apply upon discovering the relationship between the articled assistant and the CFO?*

(A) *The audit report should be qualified due to a lack of auditor independence.*

(B) *The articled assistant should be immediately removed from the audit team, and the work performed by him should be re-evaluated and re-performed if necessary.*

(C) *The firm must resign from the engagement immediately as the independence is impaired.*

(D) *The firm should inform TCWG of the situation, and an Unmodified opinion can be issued if the work performed by the articled assistant is not material.* ***(2 Marks)***

6. *Which out of the following is not the auditor's responsibility concerning the internal control system of ATS in respect of related party transaction?*

(A) *The auditor is required to report on the internal financial controls over financial reporting (ICFR) as per the Companies Act, 2013.*

(B) *The auditor should report a material weakness in internal control related to revenue recognition and related party transactions.*

(C) *The auditor should communicate the significant deficiencies in the internal control system, to TCWG in writing.*

(D) *The auditor should report under clause (xiii) of CARO 2020.* ***(2 Marks)***

Integrated Case Scenario - II

LMN & Associates, Chartered Accountants, a leading firm in providing assurance services, is in the course of finalizing various audit assignments. The audit team has 5 audit assistants in addition to the engagement partners.

They are appointed as statutory auditors of DEF Finance Limited for the F.Y. 2024-25. This is an Investment and Credit Company (ICC) incorporated in

March 2020. The company has total assets of ₹ 1,200 crores as on 31st March, 2024, with financial assets constituting 65% of total assets (netted off by intangible assets). The company's income from financial assets is 58% of its gross income. The company applied for RBI registration in April 2024 and currently has Net Owned Funds (NOF) of ₹ 8 crores. The company has been operating without RBI registration since inception.

LMN & Associates are also the statutory auditor for the F.Y. 2024-25 of SH Finance Limited; a Non-Banking Finance company registered with RBI under the Middle Layer category. The company is primarily engaged in providing loans and advances to small and medium enterprises (SMEs) and individuals. During the course of audit CA L, the engagement partner observed that the company has classified a demand loan of ₹ 3.8 crores to RR Traders as NPA. This loan became NPA on 1st September, 2023. The estimated realizable value of security is ₹ 2.2 crores and the company has made a provision of ₹ 1.6 crores (₹ 1.6 crores = 100% of unsecured portion). He also observed that the company has invested in approved liquid assets worth ₹ 45 crores and held them in safe custody at its own premises.

During the audit process of the above companies, the engagement partners have assigned the responsibility of various areas to the audit assistants including signing of documents on behalf of the firm where need arises keeping in view the clarifications issued by the Council as envisaged in the provisions of the Chartered Accountants Act 1949. One of the audit assistants has signed the following documents and conducted under mentioned jobs during audit of DEF Finance Ltd.:

(i) Issued the notes to accounts and cash flow statement ultimately finalized for onward submission.

(ii) Asking for information or issue of questionnaire.

(iii) Acknowledging and carrying routine correspondence with clients.

(iv) Issued non-financial report expressing professional authentication.

CA N, the engagement partner of MT Industries Limited, while conducting a comprehensive review of the audit trail functionality and related controls, observed that multiple employees use common User IDs for processing routine transactions to improve efficiency. Changes made to the audit trail configurations in the past are not formally documented or authorized through a defined approval process.

During the course of audit of Global Reach Ltd., an Indian parent company, CA L prepares the consolidated financial statements for the year ended 31st March, 2025. In his opinion the following informations given in the notes to the separate financial statement need not be included in the consolidated financial statement under IND

(i) Source from which bonus shares are issued (e.g., capitalization of profits or reserves or from securities premium account).

(ii) Disclosure required under Micro, Small and Medium Enterprises Development Act, 2006

(iii) Disclosure of all utilized monies out of the issue indicating the form in which utilized funds have been invested.

(iv) Earnings in foreign exchange classified as export of goods not calculated on F.O.B. basis.

Based on the above facts, answer the following Q. Nos 7 to 12 by choosing the right option:

7. What is the minimum NOF requirement that DEF Finance Limited must achieve by 31st March, 2027?

(A) 2 crores

(B) 7 crores

(C) 10 crores

(D) 8 crores ***(2 Marks)***

8. For the loan of ₹ 3.8 crores to RR Traders, what should be the correct asset classification and minimum total provisioning required for F.Y. 2024-25?

(A) Sub-standard Asset with provision of ₹ 1.98 crores

(B) Doubtful Asset with provision of ₹ 2.26 crores.

(C) Doubtful Asset with provision of ₹ 2.04 crores

(D) Loss Asset with provision of ₹ 3.8 crores ***(2Marks)***

9. *During the audit of DEF Finance Ltd., which actions of the audit assistant regarding signing of documents and conducting of jobs should be approved by the engagement partner as correct?*

   (A) (i) & (ii)

   (B) (ii) & (iii)

   (C) (iii) & (iv)

   (D) (i) & (iv) ***(2 Marks)***

10. *Which of the following are most specific IT controls for MT Industries Limited to implement and operate to demonstrate that the audit trail feature is functional, operated and not disabled?*

    (i) Controls to ensure that User IDs are assigned to each individual employee and that User IDs are not shared among multiple users.

    (ii) Controls to ensure that the audit trail data is encrypted using advanced cryptographic algorithms.

    (iii) Controls to ensure that changes to the configurations of the audit trail are authorized and logs of such changes are maintained.

    (iv) Controls to ensure that all audit trail reports are printed and physically stored in fire-proof cabinets.

    Choose the correct option from below:

    (A) (i) & (ii)

    (B) (ii) & (iii)

    (C) (i) & (iii)

    (D) (iii) & (iv) ***(2 Marks)***

11. *Which of the following information given in the notes to the separate financial statement need not be included in Global Reach Ltd.'s consolidated financial statements under IND AS 110?*

    (A) (i) & (ii)

    (B) (ii) & (iii)

(C) *(iii) & (iv)*

(D) *(i) & (iv)* ***(2 Marks)***

12. *What should be CA L's observation regarding the custody arrangement of investment made in approved liquid assets held by SH Finance Limited?*

(A) *The arrangement is acceptable as approved liquid assets can be held in company's own custody.*

(B) *The company should lodge in safe custody these liquid assets with a designated scheduled commercial bank as required by the NBFC Acceptance of Public Deposits Directions and also should obtain certificate from RBI to that effect.*

(C) *Safe custody arrangement is not relevant for audit purposes.*

(D) *Approved liquid assets need not be lodged with banks as they are risk-free assets.* ***(2 Marks)***

13. *Mr. Verma, the CTO of a mid-sized technology firm, has received an urgent alert from his network monitoring dashboard: the company's customer portal is responding extremely slowly and, within minutes, becomes completely inaccessible. The alert appears to originate from the firm's own IT systems and even displays familiar company branding and language in the notification. Concerned about a potential server malfunction, Mr. Verma contacts the operations team but they report no hardware failures or software errors. Meanwhile, customers flood the support line, complaining that they cannot log in or place orders. Real-time charts on the dashboard show an enormous surge of traffic far beyond normal usage patterns.*

Based on the above scenario, which type of cyber-attack is faced by the firm?

(A) *IoT-Based Attack*

(B) *Spoofing Attack*

(C) *Denial-of-Service Attack*

(D) *Identity-Based Attack* ***(2 Marks)***

14. *ABC Manufacturing Ltd. operates a large factory employing 1,200 workers. Over the past year, management has introduced new shift schedules to meet rising demand. However, production targets have pushed some line*

supervisors to require employees to work extended hours, routinely exceeding 12-hour shifts with only 15-minute breaks. Several workers have complained of chronic fatigue, frequent musculoskeletal injuries and lack of time for rest or family commitments. A small group attempted to form a workers' committee to discuss these issues, but were told by management that any "collective gathering" would hamper productivity and could lead to disciplinary action.

ABC Manufacturing Ltd.'s board of directors has engaged you, to conduct the social impact assessment and whether the company policies are aligned with Corporate Social Responsibility (CSR) guidelines.

Based on the above scenario, which principle is not being adhered to by the Company?

(A) Principle 5-Respect and Promote Human Rights

(B) Principle 8-Promote inclusive growth and equitable development

(C) Principle 3-Promote well-being of all Employees including those in the Value Chain.

(D) Principle 4-Respect for stakeholders' Interests and Responsiveness.

(2 Marks)

15. *CA H, with an experience of 3 years in practice, has recently joined as a partner with JP & Associates, Chartered Accountants. He is making efforts to increase his professional income by taking up various assignments. Some of the areas where he has engaged himself are as under:*

(i) He is a part time faculty for the Live Virtual Classes run under the aegis of the Institute for CA Students.

(ii) He is also a lecturer of Management Accounting in one Private University in his locality.

(iii) He is providing tutorship to Class XII Commerce students of Good Edu Public School run by G H Educational Society.

(iv) He is providing consultation for recovery of loans and advances portfolio of MM Bank Limited.

The senior partner of his firm is of the view that all these assignments which CA H has taken up require specific and prior approval of the Council and that CA H will be deemed to be guilty of professional misconduct as he has not taken such approval.

Based on the above, which amongst the four activities require specific and prior approval of the Council?

(A) (i) & (ii)

(B) (ii) & (iii)

(C) (iii) & (iv)

(D) (ii) & (iv) ***(2 Marks)***

Answer Key

MCQ No.	Correct Option
1.	(C)
2.	(D)
3.	(A/C)
4.	(C)
5.	(B)
6.	(D)
7.	(C)
8.	(C)
9.	(B)
10.	(C)
11.	(A)
12.	(B)
13.	(C)
14.	(C)
15.	(B)

Part II – Descriptive Questions

*Question No.**1** is compulsory.*

*Candidates are required to answer any **four** questions from the remaining **five** questions.*

Working notes should form part of the answer.

Question 1

(a) DEF Apparels Ltd. is a manufacturing company with its business having a global outreach. The company appoints CA Y as the statutory auditor for the F.Y. 2024-25. During the audit, CA Y encountered the following issues:

(1) The company has a large manufacturing facility with Fixed Assets of the value of ₹ 250 crores, which constitutes 60% of the total assets. The facility was significantly damaged in flash floods during the year. Management refused to allow an independent valuer to assess the damage, claiming internal estimates are sufficient. The company has not made any provision for impairment despite visible damage to machinery and buildings. Insurance claims are pending with disputes regarding coverage.

(2) The company has entered into multiple transactions with related parties totalling ₹ 120 crores during the year. However, the management has refused to provide complete documentation regarding these transactions, citing confidentiality agreements. The audit team was denied access to board meeting minutes discussing these transactions and could not verify the commercial rationale or arm's length nature of these deals.

In view of the observations made, what kind of opinion should CA Y give in the Audit Report? Justify your answer citing the above scenarios. On the basis of opinion decided by CA Y, you are required to draft the Opinion and Basis of Opinion paragraph to be given in the Independent Auditor's Report.

(5 Marks)

(b) AXO Automobiles Limited, a leading manufacturer of electric vehicles, appoints WYZ & Co. Chartered Accountants as the statutory auditors for the financial year ended March 31, 2025. CA W, the engagement partner, during the course of audit identifies the following misstatements:

- *An amount of ₹ 4 lakhs of rent income has not been recorded due to oversight.*
- *An expense of ₹ 6 lakhs pertaining to F.Y. 2023-24 has been charged to Profit and Loss Account in F.Y. 2024-25.*
- *In a sample testing of warranty provisions, projected misstatement in the population is ₹ 10 lakhs.*

CA W is of the opinion that the above misstatements need to be rectified to portray the correct financial results of the company. The management of AXO Automobiles Ltd. refused to make the necessary corrections on the contention that these amounts were not material in relation to the company's turnover of ₹ 250 crores.

With reference to the relevant Standards on Auditing analyze the circumstances faced by CA W and guide him how he should evaluate the effect of these misstatements which are not corrected by the management. What communication requirements are applicable for the auditor in this situation? ***(5 Marks)***

(c) *XYZ & Co., a mid-sized audit firm, has recently expanded its operations and taken on several large clients. To manage the growing workload, the firm's CEO has delegated operational responsibilities for the firm's quality control system to two senior partners. However, certain concerns have been raised:*

(1) One of the partners, though commercially successful in bringing in new clients, has limited experience in audit quality oversight.

(2) The firm's new incentive system heavily rewards partners and staff based on revenue generation and client acquisition, with little emphasis on audit quality or compliance with professional standards.

(3) Due to rapid expansion, the firm has allocated most of its resources towards marketing and client development.

The aforesaid concerns reflect on which element of quality control within the firm as per SQC1? What are the considerations one should exercise to achieve quality in all the engagements that the firm performs? ***(4 Marks)***

Answer

(a) In the present case, CA Y, the statutory auditor of DEF Apparels Ltd. for the financial year 2024–25, is unable to obtain sufficient and appropriate audit evidence in respect of following matters that are material and pervasive to the financial statements:

1. The company's fixed assets amounting to ₹ 250 crores constitute about 60% of the total assets and were significantly damaged due to flash floods during the year. However, management refused to permit an independent valuation of the damaged assets and relied solely on internal estimates. Despite visible damage to machinery and buildings and pending insurance claims with disputes regarding coverage, the company has not made any provision for impairment loss. Due to this management-imposed limitation, *the* auditor is unable to assess the impairment, if any, and consequently cannot ascertain the carrying value of fixed assets.

2. The company entered into related party transactions aggregating to ₹ 120 crores during the year. Management refused to provide complete documentation relating to these transactions and denied access to board meeting minutes citing confidentiality agreements. As a result, the audit team was unable to verify the commercial rationale, arm's length nature, completeness, and adequacy of disclosure of such related party transactions. The auditor was therefore unable to obtain sufficient appropriate audit evidence in respect of these transactions.

   In the above two circumstances the auditor is unable to obtain sufficient appropriate audit evidence on which to base the opinion, and the possible effects on the financial statements of undetected misstatements, if any, could be both material and pervasive as per SA 705.

   Thus, CA Y should give a *Disclaimer of Opinion*.

   The relevant extract of the Disclaimer of Opinion Paragraph and Basis for Disclaimer of Opinion paragraph is as under:

   Disclaimer of Opinion

   We were engaged to audit the financial statements of DEF Apparels Ltd. ("the entity"), which comprise the balance sheet as at

March 31, 2025, the statement of Profit and Loss, [the statement of changes in equity (where applicable)] and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

We do not express an opinion on the accompanying financial statements of DEF Apparels Ltd. because of the significance of the matters described in the Basis for Disclaimer of Opinion section of our report, we have not been able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on these financial statements.

Basis for Disclaimer of Opinion

The Company's manufacturing facility, carrying a value of ₹ 250 crores (representing 60% of total assets), sustained significant physical damage due to flash floods during the year. The management has neither allowed an independent valuation nor recorded any impairment provision. In the absence of a formal assessment and given the pending insurance disputes, we were unable to determine the extent of the required write-down and its consequential impact on the financial statements.

We were unable to verify the completeness, commercial rationale, and arm's length nature of related party transactions totalling ₹ 120 crores. Management refused to provide supporting documentation and denied us access to the minutes of the meetings of the Board of Directors citing confidentiality agreements. Consequently, we were unable to verify the commercial rationale, arm's length nature, and completeness of disclosures of these related party transactions.

(b) SA 450 "Evaluation of Misstatements Identified During the Audit", deals with the auditor's responsibility to evaluate the effect of identified misstatements on the audit and of uncorrected misstatements, if any, on the financial statements.

In the given situation, the auditor CA W should categorize the identified misstatements to evaluate their nature and impact in case of rent income of 4 lakhs not recorded due to oversight, expenses of 6 lakhs pertaining to F.Y. 2023-24 charged to Profit & Loss Account in F.Y. 2024-25, and for projected misstatement in the population sample test of warranty

provisions of 10 lakhs. However, after insisting for rectification to reflect the correct financial results of the company, Management of AXO Automobiles Ltd. refused to make necessary corrections. Therefore, CA W shall evaluate the effect of these misstatements which are not corrected by management in following manner**:**

Prior to evaluating the effect of uncorrected misstatements, the auditor shall reassess materiality determined in accordance with SA 320 to confirm whether it remains appropriate in the context of the entity's actual financial results.

The auditor shall determine whether uncorrected misstatements are material, individually or in aggregate. In making this determination, the auditor shall consider:

- The size and nature of the misstatements, both in relation to particular classes of transactions, account balances or disclosures and the financial statements as a whole, and the particular circumstances of their occurrence; and
- The effect of uncorrected misstatements related to prior periods on the relevant classes of transactions, account balances or disclosures, and the financial statements as a whole.

Communication: The auditor shall communicate with those charged with governance, in accordance with SA 260, uncorrected misstatements and the effect that they, individually or in aggregate, may have on the opinion in the auditor's report, unless prohibited by law or regulation. The auditor's communication shall identify material uncorrected misstatements individually. The auditor shall request that uncorrected misstatements be corrected.

Further, the auditor shall also communicate with those charged with governance the effect of uncorrected misstatements related to prior periods on the relevant classes of transactions, account balances or disclosures, and the financial statements as a whole.

(c) SQC 1, "Quality Control for Firms that Perform Audits and Reviews of Historical Financial Information, and Other Assurance and Related Services Engagements," requires firms to establish policies and procedures designed to promote an internal culture based on the recognition that

quality is essential in performing engagements. Such policies and procedures should require the firm's chief executive officer or the firm's managing partners to assume ultimate responsibility for the firm's system of quality control. The example set by firm's leadership encourages an inner culture that recognizes high quality audit work.

It has been laid down clearly that the firm's business strategy is subject to the overriding requirement for the firm to achieve quality in all the engagements that the firm performs. Essentially, it implies that audit quality is paramount in all engagements. It is non-negotiable.

In the given situation, XYZ & Co., a mid-sized audit firm, has recently undergone rapid expansion and taken several large clients. In order to manage the increased workload, the firm's CEO has delegated operational responsibilities for the firm's system of quality control to two senior partners. However, concerns have emerged regarding the competence of the personnel entrusted with quality oversight, the firm's incentive structure being heavily revenue-oriented, and the disproportionate allocation of resources towards marketing activities. These issues raise questions about the firm's commitment to audit quality and compliance with professional standards and primarily reflect weaknesses in the "Leadership responsibilities for quality within the firm" element of quality control as per SQC 1.

Overall, such a situation reflects lack of proper establishment of quality control framework at top of the firm. Following considerations should be taken into account while upholding quality of firm: -

(i) The firm assigns its management responsibilities so that commercial considerations do not override the quality of work performed.

(ii) The firm's policies and procedures addressing performance evaluation, compensation, and promotion (including incentive systems) with regard to its personnel are designed to demonstrate the firm's overriding commitment to quality and

(iii) The firm devotes sufficient resources for the development, documentation and support of its quality control policies and procedures.

Question 2

(a) MNP Manufacturing Ltd., a listed company with a turnover of ₹2,500 crores, appointed three joint auditors: CA Anil & Associates, CA Raman & Co. and CA Reena & Associates to undertake the statutory audit of the company. The joint auditors divided the work amongst themselves in accordance with SA 299. CA Anil & Associates were responsible for fixed assets and related depreciation, CA Raman & Co. took the area of cash, bank and investments and CA Reena & Associates handled inventory and receivables.

At the Annual General Meeting held on 30th September 2025, the company decided not to reappoint CA Reena & Associates due to disagreements over certain audit observations regarding valuation of inventory. The shareholders passed a special resolution appointing CA Neha & Associates in place of CA Reena & Associates, while retaining the other two joint auditors CA Anil & Associates and CA Raman & Co.

CA Neha accepted the appointment immediately upon receiving the company's appointment letter and a certificate regarding compliance of provisions of the Companies Act, 2013. However, she later discovered that the company had not sent any special notice to the shareholders regarding her appointment as required under the Companies Act, 2013. She also found that CA Reena & Associates had not been given an opportunity to make representations to the shareholders regarding her non-reappointment.

Analyze the professional conduct of CA Neha in light of the provisions of the Chartered Accountants Act, 1949 and Schedules thereto. ***(5 Marks)***

(b) You have been appointed as internal auditor of a Company manufacturing and trading in Chemicals. You have asked your team to review the internal controls and get the first hand information of each department and their heads and note their respective roles in the company's procurement and inventory processes.

Your team has observed that-

(i) The Head of Purchase department, a relative of the promoter, has for several years been in-charge of purchasing and sanctioning payments, without allowing anybody to question him.

(ii) There has been no rotation of duties for several years of most of the employees, in particular, the Chief Accountant who has a good rapport with majority customers.

(iii) The Storekeeper also has not kept adequate stock records since he joined the company without carrying out physical verification of the assets.

Analyse the specific violations of the principles of an adequate internal check system. Evaluate how these control deficiencies, individually and collectively, increase the inherent and control risk for the entity. ***(5 Marks)***

(c) M/s RSP & Associates, a firm of Chartered Accountants, has been engaged to conduct a review of the financial statements of AR Pvt. Ltd. for the quarter ended 30th September 2025.

During the review, the engagement partner, CA R, explained to the audit team that unlike a full-scope audit, a review primarily relies on inquiries and analytical procedures to obtain limited assurance about whether the financial statements are prepared in accordance with the applicable financial reporting framework.

Explain how performing analytical procedures assists the practitioner in a review of financial statements. ***(4 Marks)***

Answer

(a) As per Clause (8) of Part I of First Schedule to the Chartered Accountants Act, 1949, a CA in practice is deemed to be guilty of professional misconduct if he accepts a position as auditor previously held by another chartered accountant or a certified auditor who has been issued certificate under the Restricted Certificate Rules, 1932 without first communicating with him in writing.

Further, as per Clause (9) of Part I of First Schedule to the Chartered Accountants Act, 1949, a CA in practice is deemed to be guilty of professional misconduct if he accepts an appointment as auditor of a company without first ascertaining from it whether the requirements of Section 225 of the Companies Act, 1956 (1 of 1956), or sections 139 to 141 of the Companies Act, 2013 or any other law pertaining to appointment of auditors for the time being in force, in respect of such appointment have been duly complied with.

Under this clause it is obligatory on the incoming auditor to ascertain from the Company that the appropriate procedure in the matter of his appointment has been duly complied with so that no shareholder or retiring auditor may, at a later date, challenge the validity of such appointment.

For the purpose of ascertaining whether the Company has complied with the provisions of Section 140 of the Companies Act the incoming auditor should verify the records of the Company that whether a member of the Company has given special notice of the resolution as required under Section 140 (4) of the Companies Act, 2013 and to ensure that whether this special notice has been sent to all the members, of the Company as required under the Companies Act, 2013.

In the given case, CA Neha accepted the audit appointment immediately on receipt of the company's appointment letter and certificate of compliance, without first ensuring that proper professional communication had been made with the outgoing auditor, CA Reena & Associates, who was not reappointed due to disagreements over certain audit observations.

Therefore, CA Neha will be held guilty of professional misconduct under the Clause (8) and Clause (9) of Part I of First Schedule to the Chartered Accountants Act, 1949, if she accepts the appointment without communicating with previous auditor as well as for not verifying the compliance of statutory requirements.

(b) Based on the observations made by the internal audit team, the following violations of the principles of an adequate internal check system are identified:

(i) The Head of the Purchase Department, being a relative of the promoter, has been entrusted with both purchasing and sanctioning of payments for several years without allowing anybody to question him. This violates the fundamental principle that no single person should have complete control over any important aspect of business operations and that every employee's actions should come under the review of another person. It also breaches the principle relating to distribution of financial and administrative powers and their periodic review.

(ii) There has been no rotation of duties for several years of most of the employees, in particular, the Chief Accountant, who has a good rapport with major customers. This violates the principle that staff duties should be rotated from time to time so that employees do not perform the same function for a considerable length of time.

(iii) The Storekeeper has failed to maintain proper stock records and no physical verification of assets has been carried out since his appointment. This violates the principle that that those with physical custody of assets should not have access to accounting records. It also violates the principle that there should exist an accounting control in respect of each class of assets, in addition there should be periodical inspection so as to establish their physical condition.

Impact of Control Deficiencies on Inherent and Control Risk:

Increased Inherent Risk: The nature of the procurement and inventory functions makes them inherently susceptible to fraud such as fictitious purchases, overbilling, or theft of stock. The lack of proper controls means that these inherent risks are not mitigated.

Increased Control Risk: Non-rotation of accounting staff increases the risk of collusion and manipulation of receivables, while absence of stock records and physical verification exposes the company to theft, pilferage, and incorrect inventory valuation. The identified deficiencies demonstrate that the company's internal control system is not operating effectively. This leads to a high control risk in the procurement and inventory cycles.

(c) As per SRE 2400, "Engagements to Review Historical Financial Statements", In a review of financial statements, performing analytical procedures assists the practitioner in:

(i) Obtaining or updating the practitioner's understanding of the entity and its environment, including to be able to identify areas where material misstatements are likely to arise in the financial statements.

(ii) Identifying inconsistencies or variances from expected trends, values or norms in the financial statements such as the level of congruence of the financial statements with key data, including key performance indicators.

(iii) Providing corroborative evidence in relation to other inquiries or analytical procedures already performed.

(iv) Serving as additional procedures when the practitioner becomes aware of matters that cause the practitioner to believe that the financial statements may be materially misstated.

Question 3

(a) The Comptroller and Auditor General of India (C&AG) appointed M/s. VR & Associates, a firm of Chartered Accountants, to conduct the audit of Sunshine Ltd., a Public Sector Undertaking (PSU) under the Government of India and intimated to the auditors about the following concerns in respect of the PSU.

Sunshine Ltd. proposed to set up a solar panel manufacturing project in North Gujarat with an estimated cost of ₹ 5,750 crores, which included ₹ 2,000 crores earmarked for Research and Development (R&D). While all approvals, documentation, and statutory requirements were duly complied with, the C&AG expressed concern that the proposed R&D expenditure appeared wasteful and lacking justification on the tests of public interest, as several established companies were already engaged in similar activities in that region.

Identify the type of audit that the C&AG expects M/s. VR & Associates to conduct in this context. Also, explain the principles of this audit. ***(5 Marks)***

(b) CA Amit, the auditor of KRT Pvt. Ltd, also undertakes statutory compliances related to Income Tax, GST and MCA for the client. For carrying out the compliances within the time limits KRT Pvt. Ltd. transfers ₹ 3,00,000 to CA Amit with an email that clearly earmarks the utilization of the said amount:

(1) ₹ 1,20,000 is paid as an advance towards professional fees for ongoing audit and taxation work.

(2) ₹ 1,80,000 is to be utilized to make statutory payments of TDS, GST, MCA filings and DIN renewals falling due within 1 month.

CA Amit receives the above amount of ₹ 3,00,000 in his regular savings account.

From the amount of ₹ 1,80,000, he deposits ₹ 50,000 towards TDS payable and ₹ 60,000 against GST liability on the due dates that fall within 1 month from the date of receiving the money from the client.

The balance ₹ 70,000 pertaining to MCA filings and DIN renewals was deposited after 3 months due to portal issues. In between, CA Amit paid his office rent of ₹40,000 from this amount and deposited it back in that account within 2 weeks.

Analyse the actions of CA Amit and comment with reference to the Chartered Accountants Act, 1949 and Schedules thereto. ***(5 Marks)***

(c) Everfresh Beverages Limited has recently implemented Robotic Process Automation (RPA) across various business processes to enhance operational efficiency and reduce manual errors. The company has deployed RPA bots in key areas, namely, invoice processing, payroll generation and purchase order processing. This has resulted in significant time saving and improved accuracy in routine processes.

As the statutory auditor of Everfresh Beverages Limited, discuss the key audit implications and the common risks associated with RPA. ***(4 Marks)***

Answer

(a) The type of audit that the Comptroller and Auditor General of India (C&AG) expect M/s. VR & Associates to conduct in this context is Propriety Audit since C&AG expressed concern that the proposed R&D expenditure of ₹2,000 crores appeared wasteful and lacking justification on the test of public interest. Propriety audit stands for verification of transactions on the tests of public interest, commonly accepted customs and standards of conduct.

Propriety requires transactions, and more particularly expenditure, to conform to certain general principles. The following principles should be applied by M/s. VR & Associates:

(i) that the expenditure is not *prima facie* more than the occasion demands and that every official exercises the same degree of vigilance in respect of expenditure as a person of ordinary prudence would exercise in respect of his own money;

(ii) that the authority exercises its power of sanctioning expenditure to pass an order which will not directly or indirectly accrue to its own advantage;

(iii) that funds are not utilised for the benefit of a particular person or group of persons and

(iv) that, apart from the agreed remuneration or reward, no other avenue is kept open to indirectly benefit the management personnel, employees and others.

(b) As per Clause (10) of Part I of Second Schedule to the Chartered Accountants Act, 1949, a Chartered Accountant in practice shall be deemed to be guilty of professional misconduct, if he fails to keep moneys of his client other than fees or remuneration or money meant to be expended in a separate banking account or to use such moneys for purposes for which they are intended within a reasonable time.

In the course of his engagement as a professional accountant, a member may be entrusted with money belonging to his client. If he should receive such funds, it would be his duty to deposit them in a separate banking account, and to utilize such funds only in accordance with the instructions of the client or for the purposes intended by the client.

In this connection the Council has considered some practical difficulties of the members and the following suggestions have been made to remove these difficulties:

(i) An advance received by a Chartered Accountant against services to be rendered does not fall under Clause (10) of Part I of the Second Schedule.

(ii) Moneys received for expenses to be incurred, for example, payment of prescribed statutory fees, purchase of stamp paper etc., which are intended to be spent within a reasonably short time need not be put in a separate bank account. For this purpose, the expression; "reasonably short time", would depend upon the circumstances of each case.

(iii) Moneys received for expenses to be incurred which are not intended to be spent within a reasonably short time as aforesaid, should be put in a separate bank account immediately.

In the given situation, CA Amit receives ₹ 3,00,000 from KRT Pvt. Ltd. in his regular savings account. An analysis of CA Amit's actions with reference to the above provisions are as under: -

- ₹ 1,20,000 received as advance towards professional fees is correctly kept in savings account by CA Amit.
- ₹ 70,000 which was not paid within one month for MCA filings and DIN renewals should have been transferred to a separate bank account as the payment was delayed for more than a reasonably short time.
- ₹ 40,000 which was utilized for payment of office rent of CA Amit and later on replaced, is against the instructions of the client.

In view of above, CA Amit is guilty of professional misconduct under Clause (10) of Part I of the Second Schedule to the Chartered Accountants Act for not keeping the amount of ₹ 70,000 in a separate bank account and for utilizing an amount of ₹ 40,000 which was not in accordance with the instructions of the client.

(c) RPA - Key Audit Implications:

- It is of utmost importance for auditors to understand RPA processes, which include data extraction, aggregation, sanitization and cleansing. Unless auditors understand these processes, they will not be in a position to initiate an audit.
- A comprehensive assurance process might demand review of the source code.
- To perform substantive testing, auditors must have an understanding of the tools used to develop and maintain RPA. This will be helpful when auditors review logs, configuration controls, privileged access controls and the like. General IT controls are applicable as always.

Common Risks of RPA:

Operational and execution risks: Robots are deployed without proper operating model. Buying the wrong tool, making wrong assumptions, taking shortcuts, and jeopardizing security and compliance. Assigning proper responsibilities, training and clearly stating about changing roles also can help you reduce operational risk to a great extent.

Change management risks: Not following the change management implementation lifecycle, improper and incomplete testing (not covering all scenarios) leads to inaccurate results.

RPA Strategy Risk: Setting wrong expectations, improper KPIs, and unrealistic business goals creates an environment of uncertainty. Management should discuss, and analyze the complete working characteristics, potential, and limitations of RPA before drafting a robotic process automation.

Question 4

(a) CA Rohan is the engagement partner for the audit of Horizon Ltd.'s complete set of financial statements for the year ended March 31, 2025. During the audit, he identified a material misstatement concerning the valuation of a specific class of inventory. As a result, CA Rohan concluded that it was necessary to express a qualified opinion on the complete set of financial statements.

Subsequently, Horizon Ltd. prepared summary financial statements derived from these audited financial statements and requested CA Rohan to issue a report on them. After performing the required procedures, CA Rohan is satisfied that the summary financial statements are consistent, in all material respects, with the audited financial statements, in accordance with the applied criteria.

(i) Based on the requirements of relevant SA, advise CA Rohan on the specific additional disclosures he must include in auditor's report on the summary financial statements, considering the qualified opinion on the audited financial statements.

(ii) In the above case, if the auditor's report on the audited financial statements contains an adverse report, then which additional elements are required to be disclosed in the auditor's report on the summary financial statement? ***(5 Marks)***

(b) M/s. Arora & Taneja, a firm of Chartered Accountants with four partners, has recently been recognized for its strong commitment to professional development and community service. During the F.Y. 2024-25, the following instances came to light during a peer review:

(1) Support to ICAI Programme Organizing Unit (PoU):

The firm contributed funds to the "Financial Reporting Update Seminar" organized by one Program Organising Unit of the ICAI. The event had

prior approval from the CPE Directorate, and the firm's name was included among the sponsors in the official ICAI circular and event signage.

(2) CSR Activity by Partner:

One of the partners, CA Anjali Taneja, personally financed a Clean Water Drive under her company's CSR initiative. The posters and banners displayed the following:

"An initiative supported by CA Anjali Taneja (Partner, Arora & Taneja)" [Firm's logo was displayed at the bottom corner of the banner]

Analyse the professional and ethical implications of the above situations in light of the ICAI Code of Ethics. ***(5 Marks)***

(c) Global Techno Systems Limited is among the top 1000 listed companies in the country. The company is preparing and presenting its Integrated Report in line with the internationally recognized Integrated Reporting Framework. The company continues to align its BRSR disclosures with its Integrated Report to demonstrate how it creates value over the short, medium, and long term through effective use of the six capitals.

Following further information is provided in respect of the above company:

(i) The company has implemented a structured leadership development programme for its employees across all divisions. This initiative focuses on enhancing professional skills, innovation capabilities, and ethical decision-making, resulting in improved employee engagement and alignment with the organization's long-term strategy.

(ii) The company has commissioned a new, fully automated production line equipped with modern machinery and smart control systems. This has significantly improved production efficiency, reduced wastage, and enhanced product quality, leading to overall improvement in operational performance.

Discussing the above information, identify and explain which of the capitals of Integrated Reporting are being referred to at (i) and (ii) respectively. ***(4 Marks)***

Answer

(a) (i) As per SA 810 "Engagements to Report on Summary Financial Statements", if the auditor is satisfied that the summary financial statements are consistent, in all material respects, with or are a fair summary of the audited financial statements, in accordance with the applied criteria, the auditor's report on the summary financial statements shall

- State that the auditor's report on the audited financial statements includes a qualified opinion.
- Describe the basis for the qualified opinion on the audited financial statements and the effect thereof, if any, on the summary financial statements

(ii) If the auditor's report on the audited financial statements contains an adverse opinion, the auditor's report on the summary financial statements shall, in addition to the elements:

- State that the auditor's report on the audited financial statements contains an adverse opinion or disclaimer of opinion;
- Describe the basis for that adverse opinion; and
- State that, as a result of the adverse opinion on the audited financial statements, it is inappropriate to express an opinion on the summary financial statements.

(b) Clause (6) of Part I of the First Schedule to the Chartered Accountants Act, 1949 refers to professional misconduct of a member in practice if he solicits client or professional work either directly or indirectly, by circular, advertisement, or personal communication or interview or by any other means.

There are some forms of soliciting work which the council has prohibited, which includes Sponsoring Activities:

- Member in practice or a Firm of Chartered Accountants is not permitted to sponsor an event. However, such member or Firm may sponsor an event conducted by a Programme Organizing Unit (PoU) of the ICAI, provided such event has the prior approval of Continuing Professional Education (CPE) Directorate of the ICAI.

- Members sponsoring activities relating to Corporate Social Responsibility may mention their individual name with the prefix "CA". However, the mention of Firm name or CA Logo is not permitted.

(1) In the given situation, M/s. Arora & Taneja, a firm of Chartered Accountants, contributed funds to the "Financial Reporting Update Seminar" organized by one Program Organising Unit of the ICAI with prior approval from the CPE Directorate. Therefore, M/s Arora & Taneja shall not be held guilty of professional misconduct under Clause (6) of Part I of the First Schedule to the Chartered Accountants Act, 1949 since member or firm may sponsor an event conducted by a Programme Organizing Unit (PoU) of the ICAI with the prior approval of Continuing Professional Education (CPE) Directorate.

(2) In the given situation, CA Anjali Taneja, a partner of firm who personally financed a clean water drive under her company's CSR initiative, displayed the name, designation and Firm Logo in the posters and banners at the bottom corner of the banner. Therefore, she will be held guilty of professional misconduct under Clause (6) of Part I of the First Schedule to the Chartered Accountants Act, 1949 as members sponsoring activities relating to CSR may mention their individual name with the prefix "CA" but mention of Firm name or CA Logo is not permitted.

(c) Capitals of Integrated Reporting

(i) The capital referred to here is **Human Capital**.

People's skills and experience, their capacity, and motivations to innovate, including their:

- Alignment with and support of the organization's governance framework & ethical values such as its recognition of human rights.
- Ability to understand and implement an organization's strategy.
- Loyalties and motivations for improving processes, goods, and services, including their ability to lead and to collaborate.

(ii) The capital referred to here is **Manufactured Capital.**

- Seen as human-created, production-oriented equipment and tools.

- Available to the organization for use in the production of goods or the provision of services, including buildings, equipment, infrastructure (such as roads, ports, bridges & waste, and water treatment plants).

Question 5

(a) You have been appointed as the statutory auditor of KYM Pvt. Ltd. for the F.Y. 2024-25. The company has a Paid-up capital and Reserves & Surplus of ₹ 2 Cr; total borrowings of ₹ 9 Cr; total revenue ₹ 9 Cr. (excluding revenue of ₹ 2 Cr. from discontinuing operations) during F.Y. 2024-25.

You are required to state additional matters specified, as may be applicable, besides the report u/s 143 of the Companies Act, 2013 with regard to the following aspects:

(i) The company has incurred cash losses of ₹ 50 Lakh during F.Y. 2024-25 and ₹ 75 Lakh during F.Y. 2023-24 with negative working capital. The suppliers have reduced credit period while some customers have delayed payments beyond the credit period. A few customers have been declared insolvent.

(ii) The company has been continuously in profits since inception. Because of the losses incurred during the last two F.Y.s, the management suspected certain financial irregularities. Subsequently, a fraud was discovered through proper mechanism and was being addressed by the management on certain complaints filed with them. You have been informed of such a case.

(iii) The company has been awarded certain projects during F.Y. 2023-24 of Metrolines, Monorail and Coastal Roads for which the company had borrowed funds ₹ 4 Cr. from Bank. Metrolines and Monorail were ongoing projects but the Coastal Road project was yet to commence to-date and the amount unspent is ₹ 4 Cr. sanctioned for this project.

(iv) In the case of ongoing projects of Metrolines and Monorail, there was an unspent amount of ₹ 2 Cr. as on 31-03-2025.

Is there any reporting responsibility cast on you regarding the above matters of KYM Pvt. Ltd. under CARO 2020 for F.Y. 2024-25? If no, where and how the above matters would be dealt with in your audit report for F.Y. 2024-25?

(5 Marks)

(b) As the senior audit manager for "Alpha Tech Ltd.", a listed technology company with significant debt financing, you are planning the audit for the financial year ending March 31, 2025. Your previous two audits resulted in an unmodified opinion. However, the company has recently been in the media spotlight due to allegations of manipulating share prices and not disclosing all related party transactions. The company is under intense pressure from external stakeholders to meet aggressive earnings targets.

During your preliminary risk assessment, you identify that:

- *A significant portion of the senior management's compensation is tied to achieving unrealistic profitability targets.*
- *The company's financial results show rapid, unusual profitability compared to its competitors.*
- *A number of significant, complex, and unusual transactions occurred very close to the year-end.*
- *You also notice that there has been a high turnover of senior management and legal counsel in the past year.*

Based on the above facts and with reference to relevant SA, you are required to identify and explain the specific fraud risk factors present in the scenario that suggest a heightened risk of material misstatement due to fraudulent financial reporting. ***(5 Marks)***

(c) A practicing Chartered Accountant, Mr. P, is approached by a prominent retail chain to conduct "Mystery Audits" at their stores. The goal of the audit is to evaluate compliance with internal policies and service standards. Mr. P accepts the assignment and structures his professional fees to be contingent upon the number of operational lapses and non-compliances he identifies, with a higher fee for more significant findings.

Discuss whether Mr. P is guilty of professional misconduct under the Chartered Accountants Act, 1949, with specific reference to the relevant schedules. ***(4 Marks)***

Answer

(a) CARO 2020 is an additional reporting requirement applicable to all companies unless specifically exempted. In the given case, KYM Pvt. Ltd. is a private limited company and is not a banking company, insurance

company, Section 8 company, One Person Company or a small company. Further, although its paid-up capital and reserves are 2 crore, its total borrowings are ₹ 9 crore, which exceeds the exemption limit of ₹ 1 crore prescribed for private companies. Accordingly, KYM Pvt. Ltd. does not fall under the exempted category, and therefore, CARO 2020 is applicable to the company for the F.Y. 2024-25.

(i) In the given situation, Company has incurred cash losses of ₹ 50 lakh during F.Y. 2024-25 AND ₹ 75 lakh with negative working capital. The auditor is required to report under Clause (xvii) of Paragraph 3 of CARO, 2020, that whether the company has incurred cash losses in the financial year and in the immediately preceding financial year, if so, state the amount of cash losses.

(ii) In respect of the fraud discovered by the management, the auditor is required to report under Clause (xi) (c) of Paragraph 3 of CARO, 2020, which requires the auditor to state whether the auditor has considered whistle-blower complaints, if any, received during the year by the company;

(iii) KYM Pvt Ltd has obtained term loans of ₹ 4 crores for the Metrolines, Monorail and Coastal Roads from the Bank in the year 2023-24. Coastal Road project has not commenced as on 31-03-2025 and hence the loan remains unutilised. Under Clause 3(ix)(c) of CARO, 2020, the auditor is required to report on the application of term loans which requires the auditor to state whether term loans were applied for the purpose for which the loans were obtained; if not, the amount of loan so diverted and the purpose for which it is used may be reported; Mere non-utilisation due to non-commencement of the project does not constitute diversion or misuse of funds. Accordingly, no adverse reporting or qualification is required, though an explanatory statement is to be included in the CARO report indicating non-utilisation of the term loan. Subject to adequate disclosure in the notes, the audit opinion remains unmodified.

(iv) With regard to the Metrolines and Monorail projects, which are ongoing in nature, the existence of an unspent amount of ₹ 2 crores as on 31-03-2025 represents normal timing differences in the execution of long-term infrastructure projects. Under Clause 3(ix)(c) of

CARO, 2020, the auditor is required to report on the application of term loans for their intended purposes. Where term loans are not fully utilised due to the stage of execution of the project, an explanatory remark is required in the CARO report. Since the funds are intended to be applied for the stated purpose and there is no diversion, misuse or default, no adverse reporting under CARO, 2020 is warranted.

The auditor is also required to evaluate the entity's ability to continue as a going concern as per SA 570 and express the opinion in his report accordingly.

(b) As per SA 240 "The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements", fraud risk factors are events or conditions that indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud.

Specific Fraud Risk Factors Present in Alpha Tech Ltd.:

Incentives/Pressures:

- **A significant portion of the senior management's compensation is tied to achieving unrealistic profitability targets:** Financial stability or profitability is threatened by economic, industry, or entity operating conditions, such as rapid growth or unusual profitability especially compared to that of other companies in the same industry.
- **The company's financial results show rapid, unusual profitability compared to its competitors:** Financial stability or profitability is threatened by economic, industry, or entity operating conditions, such as high degree of competition or market saturation, accompanied by declining margins.

Opportunities:

- **A number of significant, complex, and unusual transactions occurred very close to the year-end:** The nature of the industry or the entity's operations provides opportunities to engage in fraudulent financial reporting that can arise from the Significant, unusual, or highly complex transactions, especially those close to period end that pose difficult "substance over form" questions.

- **High turnover of senior management and legal counsel in the past year:** High turnover of senior management and legal counsel creates low morale among senior management.

(c) According to Clause (10) of Part I of First Schedule to the Chartered Accountants Act, 1949, a Chartered Accountant in practice shall be deemed to be guilty of professional misconduct if he charges or offers to charge, accepts or offers to accept in respect of any professional employment fees which are based on a percentage of profits or which are contingent upon the findings, or results of such employment, except as permitted under any regulations made under this Act.

Further, as per Recent Decisions of Ethical Standards Board, it is permissible for a member in practice to accept the assignment of Mystery Audit.

In the given case, Mr. P, a practicing Chartered Accountant, has accepted the assignment of Mystery Audit and structured his professional fees to be contingent upon the number of operational lapses and non-compliance he identifies, with higher fee for more significant findings. While acceptance of the Mystery Audit assignment per se is permissible, the fee arrangement being contingent upon the findings is not allowed.

Accordingly, Mr. P would be held guilty of professional misconduct under Clause (10) of Part I of the First Schedule to the Chartered Accountants Act, 1949 for charging fees which are contingent upon the findings.

Question 6

(a) M/s. AKP & Co., Chartered Accountants, have been engaged by Tech Systems Ltd. (TSL), a listed company engaged in cloud computing solutions and enterprise software services, to conduct a Due Diligence Review in connection with its proposed acquisition of a 70% stake in Code Technologies Pvt. Ltd. (CTPL), a fast-growing start-up specializing in artificial intelligence (AI) and data analytics.

The management of TSL believes that CTPL's proprietary Al models and client portfolio could provide significant strategic advantage, but its finance and legal teams have expressed concerns regarding revenue projections, compliance with data protection laws, cybersecurity regulations, and corporate filings.

You are the senior audit manager at M/s. AKP & Co. and are responsible for planning and conducting the due diligence engagement. The audit staff is new to this kind of work. You are required to explain the steps involved in conducting due diligence to the audit team. ***(5 Marks)***

(b) *SDI Bank Ltd. is finalizing its financial statements for the year ended 31st March, 2025. PAM & Associates, Chartered Accountants are appointed statutory auditors of SDI Bank Ltd. for the financial year 2024-25. CA M is the engagement partner for conducting the audit.*

During the course of audit, the audit team seeks guidance of CA M, the engagement partner for the following observations made while conducting the audit of investments:

(i) The bank holds ₹ 450 crores in government securities, ₹ 250 crores in debentures, ₹ 95 crores in shares and ₹ 75 crores in bonds. During the audit, it is noticed that the investment team comprising of 4 staff members, is responsible for all investment functions.

(ii) There are 5 Bank Receipts (BRs) with other banks totalling ₹ 35 crores at the year end. Out of these 3 BRs have been outstanding for more than 8 months.

(iii) The audit team observes during the course of audit that during the year the Bank has re-classified ₹ 80 crores of investments from AFS (available for sale) to HTM (held to maturity) on the basis of a resolution passed by Asset Liability Committee, but without explicit approval from the Board of Directors.

Outline the audit procedures that CA M, the engagement partner will advise the audit team to be undertaken to address each of these observations.

(5 Marks)

(c) *RBR Infrastructure Pvt. Ltd. is bidding for a long-term government project involving construction of smart highways. As part of the bidding documents, the company is required to present Prospective Financial Information (PFI) for the next five years to demonstrate its financial viability. CA J has been engaged to examine the Prospective Financial Information. While examining the PFI, CA J observes that the Management has assumed zero increase in construction material costs over five years, even though industry reports predict a steady 6-8% annual increase due to inflation. Further, the company*

has based its revenue projections on the assumption that it will win two additional large contracts, even though bids are yet to be submitted. Elaborate on the duties of CA J while examining the Prospective Financial Information. ***(4 Marks)***

OR

(c) *PMP Industries Ltd. is a listed manufacturing company. CA F is the statutory auditor for the F.Y. 2024-25. During the course of audit CA F and his audit team made the following observations:*

- *Fictitious sales of ₹20 crores through fake invoices*
- *Missing inventory worth ₹8 crores with forged records*

On communicating the observations with the Management and those charged with governance they refused to take corrective action. Instead of making the corrections, the Managing Director threatened legal action if disclosures are made in the Audit Report. The Board of Directors is divided, with promoter directors supporting the Managing Director and others agreeing to the auditor's contention.

Since the fraud is material to the financial statements, CA F finds it difficult to continue the audit engagement due to these exceptional circumstances. State with reference to the relevant Standard on Auditing the course of action CA F will take. ***(4 Marks)***

Answer

(a) Steps involved in conducting the due diligence:

(i) Start with an open mind. Do not assume that anything wrong will be found and look for it. What needs to be done is to identify trouble spots and ask for explanations.

(ii) Get the best team of people. If you do not have a group of people inside your firm that can do the task (e.g. lack of staff, lack of people who know the new business because you are acquiring a business in an unrelated area, etc.), there are due diligence experts that you can hire. When hiring such professionals, look for their experience record in the industry.

(iii) Get help in all areas like finance, tax accounting, legal, marketing, technology, and any others relevant to the assignment so that you get a 360-degree view of the acquisition candidate.

(iv) Talk to customers, suppliers, business partners, and employees are great resources.

(v) Take a risk management approach. So, while you want to do your research, you also want to make sure that you do not antagonise the team of people of the target company by bogging them down with loads of questions.

(vi) Prepare a comprehensive report detailing the compliances and substantive risks/issues.

(b) CA M, the engagement partner, will advise the audit team to undertake the following audit procedures to address the given observations:

(i) Concentration of Investment Functions with Four Staff Members

- Review the investment policy of the bank to ascertain that the policy conforms, in all material respects, to the RBI's guidelines as well as to any statutory provisions applicable to the bank.
- Check the segregation of duties within the bank staff in terms of executing trades, settlement and monitoring of such trades, and accounting of the same (generally termed as front office, middle office and back-office functions' segregation).
- Assess whether the concentration of all investment functions with a limited number of staff members indicates a weakness in internal controls, necessitating increased audit attention.

(ii) Outstanding Bank Receipts (BRs) for More Than Eight Months:

- In respect of BRs issued by other banks and on hand with the bank at the year-end, the auditor should examine confirmations of counterparty banks about such BRs.
- Where any BRs have been outstanding for an unduly extended period, the auditor should obtain written explanation from the management for the reasons thereof.

- The auditor should examine the reconciliation of BRs issued by the bank.
- BRs should not be issued in respect of transactions in government securities for which SGL facility is available.

(iii) Re-classification of Investments from AFS to HTM without explicit approval from the Board of Directors.

- Examine that entire investment portfolio of bank is classified under three categories i.e.HTM, HFT and AFS and shifting of securities is as per regulatory norms and laid down policy.
- Examine whether the shifting of the investments from 'available for sale' to 'held to maturity' is duly approved by the Board of Directors of the bank.
- Examine whether the investments have been properly classified into the three categories at the time of acquisition based on such intention as evidenced by the decision of the competent authority such as the Board of directors, Asset Liability Committee (ALCO) or Investment Committee.

(c) As per SAE 3400 "The Examination of Prospective Financial Information", in an engagement to examine prospective financial information, CA J, the auditor should obtain sufficient appropriate evidence as to whether:

(i) management's best-estimate assumptions on which the prospective financial information is based are not unreasonable and, in the case of hypothetical assumptions, such assumptions are consistent with the purpose of the information;

(ii) the prospective financial information is properly prepared on the basis of the assumptions;

(iii) the prospective financial information is properly presented and all material assumptions are adequately disclosed, including a clear indication as to whether they are best-estimate assumptions or hypothetical assumptions; and

(iv) the prospective financial information is prepared on a consistent basis with historical financial statements, using appropriate accounting principles.

While examining prospective financial information, principles laid down in other Standards on Auditing should be applied to the extent practicable.

OR

(c) As per SA 240 "The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements" if, as a result of a misstatement resulting from fraud or suspected fraud, the auditor encounters exceptional circumstances that bring into question the auditor's ability to continue performing the audit, the auditor shall:

(I) Determine the professional and legal responsibilities applicable in the circumstances, including whether there is a requirement for the auditor to report to the person or persons who made the audit appointment or, in some cases, to regulatory authorities;

(II) Consider whether it is appropriate to withdraw from the engagement, where withdrawal from the engagement is legally permitted; and

(III) If the auditor withdraws:

(i) Discuss with the appropriate level of management and those charged with governance, the auditor's withdrawal from the engagement and the reasons for the withdrawal and

(ii) Determine whether there is a professional or legal requirement to report to the person or persons who made the audit appointment or, in some cases, to regulatory authorities, the auditor's withdrawal from the engagement and the reasons for the withdrawal.

In the given case, CA F has identified material misstatements arising from fraud, namely fictitious sales of ₹ 20 crores and missing inventory of ₹ 8 crores supported by forged records. Despite due communication, both management and those charged with governance have refused to take corrective action, and the Managing Director has further attempted to intimidate the auditor by threatening legal action. These circumstances clearly constitute exceptional circumstances that cast serious doubt on the auditor's ability to continue the audit engagement with integrity and independence. Accordingly, CA F should take the abovementioned actions in compliance with SA 240 under the given circumstances.

PAPER – 3: ADVANCED AUDITING, ASSURANCE AND PROFESSIONAL ETHICS

Part I – Multiple Choice Questions

Integrated Case Scenario - I

A Ltd., is a top 1000 listed company engaged in manufacturing of edible oils having its registered office at Mumbai and its branches all over India. M/s HG & Co., Chartered Accountants, have been appointed as the statutory auditors of A Ltd. for the financial year 2024-25. CA H is the engagement partner for this assignment. The company's net worth is ₹ 500 crores, annual turnover is ₹ 1000 crores and net profit is of ₹ 5 crores during immediately preceding financial year 2023-24. During the course of audit, CA H made the following major observations:

- *A Ltd. has constituted a Corporate Social Responsibility (CSR) Committee of the Board pursuant to Section 135 of the Companies Act, 2013. The CSR Committee has formulated and recommended to the Board a CSR Policy and has recommended the amount of expenditure to be incurred on the specified activities which shall be recognized as CSR spending. CA H observed that an amount of ₹ 20 lacs was unspent in respect of other than on-going projects relating to the CSR spending. CA H is exploring his reporting responsibilities for compliance under CARO, 2020.*
- *CA H during the course of audit noticed that Enforcement Directorate had issued show-cause notices for various non-compliances of Foreign Exchange Management Act and regulatory action against the company may be expected. The Board of Directors have not mentioned the same in their report as the outcome is uncertain. This is not reflecting anywhere in the financial statements, however, CA H thinks that it is relevant for the users' understanding of the financial statements.*
- *The company also has 2 subsidiaries B Ltd. and C Ltd. The auditors are required to prepare the standalone as well as the consolidated financial statements of the company. For the purpose of making current period consolidation adjustments, CA H has asked the company to provide with the*

financial statements and information of the subsidiaries. Both the subsidiaries are audited by other auditors.

- *CA H in consultation with management, decided to visit 10 out of 15 branches of A Ltd., within a period of 15-20 days, situated in various states of India. Management decided to pay CA H advance of ₹ 5 lacs against the estimated expenses of ₹ 5.25 lacs on visits to be conducted as a part of services rendered. In terms of the discussion, ₹ 5 lacs was transferred to his bank account from which he has to meet all the expenses for visiting branches for the audit. However, he failed to keep the amount received from A Ltd. in a separate bank account.*

Based on the above facts, answer the following ***Q Nos. 1 to 4****, by choosing the right option.*

1. *With regard to the unspent amount of ₹ 20 lacs, out of the following select the appropriate reporting responsibilities of M/s HG & Co. for compliance of CARO 2020:*

   (A) Whether the company has transferred the unspent amount of ₹ 20 lacs to a Fund specified in Schedule VII to the Companies Act within a period of six months of the expiry of the financial year.

   (B) Whether the company has transferred the unspent amount of ₹ 20 lacs to a Fund specified in Schedule III to the Companies Act within a period of six months of the expiry of the financial year.

   (C) Whether the company has transferred the unspent amount of ₹ 20 lacs to a Fund specified in Schedule VII to the Companies Act within a period of three months of the expiry of the financial year.

   (D) Whether the company has transferred the unspent amount of ₹ 20 lacs to a Fund specified in Schedule III to the Companies Act within a period of three months of the expiry of the financial year. ***(2 Marks)***

2. *How will CA H report the matter relating to the non-compliances under Foreign Exchange Management Act?*

   (A) CA H should include the matter in Emphasis of Matter Paragraph.

   (B) CA H should include the matter in Other Matter Paragraph.

   (C) CA H should include the matter in Key audit matters.

(D) CA H should not report the matter as no regulatory action has been taken against the company as on the balance sheet date. ***(2 Marks)***

3. *Which of the following is not a current period consolidation adjustment?*

(A) Adjustments relating to harmonising the different accounting policies followed by A Ltd. and B Ltd. & C Ltd.

(B) Adjustments to the financial statements for the recognized subsequent events.

(C) Determination of goodwill or capital reserve of B Ltd. and C Ltd. as per the applicable accounting standards.

(D) Determination of unrealised intra-group profits on assets acquired/ transferred from/to B Ltd. and/or C Ltd. ***(2 Marks)***

4. *For failing to keep moneys in a separate bank account, will CA H be held guilty of professional misconduct under the Chartered Accountant Act, 1949 and its schedules thereto?*

(A) Yes, in this connection the Council has made specific suggestion that an advance received by a Chartered Accountant against services to be rendered and not kept in separate bank account is covered under Clause (10) of Part I of the Second Schedule and hence CA H will be held guilty of professional misconduct.

(B) No, in this connection the Council has made suggestion that an advance received by a Chartered Accountant against services to be rendered does not fall under Clause (10) of Part I of the Second Schedule and not keeping in separate bank account is valid hence CA H will not be held guilty of professional misconduct.

(C) Yes, any amount received from the client and not kept in a separate bank account falls under Clause (10) of Part I of the Second Schedule and hence CA H will be held guilty of professional misconduct.

(D) No, CA H will not be held guilty of professional misconduct since provisions of Clause (10) of Part I of the Second Schedule are applicable only to professional accountant in service and not to professional accountant in practice. ***(2 Marks)***

Integrated Case Scenario - II

M/s SQC & Associates is a firm of Chartered Accountants, specialising in audit and assurance services for the past 2 decades, having 6 partners with its headquarters at Thiruvananthapuram and branch offices at 3 locations in Kerala.

They are appointed as statutory auditors of Kochi Branch of KLM Bank Limited for the Financial Year 2024-25. The Bank branch has granted various types of advances to its customers including export advances. The auditors want to be sure that there is no revenue leakage in the branch and the auditor has conducted a detailed verification of compliance with the bank's policies and guidelines.

The following discrepancies are identified during verification of revenue leakage:

(i) QT Ltd. was sanctioned a term loan of ₹5 crores at an interest rate of 9.5% p.a. as per the sanction letter. However, due to some technical problem, the bank's Core Banking System (CBS) reflects an interest rate of 8.5% p.a. w.e.f. 01/04/2024.

(ii) The bank has sanctioned a working capital limit of ₹3 crores to NK Pvt. Ltd. The bank's circular mandates a processing fee of 1%, but only 0.5% was charged.

(iii) The bank has sanctioned a Cash Credit (CC) limit of ₹4 crores to DEF Ltd., with a condition that stock statements must be submitted monthly. DEF Ltd. has not submitted stock statements for 3 months, triggering a penal interest of 2% p.a. as per the sanctioned terms.

(iv) An exporter, GHI Exports, availed packing credit of ₹2 crore at 6% p.a. for three months but repayment has been done with 1 month delay. The overdue interest rate is 12% p.a. as per the bank's circular. However, overdue interest rate for the delayed period was not applied in the CBS.

M/s SQC & Associates are appointed as auditors of Easy Finance Limited, which is an NBFC company for the year 2024-25 for which CA S is the engagement partner. CA S is concerned with calculating the aggregate risk adjusted value of assets for reckoning the minimum capital ratio.

Following details are available from the Balance sheet of Easy Finance Limited as on 31st March, 2025:

(i) Cash and bank balances including fixed deposits and certificates of deposits with banks - ₹8 crores

(ii) Investments - Bonds of public financial institutions - ₹50 crores

(iii) Current Assets - Loans to staff - ₹5 crores

(iv) Fixed Assets (Net of Depreciation) - Furniture and Fixtures - ₹30 crores

(v) Domestic Sovereign - State Government Guaranteed claims which are in default for 75 days - ₹60 crores

Further M/s SQC & Associates were appointed as statutory auditors of MRP Limited, a listed company, for the financial year 2024-25. It was observed during the audit that MRP Limited has carried out revaluation of its buildings and software assets. The revaluation was conducted by a Registered Valuer certified by the Insolvency and Bankruptcy Board of India (IBBI).

- *As a result of the revaluation, the carrying value of its "Buildings" was increased. It represents 6% increase over the Gross carrying value of the "Buildings" class as at the beginning of the year. It represents 12% increase over the net carrying value of the "Buildings" class as at the beginning of the year.*
- *The "Software Assets" saw a downward revaluation adjustment. It constitutes 10% reduction over the Gross carrying value of the "software" class as at the beginning of the year. It constitutes 16% reduction over the net carrying value of the "software" class as at the beginning of the year.*

M/s SQC & Associates are in the course of forming an opinion on the financial statements of MRP Limited. Based on the evaluation of the conclusions drawn from the audit evidence obtained, they have made the following observations:

- ***Observation 1:** The Company procures raw materials from a large number of local and international suppliers. As on 31st March 2025, trade payables form a significant portion of total liabilities. A substantial number of supplier accounts were subject to reconciliation issues, delayed confirmations or required significant year-end adjustments. The management did not respond properly to the issues raised by the auditor. It was considered as a high risk area by the auditor. However, based on other audit procedures, it was concluded that the trade payable balances had been appropriately recorded.*

- ***Observation 2:*** *A batch of finished goods worth ₹ 1.8 crores was found to be missing during the physical verification of inventory. It constituted a significant portion of the value of inventory of finished goods. The management stated that it was due to a clerical error in location mapping and claimed to have traced the goods post year-end. However, the documentation presented was insufficient and not independently verifiable.*

On the basis of the above details, you are required to answer the following questions: ***(Q Nos 5 to 8)***

5. *You are required to calculate the amount of revenue leakage calculated by the auditors for Kochi Branch of KLM Bank limited.*

   (A) ₹ 9,50,000

   (B) ₹ 9,00,000

   (C) ₹ 8,50,000

   (D) ₹ 10,50,000 ***(2 Marks)***

6. *Select the correct option after calculating the aggregate risk adjusted value of above funded assets for reckoning the minimum capital ratio of Easy Finance Limited for the year ended on 31st March, 2025.*

   (A) ₹ 110 crores

   (B) ₹ 92 crores

   (C) ₹ 115 crores

   (D) ₹ 52 crores ***(2 Marks)***

7. *How will M/s SQC & Associates report under CARO, 2020, with reference to the revaluation of assets of MRP Limited?*

   (A) Report only the revaluation of software assets, mention that valuation is done by a Registered Valuer and specify the amount of change.

   (B) Report only the revaluation of buildings, mention that valuation is done by a Registered Valuer and specify the amount of change.

   (C) Both the revaluation of buildings as well as software assets is not required to be reported.

(D) *Both the revaluation of buildings as well as software assets is required to be reported, mention that valuation is done by a Registered Valuer and specify the amount of change.* ***(2 Marks)***

8. *What type of opinion or reporting M/s SQC & Associates should issue in their auditor's report of MRP Limited considering the two observations as per the applicable Standards on Auditing?*

(A) *Issue an unmodified opinion as both matters have explanations from management and are not pervasive.*

(B) *Include Observation 1 in a Key Audit Matter (KAM) section and Observation 2 in Emphasis of Matter paragraph.*

(C) *Disclose Observation 1 under "Other Matter" paragraph and Qualify the opinion due to the material but not pervasive limitation of Observation 2.*

(D) *Disclose Observation 1 under "Key Audit Matter" and Qualify the audit opinion due to material but not pervasive limitation of Observation 2.*

(2 Marks)

Integrated Case Scenario - III

Ratnesh Limited (hereinafter referred to as 'The Company'), a listed entity, is in the business of hiring of Oil Rigs, is established since 2001. The Company is having its Head Office at Mumbai and having its operations across the country. The Company appointed MPR & Co., GKS & Co., YX & Associates and ABC & Associates as joint auditors for the year 2024-25. The professional work was divided by audit firms among themselves mutually. However, work relating to "Information processing" which is a part of the control activities, a component of Internal Controls of the company was allocated to MPR & Co. specifically and was not a part of the joint audit assignment. Due to shortage of resources, MPR & Co. took the help of subordinate staff of ABC & Associates for such verification.

While verifying the controls, subordinate staff of ABC & Associates observed the following control activities:

(i) Actual performance was reviewed against budgeted one.

(ii) Edit checks of input data and numerical sequence checks.

(iii) Authorisation for access to computer programs and data files.

(iv) Controls over the implementation of new releases of packaged software applications.

During audit, one of the joint auditors GKS & Co. observed that the Company has adopted a new IND AS which will be effective from 01.04.2026. Early adoption of the aforesaid IND AS is permitted as per extant guidelines. This early adoption of the new IND AS has a material effect on the financial statements of the Company. The material effect on the financial statements was disclosed in the notes to the financial statements. GKS & Co. performed various audit procedures to verify the same and it was found to be satisfactory in nature.

YX & Associates appointed Mr. C, as an expert, to verify the actuarial valuation done by the company. They performed the following specific procedures to evaluate the relevance and reasonableness of Mr. C's findings and their consistency with other audit evidence for the audit purpose:

(i) Performed corroborative procedures for observing Mr. C's work.

(ii) Performed detailed analytical procedures to see whether Principles of materiality aspects considered.

(iii) Reviewed the data for completeness and internal consistency.

(iv) Verified the origin of the data.

*Based on the above, answer the following question from **9 to 12:***

9. *Which of the activities verified by the subordinate staff of ABC & Associates pertains to the Control Activities - Information processing?*

   Options:

   (A) (i) & (ii)

   (B) (iii) & (iv)

   (C) (ii) & (iii)

   (D) (ii) & (iv) ***(2 Marks)***

10. *Which of the following are not the specific procedures to evaluate the relevance and reasonableness of Mr. C's finding and consistency with other audit evidence?*

(A) (i) and (ii)

(B) (iii) and (iv)

(C) (ii) and (iii)

(D) (i) and (iv) ***(2 Marks)***

11. *The effect of early adoption of Ind-AS will be reported under which head in the Audit Report?*

Options:

(A) Other Information

(B) Key Audit Matter

(C) Other Matter Paragraph

(D) Emphasis of Matter Paragraph ***(2 Marks)***

12. *Which audit firm is responsible for lapses in the audit procedures for testing of control activities relating to information processing, in terms of SA 299, in case the audit procedures are not performed professionally by subordinate staff of ABC & Associates?*

(A) MPR & Co. only

(B) Both MPR & Co. and ABC & Associates

(C) ABC & Associates only

(D) All the joint auditors will be responsible. ***(2 Marks)***

13. *PP Ltd. wants to make disclosure on its performance against the various principles of the "National Guidelines on Responsible Business Conduct" to meet reporting requirements on ESG parameters called Business Responsibility & Sustainable Reporting (BRSR) and for this purpose, they requested their statutory auditor CA BH & Associates to provide advisory services on BRSR study to be prepared by the company. Accordingly, the audit firm agreed to be the "Assurance provider of BRSR core" for PP Ltd. While making disclosure on the performance against the various principles of BRSR, CA BH & Associates have adopted following methodology to provide assurance on BRSR for PP Ltd.*

(a) *Preliminary Review of ESG report, parameters.*

(b) *On-site Assessment/verification of ESG Report.*

(c) *Issuance of Assessment Report and Assessment Statement.*

(d) *Review of the responses and clarifications on the findings.*

(e) *Deliberations of findings of the off-site assessment and overlooking of documents.*

(f) *Recommendation of Assessment/verification report including interim result of Assessment/ Reverification.*

From the above methodology adopted which are correct?

(A) (a), (b) & (e)

(B) (b), (c) & (f)

(C) (a), (b), (c) & (d)

(D) (a), (b), (e) & (f) ***(2 Marks)***

14. *M/s. CP and Associates are appointed as the Peer Reviewer of M/s. RS and Co., Chartered Accountants. On going through the Profit and Loss account of the firm, it was observed that in following assignments they had charged fees which were contingent upon the findings or results of such work. In which of the below assignments undertaken, M/s. RS and Co. have violated the provisions of Regulation 192?*

(A) In case of assignment as a liquidator, fees are charged on a percentage of the realization of the assets.

(B) In case of assignment as auditor of a co-operative society, the fees are charged on the percentage of the paid-up capital.

(C) In case of assignment for appearing before the Income Tax Appellate Tribunal on behalf of an audit client, the fees are charged based on the reduction in the demand note issued by the Income Tax Department.

(D) In case of assignment of cost optimization, the fees are charged on a percentage of the benefit derived. ***(2 Marks)***

15. *CA X is the engagement partner of Good Work Ltd. since last 5 years. Since he is familiar with the working of the company, they have approached*

CA X to perform various other assignments for them. Which assignment out of the below can be accepted by CA X as per the recent decisions of the Ethical Standards Board?

(A) To prepare compilation of financial information.

(B) To act as Authorized Representative for their foreign customer.

(C) To represent the company as Trademark Attorney.

(D) To act as a non- executive director in its Joint Venture company.

(2 Marks)

Answer Key

MCQ No.	Correct Option
1.	(A)
2.	(B)
3.	(C)
4.	(B)
5.	(A/D)
6.	(B)
7.	(D)
8.	(D)
9.	(D)
10.	(B)
11.	(D)
12.	(A)
13.	(C)
14.	(C)
15.	(B)

Part II – Descriptive Questions

*Question No.**1** is compulsory.*

*Candidates are required to answer any **four** questions from the remaining **five** questions.*

Working notes should form part of the answer.

Question 1

(a) *Munir & Co. is a practicing-chartered accountants' firm having its Head Office at Mumbai. Mr. A, a dedicated and capable article assistant associated with Munir & Co. for the past three years, recently qualified as a Chartered Accountant. Recognizing his strong analytical skills, attention to detail, and in-depth understanding of audit, the firm inducted him as a Partner on 1st February, 2025. On joining the firm, he accepted his first assignment to act as an Engagement Quality Control Reviewer (EQCR) for J & J Limited, a listed entity, for the financial year 2024-25. Before finalizing the Balance Sheet of the Company for the year 2024-25, CA A signed on few working papers of the engagement team as a token of review performed by him in terms of firm's policies on engagement quality control review without going through the audit file. He made no further documentation, assuming that the team who performed the audit of the company for the year 2024-25, was the same team who performed the audit of the company for the financial year 2023-24.*

Comment on the act of CA A in accordance with relevant professional standards. ***(5 Marks)***

(b) *CA Suba is a senior partner in a chartered accountancy firm in Mumbai. She and few other CA firms, each specializing in different sectors, agree to form a network to enhance their service portfolio and geographical reach. They apply to the ICAI for the network name approval, which is granted as "Suba & Affiliates". They are under the process of submitting relevant forms to the ICAI for Registration.*

Simultaneously, M/s. RS & Associates, one of the member firms in the group, signs a collaboration agreement with an international accounting network based in Singapore.

Based on above facts, you are required to:

Guide CA Suba & M/s. RS & Associates with regard to Guidelines for Networking issued by the ICAI in respect of registration of Network with entities in India and outside India. ***(5 Marks)***

(c) *AZ Industries Ltd., an Indian pharmaceutical company having its corporate office in Mumbai is engaged in developing, manufacturing and globally marketing a broad range of pharma products. During the F.Y. 2024-25, in pursuit of company's research & development drive for developing their core product portfolios, two companies viz. KK Ltd., a wholly owned subsidiary company, and OP Ltd., a Jointly Controlled Entity, were amalgamated with AZ Industries Ltd. PPP & Associates, Chartered Accountants, are the principal auditors of the company. The audit of KK Ltd. and OP Ltd. was conducted by the respective auditors of those companies. The consolidated financial statements of AZ Industries Ltd. consists of financial statements and financial information of both these companies, to whom CARO 2020 is applicable. The auditors of the said companies have given qualifications in their CARO report on the standalone financial statements for the F.Y. 2024-25 as under:*

(1) *In respect of wholly owned subsidiary company viz. KK Ltd, its auditor has qualified clause 3(xv) since the company has not complied with the provisions of Section 192 of the Companies Act, 2013 while entering into non-cash transactions with the director.*

(2) *In respect of OP Ltd., being Jointly Controlled Entity, its auditor has made the adverse remark in clause 3(ix)(a) since the company has defaulted in repayment of loans to bankers.*

In respect of AZ Industries Ltd., the principal auditor has given adverse remark in the standalone financial statement of the company in respect of clause 3(i)(c) since the title deeds of some immovable properties were not held in the name of the company.

The engagement partner, CA P, is in the process of finalizing the consolidated audit report. Guide CA P how he will report on the matters stated above in terms of the reporting requirements under paragraph 3 of CARO, 2020.

(4 Marks)

Answer

(a) Review of Audited Financial Statements:As per SQC 1, "Quality Control for Firms that Perform Audits and Reviews of Historical Financial Information, and Other Assurance and Related Services Engagements", Engagement quality control reviewer is a partner, other person in the firm (who should be member of ICAI), suitably qualified external person, or a team made up of such individuals. In this regard, suitably qualified external person refers to an individual outside the firm with the capabilities and competence to act as an engagement partner, for example a partner or an employee (with appropriate experience) of another firm.

In addition, the engagement quality control reviewer for an audit of the financial statements of a listed entity is an individual with sufficient and appropriate experience and authority to act as an audit engagement partner on audits of financial statements of listed entities.

In the given case, Munir & Co, admitted Mr. A, who was an articled assistant for 3 years, as a Partner on 1st February 2025 after he qualified as a Chartered Accountant. He was appointed as Engagement Quality Control Reviewer (EQCR) for J & J Limited, a listed company, for FY 2024-25. It may be considered that CA A has recently qualified as a Chartered Accountant and does not possess the competence and capability for the work assigned. Therefore, it was not appropriate for CA A to accept the assignment of Engagement and Quality Control Reviewer.

Further, the engagement quality control reviewer shall document, for the audit engagement reviewed, that:

(i) The procedures required by the firm's policies on engagement quality control review have been performed.

(ii) The engagement quality control review has been completed on or before the date of the auditor's report.

(iii) The reviewer is not aware of any unresolved matters that would cause the reviewer to believe that the significant judgments the engagement team made and the conclusions they reached were not appropriate.

In the given situation, there are no working papers to show that Engagement quality control reviewer has done an evaluation of conclusion reached by the engagement team. Mere signing on some working papers of the engagement team shows that Engagement and Quality Control

Reviewer has made no such evaluation and review of work performed by the engagement team. In view of above, act of CA A only signing a few working papers is not correct, and he shall maintain documentation in accordance with the Engagement and Quality Control Standards.

Alternative Solution

As per SA 220, "Quality Control for an audit of financial statements", the engagement quality control reviewer shall perform an objective evaluation of the significant judgments made by the engagement team, and the conclusions reached in formulating the auditor's report. This evaluation shall involve:

(i) Discussion of significant matters with the engagement partner.

(ii) Review of the financial statements and the proposed auditor's report.

(iii) Review of selected audit documentation relating to the significant judgments the engagement team made and the conclusions it reached and

(iv) Evaluation of the conclusions reached in formulating the auditor's report and consideration of whether the proposed auditor's report is appropriate.

For audits of financial statements of listed entities, the engagement quality control reviewer, on performing an engagement quality control review, shall also consider whether audit documentation selected for review reflects the work performed in relation to the significant judgments made and supports the conclusions reached.

Further, the engagement quality control reviewer shall document, for the audit engagement reviewed, that:

(i) The procedures required by the firm's policies on engagement quality control review have been performed.

(ii) The engagement quality control review has been completed on or before the date of the auditor's report.

(iii) The reviewer is not aware of any unresolved matters that would cause the reviewer to believe that the significant judgments the engagement team made and the conclusions they reached were not appropriate.

In the given situation, there are no working papers to show that Engagement quality control reviewer has done an evaluation of conclusion reached by the engagement team. Mere signing on some working papers of the engagement team shows that Engagement and Quality Control Reviewer has made no such evaluation and review of work performed by the engagement team. In view of above, act of CA A only signing a few working papers is not correct, and he shall maintain documentation in accordance with SA 220.

(b) Registration of Network with entities in India

1. An application for approval of the name of the Network shall be made to the Institute in Form A. Institute shall approve or reject and intimate the same to the Network at its address mentioned in Form A within a period which shall not be later than 30 days from the date of receipt of said form.
2. After the name of a Network is approved as per provision under Guideline 5, the Institute shall reserve such name for a period of three (3) months from the date of approval.
3. The Network shall get itself registered with the Institute by applying in Form B within the period of 3 months, failing which the name assigned shall stand cancelled on the expiry of the said period.
4. Registration of Network with Institute is mandatory.
5. If different Indian firms are networked with a common Multinational Accounting Firm, they shall be considered as a part of network.

Listing of Network with entities outside India

1. The duly authorized representative(s) of the Indian Member firm(s)/Member constituting the Network with entities outside India shall file a declaration with the Institute in Form 'D' for Listing of such Network within 30 days from the date of entering into the Network arrangement.
2. Proprietary/individual members, partnership firms as well as members in LLP or any such other entity of members as may be permitted by the Act, shall be permitted to join such network with entities outside India provided that the proprietary/individual members, partnership firms as well as members in LLP or any such other entity of members are allowed to join only one network and firms having common partners shall join only one such network.

(c) Reporting requirement under paragraph 3 of CARO 2020: Clause (xxi) of Paragraph 3 of CARO 2020 requires the auditor to report whether there have been any qualifications or adverse remarks by the respective auditors in the Companies (Auditor's Report) Order (CARO) reports of the companies included in the consolidated financial statements, if yes, indicate the details of the companies and the paragraph numbers of the CARO report containing the qualifications or adverse remarks.

In terms of Clause (xxi), the engagement partner CA P in the consolidated audit report shall provide the details of KK Ltd., OP Ltd. and AZ Industries Ltd., and the paragraph numbers of the respective CARO report containing the qualifications or adverse remarks, accordingly, text of those paragraphs is not required to be reproduced.

Since Reporting under this clause is only required for those entities included in the consolidated financial statements to whom CARO 2020 is applicable, qualifications/adverse remarks given in AZ Industries Ltd.'s standalone CARO report are also required to be included while reporting on consolidated financial statements in addition to Subsidiary company and Jointly Controlled Entities.

In view of the above, for the purpose of reporting the qualifications/adverse remarks, the engagement partner CA P, the principal auditor may report in the following manner in the consolidation audit report-

S. No.	Name of the Company	Holding Company/ Subsidiary Co./ Associate/ Joint Venture	Clause number of CARO Report which is Qualified or Adverse
1	AZ Industries Ltd.	Holding Company	(i)(c)
2	OP Ltd.	Joint Controlled Entity	(ix)(a)
3	KK Ltd.	Wholly Owned Subsidiary Company	(xv)

Question 2

(a) *AJ Private Limited is a company involved in the business of textile manufacturing and having its factory at NOIDA. The business of the company is spread across India. Due to the recent fire incidents, the local authority of NOIDA passed a regulation wherein it is compulsory for any organisation in its jurisdictional area to have a valid Fire No Objection Certificate (Fire NOC) issued by the regulatory authority. You are appointed as the statutory auditor of the company for the financial year 2024-25. During initial risk assessment phase, you observed that the company is not in possession of Fire NOC as stipulated by the regulatory authority. You approached those charged with governance regarding this matter and requested them to provide their justification on the same. They are of the opinion that obtaining Fire NOC is outside the purview of the financial statements, hence, you are not required to look after this aspect. What are the auditor's responsibilities in relation to compliance with laws and regulations?* ***(5 Marks)***

(b) *F & F Associates, Chartered Accountants, are appointed as the statutory auditors of TQR Limited, an unlisted company, for the financial year 2024-25. The net-worth of the company has remained at ₹ 500 crores for last 2 years. CA F is the engagement partner for the audit of the company. During the audit, CA F became aware of an imminent breach of law that would cause substantial harm to investors, creditors and employees of the company. He discussed this matter with Mr. X, who was one of the senior-most directors of the company and who also happened to be a Chartered Accountant. He is of the view that it is the responsibility of Mr. X, being a senior professional accountant, to respond to such non-compliance of law. However, Mr. X is of the view that there is no responsibility casted on him for responding to the aforesaid non-compliance. In view of the following:*

(i) *Comment on the contention of Mr. X in terms of relevant section of Revised Code of Ethics.* ***(2 Marks)***

(ii) *What documentations are required to be prepared by CA F, regarding non-compliance observed, over and above the requirements under the applicable Standards on Auditing.* ***(3 Marks)***

(c) *LNG Corporation is a government-owned entity, is engaged in operating liquefied natural Gas. The organization recently underwent a compliance audit conducted by the Comptroller and Auditor General (C&AG) of India. The audit aimed to assess whether the PSU's financial transactions,*

procurement activities and operations complied with relevant laws, regulations and internal guidelines.

In context of the above, you are required to:

(i) Explain the concept of compliance audit and its perspective. ***(2 Marks)***

(ii) What shall be the concern of the auditor when undertaking compliance audit? ***(2 Marks)***

Answer

(a) SA 250, "Considerations of Laws and Regulations in an Audit of Financial Statements" distinguishes the auditor's responsibilities in relation to compliance with two different categories of laws and regulations as follows:

(i) The provisions of those laws and regulations generally recognized to have a direct effect on the determination of material amounts and disclosures in the financial statements such as tax and labour laws; and

(ii) Other laws and regulations that do not have a direct effect on the determination of the amounts and disclosures in the financial statements but compliance with which may be fundamental to the operating aspects of the business, to an entity's ability to continue its business, or to avoid material penalties. Non-Compliance with such laws and regulations may, therefore, have a material effect on the financial statements.

For the compliance with provisions of those laws and regulations generally recognised to have a direct effect on the determination of material amounts and disclosures in the financial statements, the auditor's responsibility is to obtain sufficient appropriate audit evidence about compliance with the provisions of those laws and regulations.

For other laws and regulations that do not have a direct effect on the determination of the amounts and disclosures in the financial statements but compliance with which may be fundamental to the operating aspects of the business, the auditor's responsibility is limited to undertaking specified audit procedures to help identify non-compliance with those laws and regulations that may have a material effect on the financial statements.

Therefore, auditor should ensure as to whether any penal provisions will be there for non-compliance of such law and also whether the same has been duly disclosed by the company. If auditor concludes that such non-compliance has a material effect on the financial statements and the same has not been adequately reflected in the financial statements by the company, he shall express an adverse or a qualified opinion on the financial statements.

(b) Responding to Non-compliance with Laws and Regulations (NOCLAR) applicable to Professional Accountants in Service

(i) NOCLAR, under Code of Ethics, is applicable on professional accountants in service, and in practice. Among those in practice, it applies to Auditors, as well as professional services other than audit. It is applicable to Senior Professional Accountants in service, being employees of listed entities. Senior professional accountants in service ("senior professional accountants") includes directors.

In the given case, TQR Limited is an unlisted company, consequently, the provision of section 260 of NOCLAR is not applicable to Mr. X who is a senior-most director of the company and a Chartered Accountant. Thus, contention of the Mr. X that there is no responsibility cast on him for responding to the non-compliance is correct.

(ii) Documentation Requirements in NOCLAR to be prepared by CA F, regarding non-compliance observed, over and above the requirements under the applicable Standards on Auditing:

- How management / those charged with governance have responded to the matter.
- The course of action the accountant considered, the judgments made and the decisions that were taken, having regard to the reasonable and informed third party test.
- How the accountant is satisfied that the responsibility of public interest has been fulfilled.

(c) (i) Compliance Audit: Compliance Audit is the independent assessment of whether a given subject matter is in compliance with the applicable criteria. This audit is carried out by assessing whether activities, financial transactions and information comply in all material respects, with the regulatory and other rules which govern the audited entity.

Perspective of Compliance Auditing: Compliance Auditing is part of a combined audit that may also include other aspects. Compliance auditing is generally conducted either-

(1) in relation with the audit of financial statements, or

(2) separately as individual compliance audits, or

(3) in combination with performance auditing.

(ii) Compliance auditing is concerned with:

(1) **Regularity -** adherence of the subject matter to the formal criteria emanating from relevant laws, regulations and agreements applicable to the entity.

(2) **Propriety -** observance of the general principles governing sound financial management and the ethical conduct of public officials.

While regularity is emphasized in compliance auditing, propriety is equally pertinent in the public-sector context, in which there are certain expectations concerning financial management and the conduct of officials.

Question 3

(a) M/s CES & Associates, Chartered Accountants are appointed as auditors for consolidated financial statements of King Ltd. for financial year 2024-25. Pawn Ltd., Rook Ltd., Bishop Ltd. and Queen Ltd. are the subsidiaries of King Ltd. The consolidated financial statements consist of financial statements and financial information of these subsidiaries audited by other auditors. Such financial statements, financial information and auditor's reports of subsidiaries have been furnished by management of King Ltd. to them. Following further information is also available in respect of these subsidiaries for the financial year 2024-25:

	Total assets ₹ in crore	***Total Revenues ₹ in crore***	***Net cash outflows ₹ in crore***
Pawn Ltd.	*300*	*440*	*15*
Rook Ltd.	*200*	*330*	*8*
Bishop Ltd.	*150*	*220*	*12*
Queen Ltd.	*250*	*300*	*10*

One Subsidiary company, Queen Ltd., is located outside India whose financial statements have been prepared in accordance with accounting principles generally accepted in the respective country and which has been audited by auditors in the respective country under generally accepted auditing standards applicable.

You are required to draft a suitable paragraph based on the above information to be included in the independent auditor's report on consolidated financial statements by making necessary assumptions.

(5 Marks)

(b) *M/s FG & Co., Chartered Accountants, have been appointed as statutory auditors of Z Ltd. for the F.Y.2024-25. During the course of audit, while carrying out risk assessment procedures and related activities for accounting estimates, CA G the engagement partner, identified provision for warranty as an accounting estimate and considered it to be at significant risk. In accordance with SA 540, explain the matters that need to be evaluated by CA G specifically with respect to estimation uncertainty.* ***(5 Marks)***

(c) *MK Limited, a company engaged in the manufacture of modular furniture, is headquartered at Mumbai. The company is recently listed at the recognized stock exchange in the month of July, 2024. CD & Co., chartered accountants, are statutory auditors of the company for the F.Y. 2024-25. The company has approached statutory auditors for providing quarterly review report pursuant to requirement of SEBI to provide quarterly results of the company in accordance with SRE 2410. Elucidate the objective of the engagement assigned by the company to the statutory auditors.* ***(4 Marks)***

Answer

(a) Information to be included in the independent auditor's report on consolidated financial statement where financial statements of subsidiaries are audited by other auditors.

In a case where the parent's auditor is not the auditor of all the components included in the consolidated financial statements, then as prescribed in SA 706, "Emphasis of Matter Paragraphs and Other Matter Paragraphs in the Independent Auditor's Report", if the auditor considers it necessary to make reference to the audit of the other auditors, the auditor's report on the consolidated financial statements should disclose clearly the magnitude of the portion of the financial statements audited by the other

auditors. This may be done by stating aggregate rupee amounts or percentages of total assets, revenues and cash flows of components included in the consolidated financial statements not audited by the parent's auditor.

It should be included in Other Matter paragraph of independent auditor's report. The draft "Other Matter Paragraph" is as under: -

Other Matter Paragraph

We did not audit the financial statements and other financial information, in respect of four (4) subsidiaries, whose financial statements include total assets of ₹ 900 crores as at March 31, 2025, and total revenues of ₹ 1,290 crores and net cash outflow of ₹ 45 crores for the year ended on that date. These financial statements and other financial information have been audited by other auditors, and such financial statements, other financial information and auditor's reports have been furnished to us by the management of the Holding Company.

Our opinion on the consolidated financial statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries and joint ventures, and our report in terms of sub-sections (3) of Section 143 of the Act, in so far as it relates to the aforesaid subsidiaries is based solely on the reports of such other auditors.

One subsidiary company, Queen Ltd., is located outside India whose financial statements and other financial information have been prepared in accordance with accounting principles generally accepted in the respective country and which has been audited by other auditors under generally accepted auditing standards applicable in the respective country. The Holding Company's management has converted the financial statements of Queen Ltd. from accounting principles generally accepted in the respective country to accounting principles generally accepted in India.

We have audited these conversion adjustments made by the Holding Company's management. Our opinion in so far as it relates to the balances and affairs of such subsidiary is based on the report of other auditors and the conversion adjustments prepared by the management of the Holding Company and audited by us.

Our opinion on the consolidated financial statements, and our report on Other Legal and Regulatory Requirements is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors and the financial statements and other financial information certified by the Management.

(b) Matters that need to be evaluated with respect to estimation uncertainty as per SA 540: As per SA 540, "Auditing Accounting Estimates, Including Fair Value Accounting Estimates & Related Disclosures", matters that need to be evaluated by the auditor CA G specifically with respect to estimation uncertainty, for accounting estimates that give rise to significant risks, in addition to other substantive procedures performed to meet the requirements of SA 330, are as under:

1. How management has: -
   (i) Considered alternative assumptions or outcomes,
   (ii) Why it has rejected them,
   (iii) How management has otherwise addressed estimation uncertainty in making the accounting estimate.
2. Whether the significant assumptions used by management are reasonable.
3. Where relevant to the reasonableness of the significant assumptions used by management or the appropriate application of the applicable financial reporting framework, management's intent to carry out specific courses of action and its ability to do so.

(c) Objective of engagement to review interim financial information: As per SRE 2410, "Review of Interim Financial Information Performed by the Independent Auditor of the Entity", the objective of an engagement to review interim financial information is: -

1. To enable the auditor to express a conclusion whether, on the basis of the review, anything has come to the auditor's attention that causes the auditor to believe that the interim financial information is not prepared, in all material respects, in accordance with an applicable financial reporting framework.
2. The auditor makes inquiries and performs analytical and other review procedures in order to reduce to a moderate level risk of expressing

an inappropriate conclusion when the interim financial information is materially misstated.

3 The objective of a review of interim financial information differs significantly from that of an audit conducted in accordance with Standards on Auditing (SAs). A review of interim financial information does not provide a basis for expressing an opinion on whether the financial information gives a true and fair view, or is presented fairly, in all material respects, in accordance with an applicable financial reporting framework.

4. A review, in contrast to an audit, is not designed to obtain reasonable assurance that the interim financial information is free from material misstatement. A review consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures.

5. A review may bring significant matters affecting the interim financial information to the auditor's attention, but it does not provide all of the evidence that would be required in an audit.

Question 4

(a) *M/s. TZ and Associates are appointed as a statutory branch auditors of the Delhi Branch of ABC Bank Limited for the F.Y. 2024-25. CA T is the engagement partner for this assignment. He is verifying the advances and has obtained the list of advances outstanding as on 31st March, 2025. On sampling basis, he selected one account of Mr. X who has borrowed ₹ 1.00 crore in the form of housing loan in the year 2021-22. The account was operating positively till 2023-24. Since April 2024, the account was often remaining overdue. On 01.10.2024, Mr. X approached the Branch and requested to increase the repayment period and to reduce the rate of interest as he was facing some financial crunch due to sudden medical emergency in the family. On 01.11.2024, the Branch accepted the proposal of Mr. X and increased the repayment period and reduced the rate of interest. The Branch classified the account of Mr. X as a Standard Asset as on 31.03.2025. CA T insisted the Branch Manager to classify the account as Sub-standard Asset as on 31.03.2025 as there is a change in the terms of payment. CA T started to draft Memorandum of Changes (MOC) for account of Mr. X to be submitted to the Branch. The rate of provision for secured portion of Sub-standard*

Assets as prescribed by the Board of ABC Bank Limited is 20% whereas the requirement as per IRAC norms is 15% for secured portion. In this context:

(i) Justify the classification insisted by CA T regarding the account of Mr. X as on 31.03.2025. ***(3 Marks)***

(ii) Guide CA T in deciding the rate to be applied for secured portion of Sub-standard Asset while finalizing the Memorandum of Changes (MOC). ***(2 Marks)***

(b) M/s ST & Co., Chartered Accountants, are appointed as auditors of Hitech Ltd., an IT company, engaged in providing diverse range of services like digital transformation, software development and cloud solutions. The auditors have to use online means to conduct the audit. Hence, ST & Co. decided to go for Remote Audit technology to obtain audit evidence and perform documentation review with the participation of management. The audit team got first hand evidence directly from the IT system as direct access had been provided to them. M/s ST & Co. have been developing tailored strategies to ensure that the remote audit meets the requirements and deliver results equivalent to the traditional onsite audits, they are concerned with confidentiality, Security and Data protection aspects while conducting the Remote audit. Guide them. ***(5 Marks)***

(c) KLM Chemicals and Paints Ltd., a manufacturing company listed on the stock exchange, has committed to enhancing its Environmental, Social and Governance (ESG) transparency. Sustainability Reporting plays a crucial role in enhancing transparency and accountability regarding an entity's Environmental, Social and Governance (ESG) performance. The company wants to apply Sustainable development in its corporate policy. During the review of its sustainability practices, the management is keen to assess the safety of the products, its quality and labour relations.

What should be addressed in the pillar envisaged above? Highlight the various key elements included in this Pillar. ***(4 Marks)***

Answer

(a) Restructuring of Advances:

(i) Restructuring is an act in which a lender, for economic or legal reasons relating to borrower's financial difficulty, grants concessions to the borrower. It may involve modification of terms of advances including

alteration of amount of instalments/alteration of repayment period/ rate of interest/sanction of additional credit facilities etc. to help in curing default.

Under RBI prudential norms, banks may restructure the accounts classified under standard, substandard or doubtful categories. On restructuring, the account will be downgraded from Standard to Sub-standard whereas NPAs will remain in the same category.

In the given situation CA T selected account of Mr. X whose account was often overdue since April, 2024 but did not become NPA. On 01.11.2024, Bank accepted Mr. X's request to increase the repayment period and reduced rate of interest. Branch classified the account as Standard Asset as on 31.3.2025. However, CA T is of the view that the account should be classified as sub-standard asset as there is change in terms of payment.

Thus, classification insisted by CA T regarding the account of Mr. X as on 31.03.2025 as sub-standard is correct.

(ii) The Reserve Bank has prescribed objective norms for determining the quantum of provisions required in respect of advances. However, these norms should be construed as laying down the minimum provisioning requirements and wherever a higher provision is warranted in the context of the threats to recovery, such higher provision should be made.

In the given situation, CA T drafted Memorandum of changes for account of Mr. X to be submitted to the branch. Rate of provision for secured portion of sub-standard assets prescribed by Board of ABC Bank Ltd. is 20%, whereas requirement as per IRAC norms is 15%.

Since 15% provisioning prescribed by IRAC norms is minimum requirement, therefore, rate of provision prescribed by ABC Bank Ltd. for secured portion of Sub-standard Asset as 20% as higher provision is in order.

(b) Considerations for Remote Audit: Confidentiality, Security and Data Protection: M/s ST & Co. have been developing tailored strategies to ensure that the remote audit meets the requirements and deliver results equivalent to traditional onsite audits.

1. To ensure data security and confidentiality, access to document sharing platform should be sufficiently restricted and secured by encrypting the data that is sent across the network.
2. The information, once reviewed and documented by auditor, is removed from the platform, and stored according to applicable archiving standards and data protection requirements.
3. Auditors should take into consideration legislation and regulations, which may require additional agreements from both sides (e.g., there will be no recording of sound and images, or authorizations to using people's images).
4. Auditors should not take screenshots of auditees as audit evidence. Any screenshots of documents or records or other kind of evidence should be previously authorized by the audited organization.
5. In case of accessing the auditee's IT system auditor should use VPN (Virtual private network). VPN is a service which creates safe and encrypted online connections. It prevents unauthorized users to enter into network and allows the users to perform work remotely.

(c) Social Pillar: The ESG pillar highlighted here is the "Social" pillar which addresses the relationships the entity has and the reputation it fosters with people and institutions in the communities where you do business, and the value chain involved. It further includes labour relations, diversity, and inclusions.

The Social pillar includes the following elements as under:

- Human Capital:
  - ♦ Labour Management
  - ♦ Health & Safety
  - ♦ Human Capital Development
  - ♦ Supply Chain Labour Standards
- Product Liability:
  - ♦ Product Safety & Quality
  - ♦ Chemical Safety

- ♦ Financial Product Safety
- ♦ Privacy and Data Security
- ♦ Responsible Investment

- Stakeholders Opposition:
  - ♦ Controversial Sourcing
- Social Opportunity:
  - ♦ Access to Communication
  - ♦ Access to Finance
  - ♦ Access to Health Care
  - ♦ Opportunities in Nutrition & Health

Question 5

(a) Gold Opportunities Fund is in the business of Mutual fund and has prepared the financial statements for the F.Y. ended on 31st March 2025. These financial statements have been audited by M/s SH & Co., Chartered Accountants, and the audit report issued is unqualified. The company has also prepared a scheme wise summary of its financial performance for the stakeholders. The management of Gold Opportunities Fund further engages M/s SH & Co. to perform an engagement to report on the abridged financial statements derived from the audited financial statements pursuant to SEBI regulations and in accordance with format prescribed by SEBI. Describe in detail the nature of procedures that would be performed by M/s SH & Co., under relevant Standard on Auditing to provide an opinion on the abridged financial statements. ***(5 Marks)***

(b) ABC Limited is in the business of manufacturing of iron ore and steel bars since last decade. The company is having its registered office in Mumbai and factory in Bhiwandi. M/s. R and Associates are appointed as the statutory auditors of the company for the financial year 2024-25. While going through the trial balance of the company, they observed that the company has 50 customers and 40 vendors. They requested the company to authorise them to send the external confirmation to few of its customers and vendors. The company immediately provided them an authority letter to send the external confirmation to their customers and vendors. The auditor sent positive

confirmation request to top 3 customers and top 3 vendors. After two days of sending positive confirmation request, the management of the company handed over to them the duly signed response received from the respective customers and vendors to whom they had sent the confirmation request. How would M/s. R and Associates proceed to deal with the situation as the auditor of the company? ***(5 Marks)***

(c) CA Neha, a Chartered Accountant in practice, is approached by Growtech Ltd., a startup company planning to raise capital through an Initial Public Offering (IPO). The company requests her assistance in guiding them through the selection of advertising agencies, co-ordinating with bankers and brokers to issue. Besides helping the company as an advisor, she also underwrote the public issue of the company to the extent of 20% at a commission of 1%. She contends that provisions of code of conduct are not binding such services. Do you agree with the view of CA Neha? Analyse the facts and give your comments in the light of applicable code of conduct. ***(4 Marks)***

Answer

(a) Engagements to Report on Summary Financial Statements: As per SA 810, "Engagements to Report on Summary Financial Statements", nature of procedures to be performed by auditor M/s SH & Co. to provide opinion on the abridged financial statements are given below:

(1) Evaluate whether the summary financial statements adequately disclose their summarised nature and identify the audited financial statements.

(2) When summary financial statements are not accompanied by the audited financial statements, evaluate whether they describe clearly:

(i) From whom or where the audited financial statements are available; or

(ii) The law or regulation that specifies that the audited financial statements need not be made available to the intended users of the summary financial statements and establishes the criteria for the preparation of the summary financial statements.

(3) Evaluate whether the summary financial statements adequately disclose the applied criteria.

(4) Compare the summary financial statements with the related information in the audited financial statements to determine whether the summary financial statements agree with or can be re-calculated from the related information in the audited financial statements.

(5) Evaluate whether the summary financial statements are prepared in accordance with the applied criteria.

(6) Evaluate, in view of the purpose of the summary financial statements, whether the summary financial statements contain the information necessary, and are at an appropriate level of aggregation, so as not to be misleading in the circumstances.

(7) Evaluate whether the audited financial statements are available to the intended users of the summary financial statements without undue difficulty, unless law or regulation provides that they need not be made available and establishes the criteria for the preparation of the summary financial statements as discussed already.

(b) Reliability of External Confirmation: SA 505, "External Confirmations", states that if the auditor determines that a response to a confirmation request is not reliable, the auditor shall evaluate the implications on the assessment of the relevant risks of material misstatement, including the risk of fraud, and on the related nature, timing and extent of other audit procedures.

SA 500, "Audit Evidence", indicates that even when audit evidence is obtained from sources external to the entity, circumstances may exist that affect its reliability. All responses carry some risk of interception, alteration or fraud. Such risk exists regardless of whether a response is obtained in paper form, or by electronic or other medium.

Factors that may indicate doubts about the reliability of a response include that it:

- was received by the auditor indirectly; or
- appeared not to come from the originally intended confirming party.

In the instant case, ABC Limited has 50 customers and 40 vendors in the year 2024-25. M/s R and associates sent positive confirmation letter to top 3 customers and top 3 vendors. However, after 2 days of sending request,

management of the company handed over duly signed response received from respective customers and vendors to auditor. Considering the fact that the response was received by the auditor indirectly, it raises questions on the reliability of responses received and indicates a fraud risk factor that requires evaluation.

In view of above, if the auditor has doubts regarding the reliability of these responses, it becomes necessary to obtain additional audit evidence to address those concerns. The auditor should also reassess the risk of material misstatement, including the possibility of fraud, and accordingly design further audit procedures.

(c) The Council of the Institute of Chartered Accountants of India (ICAI) pursuant to Section 2(2)(iv) of the Chartered Accountants Act, 1949 has passed a resolution permitting a Chartered Accountant in practice to render entire range of "Management Consultancy and other Services".

A clause of the aforesaid resolution allows Chartered Accountants in practice to act as advisor or consultant to an issue, including preparation of publicity budget, advice regarding arrangements for selection of (i) ad-media, (ii) centres for holding conferences of brokers, investors, etc., (iii) bankers to issue, (iv) collection centres, (v) brokers to issue, (vi) underwriters and the underwriting arrangement, distribution of publicity and issue material including application form, prospectus and brochure and deciding on the quantum of issue material.

It is, however, specifically stated that Chartered Accountants in practice are not permitted to undertake the activities of broking, underwriting and portfolio management services.

In the given situation, CA. Neha, a practicing Chartered Accountant, is helping the company as an advisor, she also underwrote the public issue of the company Growtech Ltd., a startup company, to the extent of 20% at a commission of 1%. In view of Section 2(2)(iv) of the Chartered Accountants Act, 1949, contention of CA Neha that provision of Code of Conduct (Ethics) are not binding in providing such services is not correct.

Accordingly, CA Neha is permitted to provide the services of advisor or consultant to an issue as part of Management Consultancy and other Services under section 2(2)(iv) of the Chartered Accountants Act, 1949.

However, CA Neha would be held guilty of professional misconduct under the Chartered Accountants Act, 1949 for underwriting the public issue of the Company.

Question 6

(a) *CA Q is the engagement partner for the statutory audit of LAL Ltd. While conducting the audit he has identified some deficiencies in the internal controls. On further verification of the internal controls of the company, he has some indications that significant transactions in which management is financially interested are not being appropriately scrutinised by those charged with the governance and also in few cases he observed the susceptibility to loss of an asset. He determines, on the basis of the audit work performed, that identified deficiencies constitute significant deficiencies. How and to whom CA Q shall communicate identified significant deficiencies in the internal control? Which matters shall be included by CA Q in such communication?* ***(5 Marks)***

(b) *VPN Ltd. is a listed entity that prepares quarterly financial statements in accordance with Ind AS. The company has appointed Jack & Co., Chartered Accountants, as its statutory auditors. During Q2 of the Financial Year 2024-25, Jack & Co. undertake a review of VPN Ltd.'s interim financial information in accordance with SRE 2410. The auditor plans to obtain written representations from the management. The management has merely stated that the interim financial information is prepared and presented in accordance with the applicable financial reporting framework. As an engagement team member, you are required to specify areas that these written representations should cover for the review of interim financial information.* ***(5 Marks)***

(c) *SAFE Cooperative Bank shortlisted M/s VW & Colleagues, Chartered Accountants, out of the five audit firms, for assignment of Statutory Audit for the F.Y. 2024-25. Bank emailed the list of branches to the audit firms along with the maximum fee per branch and requested them to submit the quotations. M/s VW & Colleagues responded to the bank and submitted their quotations. Comment with reference to the provisions of the Chartered Accountants Act, 1949 and schedules thereto.* ***(4 Marks)***

(OR)

(c) *BIL Limited is a company manufacturing premium shampoos since last decade. The company functions through various salesmen appointed across the country. The management of company came across the news that the salesmen in the central and western regions have exaggerated their sales through fictitious billings to achieve higher commission and to accommodate the sales volume achieved by one employee with other employees, who falls short of their target. The management of the company appointed you to investigate and unearth such type of fraud, if it is prevailing in their company. What procedures will be followed by you to investigate such type of fraud?* ***(4 Marks)***

Answer

(a) Communicating Deficiencies in Internal Control: SA 265 on "Communicating Deficiencies in Internal Control to Those Charged with Governance and Management", deals with the auditor's responsibility to communicate appropriately to those charged with governance and management deficiencies in internal control that the auditor has identified in an audit of financial statements.

The auditor, CA Q shall communicate significant deficiencies in internal control identified during the audit to those charged with governance on a timely basis in writing. CA Q shall also communicate to management at an appropriate level of responsibility on a timely basis.

The auditor shall include in the written communication of significant deficiencies in internal control:

(1) A description of the deficiencies and an explanation of their potential effects; and

(2) Sufficient information to enable those charged with governance and management to understand the context of the communication. In particular, the auditor shall explain that:

(i) The purpose of the audit was for the auditor to express an opinion on the financial statements;

(ii) The audit included consideration of internal control relevant to the preparation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for

the purpose of expressing an opinion on the effectiveness of internal control; and

(iii) The matters being reported are limited to those deficiencies that the auditor has identified during the audit and that the auditor has concluded are of sufficient importance to merit being reported to those charged with governance.

(b) Review of Interim Financial Informationn: As per SRE 2410, "Review of Interim Financial Information Performed by the Independent Auditor of the Entity", specific areas that written representations should cover for the review of interim financial information are given below:

(i) It acknowledges its responsibility for the design and implementation of internal control to prevent and detect fraud and error.

(ii) The interim financial information is prepared and presented in accordance with the applicable financial reporting framework.

(iii) It believes the effect of those uncorrected misstatements aggregated by the auditor during the review are immaterial, both individually and in the aggregate, to the interim financial information taken as a whole. A summary of such items is included in or attached to the written representations.

(iv) It has disclosed to the auditor all significant facts relating to any frauds or suspected frauds known to management that may have affected the entity.

(v) It has disclosed to the auditor the results of its assessment of the risks that the interim financial information may be materially misstated as a result of fraud.

(vi) It has disclosed to the auditor all known actual or possible non-compliance with laws and regulations whose effects are to be considered when preparing the interim financial information; and

(vii) It has disclosed to the auditor all significant events that have occurred subsequent to the balance sheet date and through to the date of the review report that may require adjustment to or disclosure in the interim financial information.

(c) As per Clause 6 of Part I of the First Schedule to the Chartered Accountants Act, 1949, a Chartered Accountant in practice shall be guilty of professional misconduct if he solicits clients or professional work either directly or indirectly by circular, advertisement, personal communication or interview or by any other means.

Provided that nothing herein contained shall be construed as preventing or prohibiting -

(i) Any Chartered Accountant from applying or requesting for or inviting or securing professional work from another chartered accountant in practice; or

(ii) A member from responding to tenders or enquiries issued by various users of professional services or organisations from time to time and securing professional work as a consequence.

However, as per the Guidelines issued by the Council of the Institute of Chartered Accountants of India, a member of the Institute in practice shall not respond to any tender issued by an organisation or user of professional services in areas of services which are exclusively reserved for Chartered Accountants, such as audit and attestation services. However, such a restriction shall not be applicable where minimum fee of the assignment is prescribed in the tender document itself or where the areas are open to other professionals along with the Chartered Accountants.

In the given case, SAFE Cooperative Bank circulated a list of branches to audit firms, specifying the maximum fee per branch. In response, M/s VW & Colleagues submitted their quotation. As per Clause (6) of Part I of the First Schedule to the Chartered Accountants Act, 1949, and the Guidelines issued by the Council of ICAI, such a response is not permitted, since the assignment relates to audit services exclusively reserved for Chartered Accountants, and only a maximum fee (not minimum) was prescribed. Accordingly, the concerned responsible partner of M/s VW & Colleagues, being a Chartered Accountant in practice, shall be held guilty of professional misconduct for responding to such a quotation.

OR

(c) Procedure to be followed to Investigate Commission Schemes Fraud:

(1) Before proceeding to investigate frauds of the type aforementioned, the investigating accountant should ascertain the exact duties of the

person concerned who is suspected to have committed a fraud, his relationship to the general routine of the office and the circumstances in which any known instances of defalcation have come to light.

(2) Such an enquiry would give a clue to promising avenues of investigation. Greater the authority of the individual suspected of a fraud, wider would be the field which would have to be covered by the investigation.

(3) At times, an accountant is called upon to investigate a suspected fraud, the details or the nature whereof is not known. In such a case, for localising the source of the fraud, the investigating accountant will have to study the financial and accounting structure of the organisation.

(4) As a first step, he should examine the line of responsibility between the various members of the staff. He should have a look at the system of internal control in operation for spotting out the weaknesses, if any, that may exist in it.

(5) Relying on the above study, he should direct his enquiry towards those aspects of the business where there has been excessive control in the hands of single person/employee, without any supervision by any other person/employee or, any other inherent weakness that may be in existence in the system.

PAPER – 3: ADVANCED AUDITING, ASSURANCE AND PROFESSIONAL ETHICS

PART – I Multiple Choice Questions

1. *M/s DG & Co. is a firm of Chartered Accountants, consisting of two partners, CA D and CA G. The firm operates its main office in Delhi and has established branch offices in Gurgaon, and Shimla. M/s DG & Co. had applied for exemption with respect to the Shimla Office, due to its hill area location.*

   The permission was granted to them allowing a temporary office in Chandigarh during winter months. The temporary office in Chandigarh displayed its name board year-round and used the address on firm stationery.

   The firm is concerned with the compliance of provisions of Section 27 of the Chartered Accountants Act, 1949. Exemption has been given to members practicing in hill areas.

   You are required to identify the correct condition(s) from the following:

   (i) M/s DG & Co. should be allowed to open temporary offices in Chandigarh for a limited period not exceeding 3 months in a year.

   (ii) Shimla office should be closed during winter months and all correspondence should be made at the Chandigarh office only.

   (iii) The name board of the firm in the Chandigarh office should not be displayed at times other than the period such office is permitted to function.

   (iv) Chandigarh office should not be mentioned in the letterheads, visiting cards or any other documents as a place of business of the member/firm.

   (v) Before commencement of every winter it shall be obligatory on the firm to inform the Institute that it is opening the Chandigarh office from a particular date and after the office is closed at the expiry of the period of permission, an intimation to that effect should also be sent to the office of the Institute by registered post.

   (A) (i), (ii), (iii), (iv)

©The Institute of Chartered Accountants of India

(B) (i), (iii), (iv), (v)

(C) (i), (ii), (iv)

(D) (ii), (iii), (iv), (v) ***(2 Marks)***

2. *Secure Bank Ltd., a mid-sized financial institution, prides itself on offering secure digital banking services to its customers. Recently, the bank became a target of a sophisticated malware attack that exposed multiple vulnerabilities in its IT systems.*

(I) ***Incident 1:*** *An employee of Secure Bank received an email from what appeared to be a reputable software vendor, offering a "free system optimization tool". Believing it to be legitimate, the employee downloaded and installed the tool. However, it was a cyber-attack, disguised to appear as harmless software. Once installed, it created a backdoor that allowed attackers to access the bank's internal network.*

(II) ***Incident 2:*** *The attackers leveraged to target employees' smartphones. This malware was introduced through phishing SMS (smishing), which prompted employees to click on malicious links. The malware exploited outdated operating systems on the devices to extract sensitive corporate information.*

(III) ***Incident 3:*** *The attackers executed a malware on the bank's systems by exploiting legitimate tools such as PowerShell and Windows Management Instrumentation (WMI), the attackers initiated a series of commands to explore and manipulate the bank's network.*

(IV) ***Incident 4:*** *A critical server was encrypted by a cyber-attack, disrupting operations for three days. This encrypted all critical financial data, rendering the system inoperable. Investigations revealed that the attack originated from a phishing email sent to an employee. The email contained a link that exploited an unpatched vulnerability in the server.*

From the above which of the cyber-attack incident that Secure Bank Ltd. became victim of, is described as "Ransomware?"

(A) Incident 4

(B) Incident 3

©The Institute of Chartered Accountants of India

(C) Incident 2

(D) Incident 1 ***(2 Marks)***

3. *Uranus Pvt. Ltd., a partially-owned subsidiary of Saturn Ltd., a manufacturing company, has been operating as an unlisted company in India. The company's shareholders, including non-voting members, have been informed in writing about the company's decision not to present consolidated financial statements. None of the members have objected, and the company holds proof of delivery for these communications.*

Saturn Ltd., the ultimate holding company of Uranus Pvt. Ltd., files its consolidated financial statements with the Registrar in compliance with the applicable Accounting Standards. Saturn Ltd. is listed on the National Stock Exchange (NSE) and adheres to Ind AS for its reporting requirements.

Pluto Ltd., is another subsidiary of Saturn Ltd. manages funds from various investors, with a stated business objective of earning returns through capital appreciation and investment income. It evaluates its investments on a fair value basis, reporting these changes through profit or loss. Pluto Ltd. holds 75% shares of Neptune Ltd. and 60% shares of Eris Ltd.

During a regulatory review, issues arose regarding the applicability of Consolidated Financial Statement (CFS) requirements and the exemptions provided under the Companies Act, 2013, and Ind AS 110.

Which of the following statements is most appropriate regarding the applicability of Consolidated Financial Statements (CFS) requirements and the exemptions provided under the Companies Act, 2013, and Ind AS 110.

(A) Uranus Pvt. Ltd. must prepare consolidated financial statements as it is a subsidiary of a listed company that files its consolidated statements.

(B) Pluto Ltd. must present consolidated financial statements for all entities it controls as it measures its subsidiaries at fair value through profit or loss.

(C) Saturn Ltd. must consolidate all entities it controls, excepting Pluto Ltd. and its subsidiaries as the requirement of preparation CFS shall not apply to Pluto Ltd.

(D) Saturn Ltd. must consolidate all entities it controls, including Uranus Pvt. Ltd., Pluto Ltd. and its subsidiaries. ***(2 Marks)***

©The Institute of Chartered Accountants of India

Integrated Case Scenario - I

M/s FILE & Co. is a firm of Chartered Accountants consisting of 12 partners based at Mumbai. The audit firm is engaged in the audit of DEAF Ltd. for the financial year 2024-2025 for which CA L is the engagement partner.

During the course of the audit of DEAF Ltd., the following misstatements were identified:

I. A calculation error in the depreciation schedule amounting to ₹ 1 lakh.

II. Management's estimate regarding inventory valuation seemed aggressive, leading to an overstatement of ₹ 5 lakhs, which the auditor deemed unreasonable.

III. A sample audit revealed an error in sales invoices amounting to ₹60,000 and the population of similar invoices totalled ₹ 1 crore. The auditor's best estimate of misstatement in population identified in the samples to the entire population is ₹6 lakhs.

CA L has determined a threshold of ₹ 75,000 as the amount below which misstatements would be considered clearly trivial.

Further:

(i) The auditor communicated with those charged with governance regarding uncorrected misstatements and their effect and requested to them that uncorrected misstatements be corrected.

(ii) The management corrected the inventory valuation issue but did not correct the depreciation error or the error in sales invoices amounting to ₹60,000, considering the immateriality.

(iii) After evaluating the effect of identified misstatements on the audit and of uncorrected misstatements, if any, on the financial statements, CA L is concerned on the documentation aspect with reference to the relevant Standard on Auditing.

M/s FILE & Co. is also the statutory auditors of Purple Pvt. Ltd., a manufacturing company, which has been severely impacted by economic downturns and operational inefficiencies. The company's cash flow statements reveal recurring negative cash flows, and its interim financial statements show a significant decline in profitability. Additionally, Purple Pvt. Ltd. has defaulted on loan covenants, and on-going litigation poses a risk of substantial financial liabilities.

©The Institute of Chartered Accountants of India

Management has stated their plans to mitigate these challenges by restructuring debt, securing additional funding from related parties, and reducing operational costs. However, no formal documentation supporting these plans has been provided yet.

M/s FILE & Co. have identified the events and conditions in the case of Purple Pvt. Ltd. which cast significant doubt on the entity's ability to continue as a Going Concern, and auditor needs to obtain sufficient appropriate audit evidence to determine whether or not material uncertainty exists and gather evidence including of mitigating factors.

M/s FILE & Co. is planning to perform the following additional procedures:

(i) As long as management provides a representation letter stating their plans to address financing difficulties the auditor is not bound by the terms of breached loan agreements.

(ii) Confirm the existence, legality, and enforceability of arrangements to provide or maintain financial support, both from related/third parties and the assessment of the financial ability of such parties to provide the promised support as immaterial.

(iii) Evaluate the assumptions underlying cash flow, profit, and other relevant forecasts, considering historical accuracy and current market conditions.

(iv) Considering whether existing facts and information have become available since the date of management's initial assessment that could impact the going concern conclusion.

(v) Review minutes of meetings of shareholders, those charged with governance, and relevant committees for references to financial difficulties, plans for mitigating actions, or discussions on securing additional funding.

(vi) If management has not yet performed an assessment, the entity is treated as not a going concern and issue a modified audit opinion without further evidence.

M/s FILE & Co. the statutory auditors of Crypto Ltd., a non-listed public company, carrying out manufacturing activity, have been identified for their quality review based upon risk based approach. However, Crypto Ltd. is neither covered under Rule 3 of NFRA Rules, 2018 nor referred to QRB by NFRA. The Quality Review Board (QRB) is entrusted with conducting a quality review of M/s FILE & Co.'s audit services. During the review, QRB identifies non-compliance with Standards

©The Institute of Chartered Accountants of India

on Auditing (SAs) in areas related to engagement documentation and independence. Meanwhile, NFRA receives a whistle blower complaint regarding audit irregularities in Glitch Ltd., a listed company, audited by FILE & Co. M/s FILE & Co. was charged with failure to identify related parties and transactions with them. Glitch Ltd. has made 95% of sales to a related party which was not identified as such in the annual report of the company. NFRA initiates an investigation under Section 132(4) of the Companies Act, 2013.

Based on the above facts, answer the following questions (Q. Nos. 4 to 7):

4. *Which of the following options is correct regarding the classification and treatment of the identified misstatements of DEAF Ltd. under relevant Standard on Auditing?*

   (A) The ₹ 1 lakh error in depreciation schedule qualifies as a judgemental misstatement. Management's estimate regarding inventory, leading to an overstatement of ₹ 5 lakhs, which the auditor deemed unreasonable does not qualify as a misstatement.

   A sample audit revealed an error in sales invoices amounting to ₹ 60,000 is a factual misstatement.

   (B) The ₹ 1 lakh error in the depreciation schedule is a judgemental misstatement.

   The inventory valuation overstatement of ₹ 5 lakhs is a factual misstatement.

   The invoice-related error does not qualify as a misstatement as the individual error is below the trivial threshold.

   (C) The ₹ 1 lakh error in the depreciation schedule is a factual misstatement.

   The inventory valuation overstatement of ₹ 5 lakhs is a projected misstatement.

   The auditor's best estimate of misstatement of population is a judgemental misstatement.

   (D) The ₹ 1 lakh error in the depreciation schedule is a factual misstatement.

   The inventory valuation overstatement of ₹ 5 lakhs is a judgmental misstatement.

   The auditor's best estimate of misstatement of ₹ 6 lakhs to entire population is a projected misstatement. ***(2 Marks)***

©The Institute of Chartered Accountants of India

5. *Which of the following actions is not required as part of the auditor's documentation for the identified misstatements of DEAF Ltd.?*

   (A) Justifications for not communicating identified misstatements to those charged with governance.

   (B) Recording the predetermined threshold of ₹75,000 as the amount below which misstatements would be considered clearly trivial.

   (C) Listing all identified misstatements, including the inventory misstatement, even if corrected by management.

   (D) The auditor's conclusion as to whether uncorrected misstatements are material, individually or in aggregate, and the basis for that conclusion.

   (2 Marks)

6. *Based on the listed additional procedures, which of the following are the inappropriate actions for the auditor to take decision on Going Concern in the case of Purple Pvt. Ltd.?*

   (A) (i), (ii), (iii), (iv)

   (B) (i), (ii), (iv), (vi)

   (C) (ii), (iii), (iv), (vi)

   (D) (iii), (iv), (v), (vi) ***(2 Marks)***

7. *Which of the following statements is most appropriate in the context of the roles of QRB and NFRA?*

   (A) QRB is empowered to review the quality of audit services for both Crypto Ltd. and Glitch Ltd. since it oversees all entities audited by ICAI members.

   (B) NFRA cannot investigate Glitch Ltd. as it falls under QRB's jurisdiction due to the audit being performed by ICAI members.

   (C) QRB can review the quality of audit services of Crypto Ltd.; but cannot review the quality of audit services of Glitch Ltd.

   (D) NFRA and QRB have overlapping jurisdiction for listed entities, and either body can independently investigate Glitch Ltd. ***(2 Marks)***

©The Institute of Chartered Accountants of India

Integrated Case Scenario - II

M/s TAG & Associates, a Chartered Accountant firm was appointed by Comptroller and Auditor General to conduct performance audit of Wind power Ltd., a public sector undertaking of Government of India for the financial year 2024-25. Wind power Ltd. is engaged in generation of wind power with setting up of wind power plants at distinct locations in the country. The audit is assigned with the objective and systematic examination of evidence for the purpose of providing an independent assessment of the performance of organization, program, activity, or function in order to provide information to improve public accountability and facilitate decision-making by parties with responsibility to oversee or initiate corrective action.

The audit firm is concerned with Planning for Performance Audit.

The audit manager Mr. G suggested the following procedures in the following sequence of steps for conduct of Performance audit:

(1) Understanding the entity/programme

(2) Defining the objectives and the scope of audit

(3) Deciding audit approach

(4) Developing audit questions

(5) Determining audit criteria

(6) Establishing time table and resources

(7) Preparing Audit Design Matrix

(8) Assessing audit team skills and whether outside expertise required

(9) Intimation of Audit programme to audit entities

Further, in the course of performance audit of Wind power Ltd., the engagement partner CA JP entrusted the audit work to four team members namely Mr. P, Mr. Q, Mr. R, Mr. S. The audit team is initially concentrated in deciding audit approach. CA JP suggested that there is no uniform audit approach prescribed that can be applicable to all types of subjects of performance audits. CA JP asked his team members to suggest a method for conducting the Performance audit.

- *Mr. P suggested a method which involves a descriptive analysis of an entity, scheme or a programme.*

©The Institute of Chartered Accountants of India

- *Mr. Q suggested a method which involves examination of available data relating to financials like earnings, revenue, or data relating to programme implementation like details of beneficiaries etc.*
- *Mr. R suggested a method which involves collecting information from members of a population to assess the interrelation of events and conditions.*
- *Mr. S suggested a method which involves review of the systems in place for planning, conducting, checking, and monitoring the activity.*

CA JP analysed the methods suggested by each team member.

M/s TAG & Associates were appointed as statutory auditors of Indore Main branch of a public sector bank for the financial year 2024-25. Advances generally constitute a major part of the assets of the branch. There are substantial number of borrowers to whom variety of advances are granted. Hence, they felt that audit of advances requires major attention. M/s TAG & Associates are primarily concerned with obtaining evidence about the following while carrying out audit of advances:

- *Amounts due to the bank are appropriately supported by loan documents.*
- *The stated basis of valuation of advances is appropriate and properly applied and recoverability of advances is recognized in their valuation.*
- *Advances are disclosed, classified and described in accordance with recognized accounting policies and practices and relevant statutory and regulatory requirements.*
- *Appropriate provisions towards advances are made as per RBI norms, accounting standards and generally accepted accounting practices.*

Audit approach of advances should encompass designing appropriate audit procedures to obtain audit evidence in all these areas.

The engagement partner, CA R assigned the focus areas in advances to the members of audit team as follows:

Mr. X was assigned to focus on evaluation of internal control on advances. Mr. Y was assigned to focus on substantive audit procedures on advances. Mr. Z was assigned to focus on recoverability of advances.

Further during the course of audit, it was observed that in the case of Kiran Ltd., a trading company which has availed a cash credit facility of ₹ 10 crore from Indore Main branch, the drawing power was not arrived at by bank.

©The Institute of Chartered Accountants of India

As of 31st March 2025, the following details are provided regarding its stock, receivables (with ageing analysis), and creditors for calculating the Drawing Power (DP):

Particulars	***Amount (₹ in lakhs)***	***Remarks***
Total Stock	*900*	*Includes damaged stock of ₹ 60 lakhs.*
Total Receivables (Debtors)	*800*	*Ageing details provided below.*
Creditors for Stock	*140*	*Related to stock financed by creditors.*
Margin on Stock	*25%*	*As per bank sanction terms.*
Margin on Receivables	*40%*	*As per bank sanction terms.*
Sanctioned Cash Credit Limit	*1000*	

Debtors' Ageing Analysis:

Age Bucket	***Amount (₹ in lakhs)***
0 - 30 days	*250*
31 - 60 days	*200*
61 - 90 days	*250*
> 90 days (Overdue)	*100*
Total Receivables	***800***

On the basis of the above details, you are required to answer the following questions (Q. Nos. 8 to 11):

8. *CA JP, the engagement partner is satisfied with the procedures suggested by audit manager but he is not convinced with the sequence of steps while planning the performance audit of Wind power Ltd. He seeks your advice in suggesting the correct sequence after rearranging them. You are required to select the correct option from the following:*

   (A) Step 1, 2, 6, 4, 5, 3, 7, 8, 9

   (B) Step 1, 2, 4, 3, 5, 7, 6, 8, 9

   (C) Step 1, 2, 3, 5, 4, 8, 6, 7, 9

   (D) Step 1, 2, 5, 3, 4, 8, 7, 6, 9 ***(2 Marks)***

©The Institute of Chartered Accountants of India

9. *As regards the method suggested for conducting performance audit of Wind power Ltd., by which team member, do you think that, it may not be possible for the auditor to work with complete data due to its high volume and in such cases sampling techniques are required to be used?*

   (A) Mr. P

   (B) Mr. Q

   (C) Mr. R

   (D) Mr. S ***(2 Marks)***

10. *The following audit procedures are undertaken by the audit team in relation to audit of advances of the Indore Main branch:*

   (i) Examine existence, enforceability, and valuation of securities in respect of securities requiring registration.

   (ii) Verify correctness of master data of loan accounts updated in CBS. Check parameters like instalments, EMI, rate of interest, tenure of loans etc.

   (iii) Examine whether system laid down in bank for review/renewals of advances is being followed.

   (iv) Examine accounts identified to be problem accounts but which have not yet slipped into NPA category. This can be done by obtaining list of SMA1 and SMA2 borrowers from the bank and same can be considered for selection of problematic accounts.

   (v) Review auditor's reports in case of borrowers having credit facilities from the banking system beyond a cut-off limit fixed by board of directors of bank.

   From the above, identify the audit procedures that Mr. Y should focus upon.

   (A) (i), (ii), (iii)

   (B) (ii), (iv), (v)

   (C) (ii) & (iv)

   (D) (iii) & (iv) ***(2 Marks)***

11. *What is the Drawing Power (DP) available to Kiran Ltd. as of 31st March 2025?*

   (A) ₹ 1005 lakhs

   (B) ₹ 1000 lakhs

©The Institute of Chartered Accountants of India

(C) ₹ 945 lakhs

(D) ₹ 990 lakhs ***(2 Marks)***

Integrated Case Scenario - III

M/s GDP Associates, a renowned firm of Chartered Accountants consisting of 15 partners was appointed as statutory auditors for the Financial Year 2024-25 of SYNC Technology Ltd., a technology focused engineering company engaged in turnkey electronics manufacturing services, specializing in precision manufacturing for diverse end-use industries including the automotive, healthcare, IT, industrial appliances, energy management, water purification, power supply and consumer products industries. The company's portfolio includes memory, SSDs, motherboards, power adapters, and systems integration.

In conducting an initial audit engagement, the objective of the M/s GDP Associates is to obtain sufficient appropriate audit evidence about whether Opening balances contain misstatements that materially affect the current period's financial statements; and appropriate accounting policies reflected in the opening balances have been consistently applied in the current period's financial statements, or changes thereto are properly accounted for and adequately presented and disclosed in accordance with the applicable financial reporting framework. The company's prior year financial statements were audited by M/s JK Associates, but the predecessor auditor's report was modified due to the non-disclosure of certain liabilities. The opening balances include significant provisions and carry forward adjustments.

M/s GDP Associates decides to use sampling to test compliance with internal controls over revenue recognition. As part of the audit of SYNC Technology Ltd., M/s GDP Associates is performing sampling for tests of controls and substantive procedures. At the end of the sampling process, the auditor needed to conclude on whether the sampling results provided a reasonable basis for conclusions about the population tested.

During testing, the following scenarios arose:

(1) A selected item could not be tested because supporting documentation was unavailable. The auditor is unable to apply the designed audit procedures since documentation relating to sales is lost, like the sales order record, sales invoice, document for dispatch.

©The Institute of Chartered Accountants of India

(2) A deviation was identified in the sample that could potentially indicate a misstatement in the population.

(3) The auditor found an item that seemed anomalous but required further procedures to confirm it was not representative of the population.

As part of audit, to confirm the accounts receivable balances with customers, M/s GDP Associates sends confirmation requests to SYNC Technology Ltd.'s top 50 customers, whose account balances represent 80% of the company's total receivables. The auditor sends confirmation requests to confirm balances of cash held in bank accounts and outstanding loans with the bank. The auditor also sends confirmation requests to 200 small suppliers with low-value account balances.

The following events occur during the confirmation process:

(1) Out of the 50 positive confirmation requests, 10 responses indicate agreement with the balances, 5 responses indicate discrepancies, and 35 do not respond.

(2) One response to a positive confirmation appears unreliable due to discrepancies in the customer's letterhead and inconsistent information.

(3) The 100 negative confirmation requests receive no responses.

(4) In the case of non-response, the audit firm examined subsequent cash disbursements, email correspondences, and other records like goods received notes.

Further M/s GDP Associates engaged an external IT expert to evaluate the entity's cyber security framework, a significant area of risk identified during risk assessment. M/s GDP Associates and the expert held discussions to finalize the terms of the engagement, which included:

(1) The expert's role in assessing the robustness of SYNC Technology Ltd.'s cyber security systems.

(2) The communication protocol, specifying that the expert would provide interim oral reports during the engagement and a formal written report upon conclusion.

(3) The need for confidentiality agreements, as the entity requested additional restrictions on the disclosure of sensitive cyber security information.

(4) The identification of specific audit team members responsible for liaising with the expert and facilitating communication between the expert and the entity.

©The Institute of Chartered Accountants of India

During the audit, the following issues arose:

- *The expert delayed submitting the formal report, citing unclear communication about the expected scope of work.*
- *The entity expressed concerns about the confidentiality provisions not being adequately addressed.*
- *The expert had limited interaction with the auditor, leading to misalignment on the interim findings.*

On the basis of the above details, you are required to answer the following questions (Q. Nos. 12 to 15):

12. *Considering the factors influencing audit procedures for opening balances, which of the following is the most appropriate course of action under relevant Standard on Auditing?*

    (A) Perform audit procedures in prior period to obtain evidence relevant to opening balances or evaluate whether prior period's closing balances have been correctly brought forward.

    (B) Evaluate the effect of the matter giving rise to modification in the predecessor auditors M/s JK Associates' report, with respect to the current period's financial statements.

    (C) Assume the opening balances are immaterial since the predecessor auditors, M/s JK Associates issued a modified opinion and focus only on current year's transactions.

    (D) Accept the accounting policies applied to the opening balances based solely on management's assertion, provided they appear consistent with current period's policies. ***(2 Marks)***

13. *Based on SA 530, which of the following is the most appropriate response for the auditor in handling these situations while performing sampling tests and procedures?*

    (A) If the audit procedure is not applicable to the selected item, then the auditor shall perform only the alternative procedure but not on a replacement item.

    (B) In case when the auditor considers a misstatement or deviation discovered in a sample to be an anomaly, the auditor shall obtain a high

©The Institute of Chartered Accountants of India

degree of certainty that such misstatement or deviation is representative of the population.

(C) Rely solely on the results of the sample and assume that any deviations identified are immaterial to the population.

(D) If the auditor is unable to apply the designed audit procedures, or suitable alternative procedures, to a selected item, the auditor shall treat that item as a misstatement, in the case of tests of details. ***(2 Marks)***

14. Which of the following is the most appropriate for M/s GDP Associates in response to the events that occurred when performing external confirmation procedures to obtain relevant and reliable audit evidence in accordance with relevant Standard on Auditing?

(A) The failure to receive a response to a negative confirmation request explicitly indicate receipt by the intended confirming party of the confirmation request or verification of the accuracy of the information contained in the request.

(B) Confirming parties also may be more likely to respond indicating their disagreement with a confirmation request when the information in the request is in their favour, and less likely to respond otherwise.

(C) Non-response for negative confirmation does not mean that there is some misstatement as negative confirmation request itself is to respond to the auditor only if the confirming party disagrees with the information provided in the request.

(D) The auditor shall use negative confirmation requests as the sole substantive audit procedure when he is aware of circumstances or conditions that would cause recipients of negative confirmation requests to disregard such requests. ***(2 Marks)***

15. M/s GDP Associates are concerned with SA 620, which deals with the auditor's responsibilities regarding the use of external IT expert when that work is used to assist the auditor in evaluating cyber security framework. Which of the following is incorrect option in relation to agreement with the auditor's expert?

(A) When the work of the auditor's expert relates to the auditor's conclusions regarding a significant risk, only a formal written report at the

©The Institute of Chartered Accountants of India

conclusion of that expert's work may be appropriate while oral reports as the work progresses are not required.

(B) Ensure that the nature, scope, and objectives of the expert's work are agreed upon in writing, including the timeline for deliverables.

(C) Identification of specific partners or staff, who will liaise with the auditor's expert, and procedures for communication between that expert and the entity, assists timely and effective communication, particularly on larger engagements.

(D) It is necessary for the confidentiality provisions of relevant ethical requirements that apply to the auditor also to apply to the auditor's expert. ***(2 Marks)***

Answer Key

MCQ No.	Correct Option
1.	(B)
2.	(A)
3.	(D)
4.	(D)
5.	(A)
6.	(B)
7.	(C)
8.	(D)
9.	(B/C)
10.	(C)
11.	(C)
12.	(B)
13.	(D)
14.	(C)
15.	(A)

©The Institute of Chartered Accountants of India

PART – II Descriptive Questions

*Question No.**1** is compulsory.*

*Candidates are required to answer any **four** questions from the remaining **five** questions.*

Working notes should form part of the answer.

Question 1

(a) PQR Motors Ltd., a listed entity engaged in the manufacture, and sale of automobiles and related parts has prepared its annual financial statements for the financial year 2024-25. The company's management is also responsible for preparing other information, which includes:

(1) Annual Report:

- *A Director's Report and Management Discussion & Analysis (MD&A) prepared by the management.*
- *A Corporate Social Responsibility (CSR) report highlighting the company's initiatives and outcomes.*

(2) Chairman's Message:

- *A message from the chairman discussing the company's financial performance and strategic outlook.*

(3) Future Projections:

- *Forward-looking statements in the annual report about anticipated growth in revenue and expansion plans.*

The Statutory auditors, M/s ST & Co., Chartered Accountants, have completed its audit of the financial statements and prepared the auditor's report. During the course of the audit, the following circumstances arise:

- *The Director's Report and MD&A are finalized and provided to the auditor before the date of the auditor's report.*
- *The Chairman's Message and Future Projections are not finalized but are expected to be included in the annual report, which will be released after the auditor's report is issued.*

©The Institute of Chartered Accountants of India

Issues Identified:

(1) In the MD&A, M/s ST & Co., noted a misstatement regarding the company's claim of achieving a 20% reduction in production costs. Audit evidence suggests the reduction was only 10%.

(2) The Chairman's Message, which is yet to be reviewed, contains optimistic revenue projections that appear inconsistent with the historical growth trend.

Answer the following with reference to the relevant Standard on Auditing:

(i) What should M/s ST & Co., include in the "Other Information" section of the auditor's report for PQR Motors Ltd.?

(ii) If management does not correct the identified misstatement in the MD&A, even after the same was brought to their attention, what should M/s ST & Co. report under the "Other Information" section? ***(5 Marks)***

(b) Alpha Manufacturing Ltd. (AML) is engaged in the production of speciality machinery for the automotive industry. The company operates in a competitive market and is under pressure to meet aggressive revenue and profitability targets to secure additional funding from the investors. The audit firm BETA LLP has been engaged to conduct AML's statutory audit for the financial year 2024-25. BETA LLP performed risk assessment procedures and related activities towards obtaining information in identifying risk of material misstatement due to fraud and also evaluated whether there is an indication that one or more fraud risk factors are present. Analytical procedures reveal unexpected relationships potentially indicating fraudulent activities, such as sales inflation by management to meet earnings targets. Management is inflating sales by entering into sales agreements that include terms that preclude revenue recognition or by invoicing sales before delivery.

Guide BETA LLP to decide the course of action in determining overall responses to address the assessed risks of material misstatement due to fraud at the (i) Financial Statement Level and (ii) Assertion Level. ***(5 Marks)***

(c) Smart Technology Ltd. plans to issue a prospectus to raise capital through a public offering. Smart Technology Ltd. acquired Cloud Computing Ltd., a leader in cloud advisory services, to strengthen its capabilities in providing cloud solutions and this acquisition aligned for a digital transformation strategy. The prospectus includes pro forma financial information to

©The Institute of Chartered Accountants of India

demonstrate the financial effects of a significant acquisition completed recently. As the engagement practitioner, you are entrusted with providing an assurance report on the compilation of this pro forma financial information in accordance with relevant Standard on Assurance Engagement.

Smart Technology Ltd.'s management has provided the following details:

(1) The source of the unadjusted financial information includes unaudited financial statements for a subsidiary acquired during the year.

(2) Pro forma adjustments which include Fair value adjustments for acquired assets and liabilities.

(3) The applicable financial reporting framework is IFRS, with modifications specific to the jurisdiction of operation.

In the above context, answer the following:

(i) State the aspects you will consider during planning and performing the Engagement while evaluating the source from which the unadjusted financial information has been extracted.

(ii) As a practitioner you need to obtain evidence about the appropriateness of the pro forma adjustments. Explain what it includes. ***(4 Marks)***

Answer

(a) (i) As per SA 720 (Revised), "The Auditor's Responsibilities Relating to Other Information", the auditor is required to report on "Other Information" in the auditor's report for listed entities. "Other Information" refers to financial and non-financial information (other than financial statements and the auditor's report thereon) included in an entity's annual report.

In the "Other Information" section of the auditor's report, the following should be included:

- A statement that management is responsible for the other information included in the annual report.
- Identification of other information obtained:
  - The Director's Report and MD&A have been obtained prior to the date of the auditor's report.

©The Institute of Chartered Accountants of India

- Mention of other information expected to be obtained later (e.g., Chairman's Message and Future Projections)

- A statement that the auditor's opinion does not cover the other information, and the auditor does not express any form of assurance conclusion on it.
- A description of the auditor's responsibilities relating to reading, considering, and reporting on the other information as per SA 720.
- A statement on the results of the auditor's review of the other information:
  - If no misstatement is identified, a statement to that effect.
  - If a material misstatement is identified, a description of the uncorrected misstatement (as applicable).

(ii) As per SA 720 (Revised), if the auditor identifies a material misstatement in the other information and management refuses to correct it, M/s ST & Co. shall report the uncorrected misstatement in the "Other Information" section as:

- We have identified a material misstatement in the MD&A regarding the company's claim of a 20% reduction in production costs. However, based on our audit evidence, the reduction was only 10%.

(b) (i) **Responses to the Assessed Risks of Material Misstatement due to Fraud at the Financial Statement Level:** In determining overall responses to address the assessed risks of material misstatement due to fraud at the financial statement level, the auditor shall:

(a) Assign and supervise personnel taking account of the knowledge, skill, and ability of the individuals to be given significant engagement responsibilities and the auditor's assessment of the risks of material misstatement due to fraud for the engagement;

(b) Evaluate whether the selection and application of accounting policies by the entity, particularly those related to subjective measurements and complex transactions, may be indicative of fraudulent financial reporting resulting from management's effort to manage earnings; and

©The Institute of Chartered Accountants of India

(c) Incorporate an element of unpredictability in the selection of the nature, timing, and extent of audit procedures.

(ii) Audit Procedures Responsive to Assessed Risks of Material Misstatement due to Fraud at the Assertion Level:

(a) The auditor shall design and perform further audit procedures whose nature, timing, and extent are responsive to the assessed risks of material misstatement due to fraud at the assertion level. In doing so, the auditor may change the nature, timing, and extent of audit procedures to obtain audit evidence that is more reliable and relevant or to obtain additional corroborative information.

(b) If the auditor identifies that management is under pressure to meet earnings expectations, there may be a related risk that management is inflating sales by entering into sales agreements that include terms that preclude revenue recognition or by invoicing sales before delivery.

(i) In these circumstances, the auditor may, for example, design external confirmations not only to confirm outstanding amounts, but also to confirm the details of the sales agreements, including date, any rights of return, and delivery terms.

(ii) In addition, the auditor might find it effective to supplement such external confirmations with inquiries of non-financial personnel in the entity regarding any changes in sales agreements and delivery terms.

(c) (i) As per SAE 3420, as a practitioner, while planning and performing the engagement, the following aspects must be evaluated regarding the source of the unadjusted financial information:

- The practitioner shall obtain evidence about the appropriateness of the source from which the unadjusted financial information has been extracted.
- If there is no audit or review report on the source from which the unadjusted financial information has been extracted, the practitioner shall perform procedures to be satisfied that the source is appropriate.
- The practitioner shall determine whether the responsible party has

©The Institute of Chartered Accountants of India

appropriately extracted the unadjusted financial information from the source.

- The practitioner shall obtain evidence about the appropriateness of the pro forma adjustments.

(ii) The practitioner shall obtain evidence about the appropriateness of the pro forma adjustments: In relation to unadjusted financial information, Pro forma adjustments include:

(a) Adjustments to unadjusted financial information that illustrate the impact of a significant event or transaction as if the event had occurred or the transaction had been undertaken at an earlier date selected for purposes of the illustration, and

(b) Adjustments to unadjusted financial information that are necessary for the pro forma financial information to be compiled on a basis consistent with the applicable financial reporting framework of the reporting entity and its accounting policies under that framework.

Question 2

(a) XYZ and Associates, Chartered Accountants, is an audit firm, giving services to the various types of clients in the field of auditing, taxation and management consultancy. It has been doing statutory audit of B Ltd., a listed entity since last seven years. CA X who has been the engagement partner for the company since beginning has a complete idea about the strengths and weaknesses of the internal controls of the company. He maintains good relations with the management and those charged with the governance. Every year audit is completed in a cordial and healthy manner. During current year the quality control reviewer insisted to change the engagement partner for the company saying that continuation of same engagement partner poses certain audit risk and threats to the organization and advises to review the firm's policies and procedures in relation to the engagement partner. The management of the company does not wish to change the engagement partner. How do you view the above situation from the viewpoint of quality control system in audit firm in terms of requirements of SQC 1? Guide the firm in establishing the policies and procedures in respect of an engagement partner. ***(5 Marks)***

©The Institute of Chartered Accountants of India

(b) CA A has been appointed as an auditor of Datacom Ltd. to conduct statutory audit. The company has various derivative contracts - options, forward contracts, interest rate swaps etc. which were required to be fairly valued for which company got the fair valuation done through an external third party. CA A involved a registered valuer Mr. S as an auditor's expert to do the valuation of derivatives in order to obtain sufficient appropriate audit evidence. CA A and Mr. S are new to each other and they were working for the first time. Mr. S performed his work and submitted the report. CA A, while evaluating the adequacy of the work of Mr. S, observed that expert's work involved use of significant assumptions and methods. Consequently he wants to test the relevance and reasonableness of those assumptions and methods in the applicable circumstances. Guide CA A in this regard as per relevant Standard on Auditing. ***(5 Marks)***

(c) Metaverse is the emerging 3-D digital space that uses virtual reality, augmented reality, and other advanced internet technology to allow people to have lifelike personal and business experiences online. It represents a convergence of digital technology to combine and extend the reach and use of Cryptocurrency, Artificial Intelligence (AI), Augmented Reality (AR) and Virtual Reality (VR).

State the key considerations for sustainable future of Metaverse. ***(4 Marks)***

Answer

(a) Quality control system in an audit firm (SQC 1): SQC 1, "Quality Control for Firms that Perform Audits and Reviews of Historical Financial Information, and Other Assurance and Related Services Engagements," lays special emphasis on familiarity threat. Using the same senior personnel on assurance engagements over a prolonged period may impair the quality of performance of the engagement.

Therefore, the firm should establish criteria for determining the need for safeguards to address this threat. In determining appropriate criteria, the firm considers such matters as

(i) the nature of the engagement, including the extent to which it involves a matter of public interest, and

(ii) the length of service of the senior personnel on the engagement.

- The familiarity threat is particularly relevant in the context of

©The Institute of Chartered Accountants of India

financial statement audits of listed entities. For these audits, the engagement partner should be rotated after a pre-defined period, normally not more than seven years (except in cases where audit of listed entities is conducted by a sole practitioner). However, to ensure quality control exists in such firms and appropriate reports are issued, there is a process for mandatory peer review of such firms.

In the given situation, XYZ and Associates, Chartered Accountants, has been conducting the statutory audit of B Ltd., a listed company, for the past seven years. CA X served as the engagement partner throughout this period. CA X has developed an in-depth understanding of the company's internal controls and maintains a strong, cordial relationship with the management and those charged with governance. However, during the current year, the firm's quality control reviewer raised concerns about the continued involvement of CA X, citing the continuation of the same engagement partner poses certain audit risk and threats to the organisation, and advised reviewing the firm's policies regarding engagement partner rotation.

In view of SQC 1, the continued involvement of the same engagement partner, CA. X with a listed entity for an extended period, i.e., more than 7 years, poses a familiarity threat, potentially impairing audit quality and independence. Therefore, the firm should implement a policy of mandatory partner rotation and review its quality control procedures to ensure compliance with professional standards and maintain the integrity of the audit process.

The firm should establish policies and procedures requiring that:

(I) The identity and role of the engagement partner are communicated to key members of the client's management and those charged with governance;

(II) The engagement partner has the appropriate capabilities, competence, authority, and time to perform the role; and

(III) The responsibilities of the engagement partner are clearly defined and communicated to that partner.

©The Institute of Chartered Accountants of India

(b) Testing the relevance and reasonableness of assumptions and methods used by the auditor's expert: As per SA 620, "Using the Work of an Auditor's Expert", when an auditor uses the work of an expert, they must evaluate whether the expert's work is adequate for the auditor's purposes. In the given case, CA A, statutory auditor of Datacom Ltd., is using the valuation report of Mr. S, a registered valuer, for auditing derivative instruments. CA A also observed that an expert's work involves the use of significant assumptions and methods. Accordingly, he must assess the relevance and reasonableness of the expert's assumptions, methods, and findings in the circumstances as per SA 620.

SA 540, "Auditing Accounting Estimates, Including Fair Value Accounting Estimates and Related Disclosures", discusses the assumptions and methods used by management in making accounting estimates, including the use in some cases of highly specialised, entity-developed models. Although that discussion is written in the context of the auditor obtaining sufficient appropriate audit evidence regarding management's assumptions and methods, it may also assist the auditor when evaluating an auditor's expert's assumptions and methods.

When an auditor's expert's work involves the use of significant assumptions and methods, factors relevant to the auditor's evaluation of those assumptions and methods include whether they are:

- Generally accepted within the auditor's expert's field;
- Consistent with the requirements of the applicable financial reporting framework;
- Dependent on the use of specialised models; and
- Consistent with those of management, and if not, the reason for, and effects of, the differences.

(c) Considerations for sustainable future of the Metaverse:

- Beyond cryptocurrencies, coins, and exchanges, players in the Metaverse will need to consider how to build digital monetary systems and apply economic principles to things like digital land.
- Governance models will become ever more difficult to balance openness and user contribution with strategic direction and innovation.

©The Institute of Chartered Accountants of India

- Identity in the digital world has historically been different based on the platform utilized. The practical challenge of identity will also have to be considered in the Metaverse (e.g., KYC).
- Synchronicity is the ability for aspects of the Metaverse to be multiplayer, simultaneous, and real-time. This includes transactions and actions happening in the Metaverse and are dependent on the infrastructure of digital economies, networking, and computing power required to operate a digital world.

Question 3

(a) Brown Enterprises Limited, an unlisted public company, has granted loans to two of its subsidiaries, stood as a guarantor for loans taken by a Limited Liability Partnership (LLP), and made investments in a start-up company during the financial year 2024-25. The company's financial statements disclose the following:

(1) Loans Provided:

- *₹ 10 crore to Subsidiary A, with ₹ 6 crore outstanding as of March 31, 2025.*
- *₹ 5 crore to Subsidiary B, fully repaid during the year.*
- *₹ 3 crore loan to a UR & Co. a partnership firm with ₹ 1.5 crore overdue for 120 days. UR & Co. is not a related party.*

(2) Guarantees:

- *Guarantee provided to Milestone LLP for ₹ 7 crore loan availed from a bank, outstanding in full as of March 31, 2025.*

(3) Investments:

- *₹ 4 crore equity investment in KD start-up.*

Additional information:

- *For the overdue loan, Brown Enterprises Ltd. has initiated legal proceedings for recovery but no settlement has been achieved.*
- *All loans and guarantees have been documented with terms and conditions.*

©The Institute of Chartered Accountants of India

- *One loan, ₹2 crore to Subsidiary A, was renewed upon maturity without repayment, adjusting the overdue balance.*

Based on the above facts you are required to:

(i) Analyse the reporting requirements under CARO, 2020, for Brown Enterprises Ltd.

(ii) The management of Brown Enterprises Limited contended that reporting requirements under CARO, 2020, of overdue in respect of UR & Co., and Subsidiary A, are not applicable. Comment. ***(5 Marks)***

(b) M/s JAZZ & Co. is a partnership firm consisting of two partners CA J and CA Z.

CA J is exclusively associated with the firm and is not doing practice in individual capacity, whereas CA Z is doing practice in his individual capacity also.

For the financial year 2023-24, the firm has already undertaken audits and signed audit reports under section 44AB/44AD of the Income-tax Act, 1961 as under:

	Under section 44AB for corporate clients	***Under section 44AB for non-corporate clients***	***Under section 44AD/44AD***
CA J	*30*	*60*	*20*
CA Z	*5*	*10*	*12*

For the financial year 2023-24, CA Z has undertaken audits in individual capacity and signed audit reports under section 44AB/44AD of the Income-tax Act, 1961 as under:

	Under section 44AB for corporate clients	***Under section 44AB for non-corporate clients***	***Under section 44AD/44ADA***
CA Z	*4*	*9*	*8*

For the financial year 2023-24, the firm is approached further to take up the following assignments:

3 tax audit assignments under section 44AB for corporate clients.

4 tax audit assignments under section 44AD.

©The Institute of Chartered Accountants of India

Advise whether the firm should accept the further tax audit assignments for the financial year 2023-24 as above in the light of professional code of conduct. ***(5 Marks)***

(c) *Coastal Ventures Ltd., a newly formed real estate development firm, is applying for a loan from a financial institution to fund a new residential project. The bank requires the submission of the company's financial statements for the year ending March 31, 2025. The company engages an independent practitioner, CA X to compile the financial statements based on its accounting records and other information provided. The financial statements will be prepared in accordance with Ind AS (Indian Accounting Standards). CA X intends to record the agreed terms of engagement in an engagement letter prior to performing the engagement.*

CA X is of the view that independence requirements will not be applicable for the above assignment. Do you agree?

CA X is concerned with engagement acceptance and continuance. Suggest him focus points in respect of management responsibilities that will be recorded in the agreed terms of engagement in the engagement letter.

(4 Marks)

Answer

(a) (i) Reporting Requirements Under Clause (iii) of Para 3 of CARO 2020

- **Loans and Advances provided:**
  - Report the aggregate amount of loans provided during the year to subsidiaries (₹ 15 crore) and other parties (₹ 3 crore).
  - Disclose the outstanding balance as of March 31, 2025:
    - **Subsidiary A:** ₹ 6 crores.
    - **Subsidiary B:** Nil (fully repaid).
    - **UR & Co., Partnership firm:** ₹ 1.5 crore overdue for 120 days.
- **Guarantees and Security Offered**:
  - Disclose the guarantee of ₹ 7 crore provided to Milestone LLP and confirm whether it was prejudicial to the company's interest.

©The Institute of Chartered Accountants of India

- **Investments Made:**
  - Report the ₹ 4 crore equity investment and ensure compliance with terms and disclosure requirements.
- **Overdue Loan:**
  - In the case of UR & Co., disclose the overdue amount of ₹ 1.5 crore for more than 90 days and assess the company's recovery actions. Mention if legal proceedings are progressing adequately.
- **Loan Renewal:**
  - Report the renewal of the ₹ 2 crore loan to Subsidiary A as a fresh loan granted to settle existing dues.
  - Include this amount and its proportion *in* the total loans granted during the year.

(ii) In view of above it can be concluded that the contention of management of Brown Enterprises Limited is not correct as the auditor is required to report the overdue loan amount in respect of UR & Co. and Subsidiary A under Clause (iii) of Paragraph 3 of CARO 2020.

Alternative Answer:

(a) (i) Clause (iii) of Para 3 of CARO, 2020, requires the auditor to report whether during the year the company has made investments in, provided any guarantee or security or granted any loans or advances in the nature of loans, secured or unsecured, to companies, firms, Limited Liability Partnerships or any other parties, if so-

(a) whether during the year the company has provided loans or provided advances in the nature of loans, or stood guarantee, or provided security to any other entity [not applicable to companies whose principal business is to give loans], if so, indicate-

(A) the aggregate amount during the year, and balance outstanding at the balance sheet date with respect to such loans or advances and guarantees or security to subsidiaries, joint ventures and associates;

(B) the aggregate amount during the year, and balance outstanding at the balance sheet date with respect to such

©The Institute of Chartered Accountants of India

loans or advances and guarantees or security to parties other than subsidiaries, joint ventures and associates;

(b) whether the investments made, guarantees provided, security given and the terms and conditions of the grant of all loans and advances in the nature of loans and guarantees provided are not prejudicial to the company's interest;

(c) in respect of loans and advances in the nature of loans, whether the schedule of repayment of principal and payment of interest has been stipulated and whether the repayments or receipts are regular;

(d) if the amount is overdue, state the total amount overdue for more than ninety days, and whether reasonable steps have been taken by the company for recovery of the principal and interest;

(e) whether any loan or advance in the nature of loan granted which has fallen due during the year, has been renewed or extended or fresh loans granted to settle the overdues of existing loans given to the same parties, if so, specify the aggregate amount of such dues renewed or extended or settled by fresh loans and the percentage of the aggregate to the total loans or advances in the nature of loans granted during the year [not applicable to companies whose principal business is to give loans];

(f) whether the company has granted any loans or advances in the nature of loans either repayable on demand or without specifying any terms or period of repayment, if so, specify the aggregate amount, percentage thereof to the total loans granted, aggregate amount of loans granted to Promoters, related parties as defined in clause (76) of section 2 of the Companies Act, 2013;

In the given situation, the auditor of Brown Enterprises Limited, an unlisted public company, is required to report under Clause (iii) of Paragraph 3 of CARO 2020:

- aggregate amount of loans provided to subsidiaries [i.e., ₹ 10 crore to Subsidiary A & ₹ 5 crore to Subsidiary B] and ₹ 6 crore for the loan outstanding from subsidiary A at the balance sheet date.

©The Institute of Chartered Accountants of India

- the loans provided to Partnership firm UR & Co. of ₹ 3 crore and Guarantee provided to Milestone LLP of ₹ 7 crore.
- an amount of ₹ 1.5 crore in respect of the loan given to the partnership firm UR & Co., as the amount has been overdue for 120 days i.e., more than 90 days] and reports that Brown Enterprises Ltd. has taken reasonable steps initiated legal proceedings for the recovery, but no settlement has been achieved.
- loan of ₹ 2 crore to Subsidiary A, was renewed upon maturity without repayment, adjusting the overdue balance.

(ii) In view of above it can be concluded that the contention of management of Brown Enterprises Limited is not correct as the auditor is required to report the overdue loan amount in respect of UR & Co. and Subsidiary A under Clause (iii) of Paragraph 3 of CARO 2020.

(b) As per Chapter VI, Tax Audit assignments under Section 44 AB of the Income-tax Act, 1961, a member of the Institute in practice shall not accept, in a financial year, more than the "specified number of tax audit assignments" under Section 44AB of the Income-tax Act, 1961.

Further, in the case of a firm of Chartered Accountants in practice, the "specified number of tax audit assignments" means 60 tax audit assignments per partner in the firm, in a financial year, whether in respect of corporate or non-corporate assesses.

It may be noted that the audits conducted under Section 44AD, 44ADA, and 44AE of the Income-tax Act, 1961 shall not be taken into account for the purpose of reckoning the "specified number of tax audit assignments".

Furthermore, where any partner of a firm of Chartered Accountants in practice accepts one or more tax audit assignments in his individual capacity, the total number of such assignments which may be accepted by him shall not exceed the "specified number of tax audit assignments" in the aggregate. In computing the "specified number of tax audit assignments", the number of such assignments, which he or any partner of his firm has accepted, whether singly or in combination with any other Chartered Accountant in practice or firm of such Chartered Accountants, shall be taken into account.

©The Institute of Chartered Accountants of India

According to a clarification on Tax Audit Assignments by Committee on Ethical Standards Board of the Institute, if there are 10 partners in a firm of Chartered Accountants in practice, then all the partners of the firm can collectively sign 600 tax audit reports. This maximum limit of 600 tax audit assignments may be distributed between the partners in any manner whatsoever. For instance, 1 partner can individually sign 600 tax audit reports in case the remaining 9 partners are not signing any tax audit reports.

In the instant case, M/s JAZZ & Co. is a partnership firm of Partner CA J and CA Z. CA Z is also doing practice in individual capacity. In the instant case, 60 tax audit assignments per partner in the firm, whether in respect of corporate or non-corporate assesses, in a financial year, will be considered for "specified number of tax audit assignments", i.e., 120 tax audits = 2 Partners x 60 tax audits.

In the given situation, the number of tax audit reports signed under section 44AB are 118 [i.e., 90 reports signed by CA J {i.e., 30 reports for corporate clients and 60 reports for non-corporate clients} whereas, CA Z signed 28 reports (15 reports as a Partner of the Firm {i.e., 5 for corporate clients and 10 for non-corporate clients} and 13 Reports in individual capacity i.e. {i.e., 4 for corporate clients and 9 for non-corporate clients})] and number of tax audit reports signed under section 44AD are 40 (i.e., 20 reports signed by CA J and 20 reports signed by CA Z). It may be noted that the 40 audits conducted under Section 44AD of the Income-tax Act, 1961 shall not be taken into account for the purpose of reckoning the "specified number of tax audit assignments".

The firm is also approached further to take up 3 tax audit assignments under section 44AB for corporate clients and 4 tax audit assignments under section 44AD.

In view of the above provisions, partner CA J and CA Z of M/s JAZZ & Co. have undertaken 118 audits, which is not more than 120 tax audits, i.e., "specified number of tax audit assignments" under Section 44AB of the Income-tax Act, 1961. Therefore, the firm can accept 2 more tax audit assignments for corporate clients under section 44AB and all 4 tax audit assignments under section 44AD as there is no limit on assignments under Section 44AD.

©The Institute of Chartered Accountants of India

(c) In the given case, the company engages CA X, an independent practitioner, to compile the financial statements based on its accounting records and other information. Being in the nature of non-assurance engagement, independence requirements do not apply to compilation engagements as per SRS 4410, "Compilation Engagements". However, laws or regulations may specify requirements or disclosure rules pertaining to independence.

Thus, the view of CA X is correct that independence requirements will not be applicable for the compilation engagement discussed in the situation.

CA X should focus on the following points in respect of management responsibilities that will be recorded in the agreed terms of engagement in the engagement letter.

(i) The financial information, and for the preparation and presentation thereof, in accordance with a financial reporting framework that is acceptable in view of the intended use of the financial information and the intended users

(ii) Design, implementation, and maintenance of such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error

(iii) The accuracy and completeness of the records, documents, explanations, and other information provided by management for the compilation engagement and

(iv) Judgments needed in the preparation and presentation of the financial information, including those for which the practitioner may provide assistance in the course of the compilation engagement.

Question 4

(a) Instant Finance Ltd. is a Non-Banking Financial Company (NBFC-BL) primarily engaged in providing loans to small businesses and individuals. As per its audited financials for the year ending March 31, 2025, the following information was observed:

1. Instant Finance Ltd. has an aggregate risk-weighted asset base of ₹ 1,000 crore.

2. The company has reported Tier 1 capital of ₹ 130 crore, which includes ₹ 15 crore raised through perpetual debt instruments.

©The Institute of Chartered Accountants of India

3. *Instant Finance Ltd. has investments in shares and bonds of other NBFCs totalling ₹ 10 crore, which amounts to 12% of its owned fund.*

4. *The company's primary business involves lending against gold jewellery, with such loans comprising 60% of its financial assets.*

As a statutory auditor, you are entrusted with assessing compliance with the prudential norms prescribed under the Master Direction - Reserve Bank of India (Non-Banking Financial Company - Scale Based Regulation) Directions, 2023, regarding capital adequacy.

You are required to:

(i) *Evaluate whether Instant Finance Ltd. complies with the minimum Tier I capital requirements as per the RBI prudential norms.*

(ii) *Discuss the treatment and impact of perpetual debt instruments in the calculation of Tier I capital for NBFCs primarily engaged in lending against gold jewellery.*

(iii) *Analyse the adjustment required in Tier 1 capital for Instant Finance Ltd. due to its investments in other NBFCs.* ***(5 Marks)***

(b) *CA A, the proprietor of A & Collegues, Chartered Accountants, is developing his practice and recently secured a major audit assignment for B State Cooperative Society. The engagement fee for this audit is ₹ 1 Cr.*

In view of his vision of growth to expand the development of his business, CA A has entered into an agreement with an unregistered financial consultant, Mr. X, who is an MBA from a local university. Mr. X introduced CA A to his business clients and in return, CA A agrees to pay him a 2.5% commission (₹ 2.5 lakhs) on the audit fee as a referral bonus.

Additionally, as per the State Cooperative Registrar's Circular, 5% of the audit fee (₹ 5,00,000) has to be deposited into the State Treasury to cover administrative expenses. CA A complies with this requirement.

Comment with reference to the Chartered Accountants Act, 1949 and Schedules thereto. ***(5 Marks)***

(c) *Glow management Ltd., a workspace operator, seeks to secure funding from investors. The funds will be used for repayment of debt and cost of capital for strengthening its Balance sheet. To support this, the company has prepared its financial statements for the year ended March 31, 2025. The investors*

©The Institute of Chartered Accountants of India

request a limited assurance review rather than a full audit, to ensure the reliability of the financial statements. The management of Glow management Ltd. engages an independent practitioner CA Kishore to perform a review engagement under SRE 2400. During the review, CA Kishore identifies that there was significant increase in deferred revenue. On inquiry, CA Kishore found management's explanation unreasonable that it is related to advances received for upcoming projects and was unable to corroborate this with contracts.

Based on the evidence gathered and procedures performed, CA Kishore determines, that the financial statements are materially misstated. He is bound to express a qualified conclusion, as the effects of the matter(s) giving rise to the modification are material, but not pervasive to the financial statements.

In the above context, you are required to help CA Kishore to:

(i) State the phrases to be used in conclusion paragraph as appropriate.

(ii) State the matters to be included in the basis for conclusion paragraph.

(4 Marks)

Answer

(a) Compliance with Minimum Tier 1 Capital Requirements: As per RBI norms, Instant Finance Ltd. must maintain a minimum capital adequacy ratio of 15 % of aggregate risk-weighted assets. Since 60 % of its financial assets are loans against gold, it must maintain a Tier 1 Capital of at least 12% (₹ 120 Crore) of its risk-weighted assets.

(i) In the given situation, Instant Finance Ltd. has reported Tier 1 Capital of ₹ 130 crore. However, NBFC-BL are not eligible to include perpetual debt instruments in their Tier 1 capital. Thus, the amount of Tier 1 Capital will be ₹ 115 crores (₹ 130 crores - ₹ 15 crores = ₹ 115 crores).

Since, Instant Finance Ltd.'s primary business involves lending against gold jewellery, with such loan comprising of 60% of its financial assets which is exceeding the criteria of 50% or more, thus, Instant Finance Ltd. is required to maintain a minimum Tier 1 capital of 12 percent of aggregate risk weighted assets of on-balance sheet and of risk adjusted value of off-balance sheet items.

©The Institute of Chartered Accountants of India

Considering the ₹ 120 crore (Aggregate Risk Weighted assets ₹ 1000 crore*12% = ₹ 120 crore) as Tier 1 Capital, it can be concluded that Instant Finance Ltd. has not complied with the minimum Tier 1 Capital requirements as per the RBI Prudential Norms.

Alternative Answer:

(i) As per the facts, Instant Finance Ltd. has investment in shares and bonds of other NBFCs totalling of ₹ 10 crore, which amount to 12% of its owned fund.

"Tier 1 capital" for NBFCs (except NBFCs-BL) is the sum of (i) Owned fund as reduced by investment in shares of other NBFCs and in shares, debentures, bonds, outstanding loans and advances including hire purchase and lease finance made to and deposits with subsidiaries and companies in the same group exceeding, in aggregate, ten percent of the owned fund; and (ii) Perpetual debt instruments issued by a non-deposit taking NBFCs in each year to the extent it does not exceed 15 percent of the aggregate Tier 1 capital of such company as on March 31 of the previous accounting year. However, NBFCs-BL are not eligible to include perpetual debt instruments in their Tier 1 capital.

Since Owned Fund = ₹ 83.33 crore [i.e., = ₹ 10 crore /12%] – ₹ 1.667 [in excess of 10% of owned fund] = ₹ 81.667 crore

In the given situation, Instant Finance Ltd. has reported Tier 1 Capital of ₹ 130 crore. However, NBFC BL are not eligible to include perpetual debt instruments in their Tier 1 capital. Thus, amount of Tier 1 Capital will be ₹ 113.333 crore = ₹ 130 crore – ₹ 15 crore – ₹ 1.667 crore (i.e., Tier 1 Capital-Perpetual Debt Instrument - excess of 10% of owned fund).

Considering the ₹ 120 crore = (Aggregate Risk Weighted assets 1000*12%) as Tier 1 Capital, it can be concluded that Instant Finance Ltd. has not complied with the minimum Tier 1 Capital requirements as per the RBI Prudential Norms.

(ii) Perpetual debt instruments issued by a non-deposit taking NBFCs in each year to the extent it does not exceed 15 percent of the aggregate Tier 1 capital of such company as on March 31 of the previous accounting year are included while calculating Tier 1 capital. However,

©The Institute of Chartered Accountants of India

NBFCs-BL are not eligible to include perpetual debt instruments in their Tier 1 capital.

In the instant case, Instant Finance Ltd. falls under the category of NBFC-BL, hence, perpetual debt instruments will not be included in Tier I Capital.

(iii) While computing Tier I capital, Owned fund shall be reduced by investment in shares of other NBFCs and in shares, debentures, bonds, outstanding loans and advances including hire purchase and lease finance made to and deposits with subsidiaries and companies in the same group exceeding, in aggregate, ten percent of the owned fund.

In the given case, Tier I capital of Instant Finance Ltd should be reduced by investment in shares of other NBFCs, exceeding in aggregate ten percent of the owned fund. In the current scenario, the investment in shares and bonds of other NBFCs totaling to ₹ 10 crore is 12% of owned funds, hence, the excess of 2% of owned funds should be adjusted to arrive at Tier I Capital.

Alternative Answer:

(iii) While computing Tier I capital, Owned fund shall be reduced by investment in shares of other NBFCs and in shares, debentures, bonds, outstanding loans and advances including hire purchase and lease finance made to and deposits with subsidiaries and companies in the same group exceeding, in aggregate, ten percent of the owned fund.

In the given case, Tier I capital of Instant Finance Ltd should be reduced by investment in shares of other NBFCs, exceeding in aggregate ten percent of the owned fund. In the current scenario, the investment in shares and bonds of other NBFCs totaling to ₹ 10 crore is 11.33% of owned funds, hence, the excess of 1.33% of owned funds should be adjusted to arrive at Tier I Capital.

(b) As per Clause (2) of Part I to the First Schedule to Chartered Accountants' Act, 1949, a Chartered Accountant in practice is deemed to be guilty of professional misconduct if he pays or allows or agrees to pay or allow, directly or indirectly, any share, commission or brokerage in the fees or profits of his professional business, to any person other than a member of the Institute or a partner or a retired partner or the legal representative of a deceased partner, or a member of any other professional body or with

©The Institute of Chartered Accountants of India

such other persons having such qualification as may be prescribed, for the purpose of rendering such professional services from time to time in or outside India.

The exception to this rule is specified in regulation 53A (3). The Regulation specifies that a Master in Business Administration from Universities established by law or technical institutions recognized by the All India Council for Technical Education. In the given situation, Mr. X is an MBA from a local university and CA. A agrees to pay commission on the audit fee as a referral bonus to Mr. X for introducing him to his business clients. Hence, CA A is guilty of misconduct.

Additionally, as per the State Cooperative Registrar's Circular, 5% of the audit fee (₹ 5 Lakh) must be deposited into the State Treasury to cover administrative expenses. Council decided that as such, there is no bar in the Code of Ethics to accept such an assignment wherein a percentage of the professional fee is deducted by the Government to meet the administrative and other expenditure. Hence, no violation is there.

(c) (i) As per SRE 2400, "Engagements to Review Historical Financial Statements", when the practitioner expresses a qualified conclusion on the financial statements because of a material misstatement, the practitioner shall, unless otherwise required by law or regulation, use one of the following phrases, as appropriate: -

(a) "Based on our review, except for the effects of the matter(s) described in the Basis for Qualified Conclusion paragraph, nothing has come to our attention that causes us to believe that the financial statements do not give a true and fair view (or do not present fairly, in all material respects), in accordance with the applicable financial reporting framework," (for financial statements prepared using a fair presentation framework) or

(b) "Based on our review, except for the effects of the matter(s) described in the Basis for Qualified Conclusion paragraph, nothing has come to our attention that causes us to believe that the financial statements are not prepared, in all material respects, in accordance with the applicable financial reporting framework," (for financial statements prepared using a compliance framework).

©The Institute of Chartered Accountants of India

(ii) In the basis for conclusion paragraph, in relation to material misstatements that give rise to either a qualified conclusion or an adverse conclusion, the practitioner shall: -

(a) Describe and quantify the financial effects of the misstatement if the material misstatement relates to specific amounts in the financial statements (including quantitative disclosures), unless impracticable, in which case the practitioner shall so state;

(b) Explain how disclosures are misstated if the material misstatement relates to narrative disclosures; or

(c) Describe the nature of omitted information if the material misstatement relates to the non-disclosure of information required to be disclosed. Unless prohibited by law or regulation, the practitioner shall include the omitted disclosures where practicable to do so.

Question 5

(a) Footwear Ltd., a manufacturing company has recently appointed you as its Internal Auditor to review its financial and operational controls. You have to conduct the internal audit in compliance with the standards of Internal Audit, within the framework governing Internal Audits. During the audit, you have identified misappropriation of inventories and suspected fraudulent activities by a procurement manager. You thought it would be more appropriate to bring the same immediately to the attention of the management. As per the principles outlined in Standard on Internal Audit, you need to prepare an internal audit report covering the audit findings. Explain the stages of internal audit reporting results as per relevant Standard on Internal Audit and state the key elements to be included while issuing a clear, well documented Internal Audit Report by you as an internal auditor. ***(5 Marks)***

(b) GAS limited, is in the business of renewable energy, including fuel cell, electrolyzer, battery energy storage system wishes to contribute to clean energy ecosystem and National Green Hydrogen mission. GAS limited is among top 1000 listed entities and have to mandatorily provide BRSR reporting (Business Responsibility and Sustainability Reporting) on ESG parameters in accordance with the principles of "National Guidelines on Responsible Business Conduct" as mandated by SEBI. One of the principles states that "This can work only with close participation and collaboration

©The Institute of Chartered Accountants of India

amongst the entities, authorities, the civil associations contributing to one another for a better livelihood, and assistance to the marginalized communities." Elucidate the essence of core elements associated with the aforesaid principle. ***(5 Marks)***

(c) *M/s GSTR & Associates, Chartered Accountants, is an audit firm consisting of three partners. The partnership firm was formed in the year 2019. M/s GSTR & Associates, specialised in internal audits and tax consultancy services, admitted CA Y as partner in the year 2024. CA Y had vast experience in audit of listed companies as he was the senior audit manager of a leading audit firm before he joins M/s GSTR & Associates. Ruby Limited, a listed entity, appointed M/s GSTR & Associates, Chartered Accountants as statutory auditors for the year ended 31st March 2025. CA Y, the engagement partner signed the balance sheet of Ruby Limited for the year ended 31st March 2025 on 21st May 2025. M/s GSTR & Associates, Chartered Accountants never subjected themselves to the Peer Review process of the Institute. Comment with reference to the Chartered Accountants Act, 1949.* ***(4 Marks)***

Answer

(a) As per Standard on Internal Audit (SIA) 370 Reporting Results, reporting of internal audit results is generally undertaken in two stages:

- At the end of a particular audit assignment, an "Internal Audit Report" covering a specific area, function, or part of the entity is prepared by the Internal Auditor, highlighting key observations arising from those assignments. This report is generally issued with details of the manner in which the assignment was conducted and the key findings from the audit procedures undertaken. This report is issued to the auditee, with copies shared with local and executive management, as agreed during the planning phase.
- On a periodic basis, at the close of a plan period, a comprehensive report of all the internal audit activities covering the entity and the plan period is prepared by the Chief Internal Auditor (or the Engagement Partner, in case of an external service provider). Such reporting is normally done on a quarterly basis and submitted to the highest governing authority responsible for internal audits, generally the Audit Committee. Some part of the aforementioned Internal Audit Reports

©The Institute of Chartered Accountants of India

may form part of the periodic (e.g., Quarterly) report shared with the Audit Committee.

On the basis of the internal audit work completed, the Internal Auditor shall issue a clear, well-documented Internal Audit Report which includes the following key elements:

(i) An overview of the objectives, scope, and approach of the audit assignments;

(ii) The fact that an internal audit has been conducted in accordance with the Standards of Internal Audit;

(iii) An executive summary of key observations covering all important aspects, and specific to the scope of the assignment;

(iv) A summary of the corrective actions required (or agreed by management) for each observation; and

(v) Nature of assurance, if any, which can be derived from the observations.

(b) Principle 8 – Promote Inclusive Growth and Equitable Development can work only with close participation and collaboration amongst the entities, authorities, the civil associations contributing to one another for a better livelihood, and assistance to the marginalized communities.

The core elements of the eighth principle are:

(i) The entities should have systems in place to identify and address the impacts of their activities on the social, cultural, and economic aspects of the people. This includes business-created issues like land acquisition and use, and construction activities for new facilities.

(ii) The entities should review, measure, and track the adverse impacts of their activities on society and the environment and make action plans to mitigate them adequately.

(iii) The entities should make efforts to bring up creative products, technologies, and business concerns that help the marginalized communities to have well-being and a better quality of life.

(iv) Entities, when designing their CSR activities, should review the local and regional development priorities to help the marginalized groups and communities.

©The Institute of Chartered Accountants of India

(v) The entities should take care to ensure that business-induced displacement or relocation of communities does not happen, and in unavoidable cases, should make sure to have mutually agreed, participative, and informed negotiations to provide fair compensation to the affected people.

(vi) All forms of intellectual property and traditional knowledge should get the deserved respect from the organisation, and efforts should be made to ensure that benefits derived from their knowledge are shared equitably.

(c) Clause (9) of Part I of the Second Schedule to the Chartered Accountants Act, 1949 states that a Chartered Accountant in practice shall be deemed to be guilty of misconduct if he fails to invite attention to any material departure from the generally accepted procedure of audit applicable to the circumstances.

This clause implies that the audit should be performed in accordance with "generally accepted procedure of audit applicable to the circumstances," and if for any reason the auditor has not been able to perform the audit in accordance with such procedure, his report should draw attention to the material departures from such procedures.

What constitutes "generally accepted audit procedure" would depend upon the facts and circumstances of each case, but guidance is available in general terms from the various pronouncements of the Institute is issued by way of Engagement and Quality Control Standards, Statements, General Clarifications, Guidance Notes Technical Guides, Practice Manuals, Studies and Other Papers.

Audit of Listed Companies: Pursuant to SEBI Notification, statutory audit of listed companies under the Companies Act, 2013 shall be done by only those auditors who have subjected themselves to the Peer Review process of the Institute, and hold a valid certificate issued by the Peer Review Board of the ICAI.

In the given case of M/s. GSTR & Associates, which appointed auditors of a listed entity, Ruby Limited, for the year ended 31.03.2025, CA Y, the proprietor, signed the balance sheet on 21.05.2025 but never subjected the

©The Institute of Chartered Accountants of India

firm to the Peer Review process of the Institute. CA Y would be held guilty of professional misconduct under clause (9) of Part I of the Second Schedule of the Chartered Accountants Act, 1949. Also, CA Y did not comply with the SEBI Notification, which was required to be complied with.

Alternative Answer:

(c) Clause (1) of Part II of the Second Schedule to the Chartered Accountants Act, 1949 states that a chartered accountant in practice shall be deemed to be guilty of misconduct if he contravenes any of the provisions of this Act or the regulations made thereunder or any guidelines issued by the Council. It requires every member of the institute to act within the framework of the Chartered Accountants Act, 1949, and the regulations and guidelines made by the Council thereunder.

The Statement on Peer Review shall be deemed to be a guideline of the Council under Clause (1) of Part II of the Second Schedule to the Act, and it is obligatory for the Practice Unit to comply with the provisions contained in this Statement.

As per the Statement, every Practice Unit, including its branches who has conducted Statutory Audit of Enterprises whose equity or debt securities are listed in India or abroad as defined under SEBI(LODR) regulations, 2015, will be subject to Peer Review in accordance with this statement.

Audit of Listed Companies: Pursuant to SEBI Notification, Statutory Audit of Listed Companies under the Companies Act, 2013 shall be done by only those auditors who have subjected themselves to the Peer Review process of the Institute, and hold a valid certificate issued by the Peer Review Board of the ICAI.

In the given case of M/s GSTR & Associates, which is appointed auditor of a listed entity, Ruby Limited, for the year ended 31.03.2025, Mr. Y, the engagement partner, signed the Balance sheet on 21.05.2025 but never subjected the firm to the Peer Review process of the Institute. Hence, CA Y would be held guilty of professional misconduct under clause (1) of Part II of the Second Schedule of the Chartered Accountants Act, 1949.

©The Institute of Chartered Accountants of India

Question 6

(a) Key Ventures Limited is availing the services of Chipmetric Limited for processing of its accounting data including payroll operations. Payroll costs account for 75% of the total costs of Key Ventures Limited. CA Tej, the auditor of Key Ventures Limited wants to obtain an understanding of the nature and significance of the services provided by Chipmetric Limited and their effect on the user entity's internal control to identify and assess the risks of material misstatement. In this regard, he wants to use Type 1 or Type 2 report.

What shall be the considerations of CA Tej in determining the sufficiency and appropriateness of the audit evidence? Suggest the procedures if he plans to use a Type 1 or Type 2 report as audit evidence to support the understanding about the design and implementation of controls at Chipmetric Limited as per relevant Standard on Auditing. ***(5 Marks)***

(b) During the statutory audit of ELITE Bank Ltd., a leading private sector bank, for the financial year 2024-25, the following issue emerged to statutory central auditors. ELITE Bank Ltd. acquired a commercial property in satisfaction of a loan default by a borrower in Financial Year 2016-2017. The property was recorded at net book value of the loan. The bank plans to sell this property in the next fiscal year to recover its dues. A legal dispute has emerged over the ownership of the property, with a third party claiming partial rights. The matter is pending in court. The management has not disclosed this dispute in the financial statements but contends that a favourable court ruling is expected. The auditor's review reveals that the property's fair market value is significantly lower.

Based on the above facts, you are required to:

(i) Identify specific audit procedure the auditor should undertake to ensure compliance of the Banking Regulation Act, 1949.

(ii) Under which head ELITE Bank Ltd. should record the above mentioned property?

(iii) Suggest also other audit procedures that an auditor should focus upon.

(5 Marks)

©The Institute of Chartered Accountants of India

(c) *Ring Limited is a subsidiary of Pearl Limited. For the financial year 2024-25 M/s Vani & Co., Chartered Accountants were appointed as the statutory auditors of Ring Limited. The CEO of Pearl Limited was impressed with the professional competence of CA Devi, one of the partners of the firm and hence, he offered CA Devi to take up the position of Director (not MD/whole time director) of Pearl Limited. CA Devi is in a dilemma whether to accept the offer. She approaches you and seeks your advice on the same. Advise what CA Devi can do with the offer with reference to the Chartered Accountants Act, 1949 and Schedules thereto.* ***(4 Marks)***

OR

(c) *KLIM Ltd., a construction company, engaged in constructing and selling residential or commercial properties, having suspected potential fraud of substantial amount, engaged CA J, a forensic accountant, to investigate the matter. During the course of performing a forensic accounting engagement in relation to suspected fraud, which aspects CA J should take care of while undertaking the process of obtaining relevant evidence?* ***(4 Marks)***

Answer

(a) Using A Type 1 or Type 2 Report to Support the User Auditor's Understanding of the Service Organisation:

As per SA 402, "Audit Considerations Relating to an Entity Using a Service Organisation", in determining the sufficiency and appropriateness of the audit evidence provided by a Type 1 or Type 2 report, CA Tez, the user auditor shall be satisfied as to: -

(i) The service auditor's professional competence (except where the service auditor is a member of the Institute of Chartered Accountants of India) and independence from the service organisation; and

(ii) The adequacy of the standards under which the Type 1 or Type 2 report was issued.

If the user auditor plans to use a Type 1 or Type 2 report as audit evidence to support the user auditor's understanding about the design and implementation of controls at the service organisation Chipmetric Ltd., CA Tez, the user auditor shall:

©The Institute of Chartered Accountants of India

(i) Evaluate whether the description and design of controls at the service organisation is at a date or for a period that is appropriate for the user auditor's purposes;

(ii) Evaluate the sufficiency and appropriateness of the evidence provided by the report for the understanding of the user entity's internal control relevant to the audit; and

(iii) Determine whether the complementary user entity controls identified by the service organisation are relevant to the user entity and, if so, obtain an understanding of whether the user entity has designed and implemented such controls.

(b) (i) The auditor should ensure compliance with Section 9 of the Banking Regulation Act, 1949, which restricts a banking company from holding any immovable property, regardless of how it is acquired, including in satisfaction of claims, for a period exceeding seven years from the date of acquisition, unless such property is required for the bank's own use.

(ii) Such property should be classified under the "Other Assets" head in the Schedule to the financial statements by Elite Bank, i.e., Non-Banking Assets Acquired in Satisfaction of Claims.

(iii) Other audit procedures the auditor should focus upon are to:

- ensure that the heading includes those immovable properties/tangible assets which the bank has acquired in satisfaction of debts due or its other claims, and these are being held with the intention of being disposed off.
- verify such assets with reference to the relevant documentary evidence, e.g., terms of settlement with the party, order of the Court, or the award of arbitration, etc.
- check that the ownership of the property is legally vested with the bank. If there is any dispute or other claim about the property, the auditor should examine whether the recording of the asset is appropriate or not. In case the dispute arises subsequently, the auditor should examine whether a provision for liability or disclosure of a contingent liability is appropriate, keeping in view

©The Institute of Chartered Accountants of India

the requirements of AS 29, "Provisions, Contingent Liabilities and Contingent Assets".

- ensure that the assets should be recorded at the lower of the net book value of the advance or the net realisable value of the asset acquired on the date of acquisition.

(c) Clause 11 of Part I of the First Schedule to the Chartered Accountants Act, 1949 states that a Chartered Accountant in practice shall be deemed to be guilty of professional misconduct, if he engages in any business or occupation other than the profession of Chartered Accountants unless permitted by the Council so to engage.

Provided that nothing contained herein shall disentitle a Chartered Accountant from being a director of a Company, (not being a managing director or a whole-time director), unless he or any of his partners is interested in such a company as an auditor.

In view of above, a Chartered Accountant in practice cannot engage (unless permitted by the Council so to engage) in any business or occupation other that the profession of Chartered Accountant but he can be a director of a Company (not being a managing director or whole-time director) wherein he or any of his partners is not interested in such company as an auditor. Members, therefore, are expected to interpret the requirement as regards independence much more strictly than what the law requires and should not place themselves in positions which would either compromise or jeopardise their independence. In view of the above, the Board, via a clarification, decided that the auditor of a Subsidiary Company can't be a Director of its Holding Company, as it will affect the independence of the auditor.

In the given situation, Ring Limited is the audit client of CA Devi's firm (M/s Vani & Co.) and Pearl Limited is the holding company of Ring Limited. The CEO of Pearl Limited is offering CA Devi a non-executive directorship in Pearl Ltd., while her firm is the auditor of Ring Ltd. (a subsidiary). CA Devi should not accept the offer as it will affect the independence of an auditor.

©The Institute of Chartered Accountants of India

OR

(c) During the course of performing a forensic accounting engagement in relation to suspected fraud, while undertaking the process of obtaining relevant evidence, CA J should take care of the following aspects:

- Depending on the nature of the case, this may involve locating documents, economic information, assets, a person or company, another expert or proof of the occurrence of an event.
- In order to gather detailed evidence, the investigator must understand the specific type of fraud that has been carried out and how the fraud has been committed.
- The evidence should be sufficient to ultimately prove the identity of the fraudster(s), the mechanics of the fraud scheme, and the amount of financial loss suffered.
- It is important that the investigating team is skilled in collecting evidence that can be used in a court case within the stipulated time period, and in keeping a clear chain of custody until the evidence is presented in court.
- If any evidence is inconclusive or there are gaps in the chain of custody, then the evidence may be challenged in court, or even become inadmissible. Investigators must be alert to documents being falsified, damaged, or destroyed by the suspect(s).

©The Institute of Chartered Accountants of India

PAPER – 3 : ADVANCED AUDITING, ASSURANCE AND PROFESSIONAL ETHICS

PART I: MCQs

1. *M/s DEF & Associates have been appointed as the statutory auditor of JKL Ltd., a PSU engaged in generation of electricity from solar power. The Committee on Public undertakings with a view to examining PSU's physical and financial performer is examining the reports and accounts of public undertaking and also audit findings of the C & AG. Following are some of the functions of specialised committees:*

   (i) to examine the statement of accounts of autonomous and semi-autonomous bodies, the audit of which is conducted by the Comptroller & Auditor General either under the directions of the President or by a Statute of Parliament;

   (ii) to examine the estimates to report what economies, improvements in organization, efficiency or administrative reform, consistent with the policy underlying the estimates may be effected;

   (iii) to examine the autonomy and efficiency of public undertakings and to see whether they are being managed in accordance with sound business principles and prudent commercial practices;

   (iv) to examine public enterprises through comprehensive appraisal or evaluation of performance of the undertaking. It involves a thorough examination, including evaluation of the policies, programmes and financial working of the undertaking.

   From the above functions, which are the functions of Committee on Public Undertakings (COPU)?

   A. (i) & (iv)

   B. (ii) & (iii)

   C. (i) & (ii)

   D. (iii) & (iv) ***(2 Marks)***

2. *KALI Ltd. is India's one of the largest FMCG Company with 50-year heritage in the country. In terms of compliance of reporting under Business Responsibility and Sustainability Report (BRSR), for the F.Y. 2023-24, CEO & MD of the company reports that "At KALI Ltd. our BRSR adheres to the nine principles of the SEBI framework on sustainability reporting, informing stakeholders of our sustainability endeavours." While giving principle wise performance the following core elements associated with the respective principle need to be covered in the report:*

   (i) Entities, when in the business of providing essential goods and services (e.g. Utilities), should enable universal access, including to those whose services have been discontinued for any reason, in a non-discriminatory and responsible manner.

   (ii) Entities should inform the customers on the safe and responsible ways of usage, reuse, recycling, and disposal of their products, and ways to eliminate over consumption.

   (iii) The entities should transparently and accurately disclose all kinds of adverse impacts to the user, planet, society, on the biodiversity from their products.

   (iv) The entities are responsible to educate and make aware their consumers and clients about their rights.

   From the above information, identify which core elements are related to Principle-9?

   A (i) & (iv)

   B (i), (ii) & (iii)

   C. (i), (iii) & (iv)

   D. (ii), (iii) & (iv) ***(2 Marks)***

3. *For conducting the statutory audit for the financial year 2024-25, CA P has been appointed by SEA Ltd., which is on the verge of becoming sick unit and has accumulated losses but the said losses are not equal to or exceeding its entire net worth as per last audited accounts for the year 2023-24. The audited accounts for the year 2021-22, 2022-23 were showing liability for payment of undisputed audit fees payable to predecessor auditors but were settled completely during last F.Y. 2023-24.*

In terms of Council General guidelines, 2008, Chapter 7, read with relevant proviso of the said guideline, which of the following statement is correct in respect of the aforesaid scenario?

A. *CA P shall be deemed to be guilty of professional misconduct as he has accepted the appointment as auditor of SEA Ltd. which had not paid undisputed audit fee for the year 2021-22 and 2022-23 of predecessor auditor, though settled in F.Y. 2023-24.*

B. *CA P would not be held guilty of professional misconduct as he has accepted the appointment as auditor of SEA Ltd. which is on the verge of becoming sick unit but whose accumulated losses are not equal to or exceeding its entire net worth as per last audited accounts for the year 2023-2024.*

C. *CA P would not be held guilty of professional misconduct as he has accepted the appointment as auditor of SEA Ltd., which is not a sick unit, whose accumulated losses are not equal to or exceeding its entire net worth as per last audited accounts for the year 2023-24 and there are no unpaid undisputed audit fees of predecessor auditors.*

D. *CA P shall be deemed to be guilty of professional misconduct as he has accepted the appointment as auditor of SEA Ltd. which is on the verge of becoming sick unit and it had not paid undisputed audit fee of predecessor auditor though settled in subsequent year.* ***(2 Marks)***

Integrated Case scenario - I

Tom Ltd. is in to the business of manufacturing and distributing of Toys for the past 25 years. Since inception, the company is having its own in-house dedicated internal audit department, having team of competent & qualified chartered accountants, headed by the Chief Internal Auditor, who with systematic and disciplined approach monitors various Internal Controls laid down at all levels of the functional areas. M/s Deva & Co., Chartered Accountants, have been newly appointed as the statutory auditors of the company for the F.Y. 2024-25.

- *M/s Deva & Co. want to use the work of the internal audit function in respect of testing of the operating effectiveness of controls and in respect of substantive procedures involving limited judgement. Due to time constraints and the extensive scope of statutory audit, M/s Deva & Co. want to take direct assistance of internal auditors in the areas of Physical verification of fixed assets, inventory*

verification and Goodwill impairment assessment. Accordingly, M/s Deva & Co. are in the process of determining in which areas and to what extent internal auditors can be used and in which areas statutory auditors shall not use internal auditors to provide direct assistance to perform procedures.

- *M/s Deva & Co. during the course of identifying and assessing the risks of material misstatement through understanding the entity and its environment and during the course of performing the audit procedures finds that the company is holding significant bank accounts and having branch operations in tax-haven jurisdictions for which there appears to be no clear business justification. Also, there were significant related party transactions which do not appear to be in the normal course of business.*
- *The audit report of Tom Ltd. for the last F.Y. 2023-24, audited by predecessor auditor, contained a qualification regarding non provision of doubtful debts. In F.Y. 2024-25 also, the company does not want to make provision for doubtful debts. The statutory auditors, M/s Deva & Co., in their auditor's report on the current period's financial statements want to report the same.*
- *Pursuant to the reporting requirements under CARO, 2020 in respect of the company's regularity in depositing undisputed arrears of outstanding statutory dues to the appropriate authorities, M/s Deva & Co. are considering to take a view on the following issue observed during the audit of Tom Ltd.*

The company in view of voluminous pay roll data consistently follows the method of making lump sum deposit of estimated amount of ESI collections and adjust the excess or deficit against next following months' deposit and the difference of the said amount always remains insignificant.

Based on the above facts, answer the following Questions (Q.Nos.4 to 7):

4. *M/s Deva & Co., in their auditor's report on the current period's financial statements wants to report that Tom Ltd. does not want to make provision for doubtful debts in F.Y. 2024-25. Identify the correct action to be resorted out of the following:*

   A. *As per SA 710, can modify their report for previous year's figures of financial statements since the auditor's report on the prior period, as previously issued, included a qualified opinion.*

B. As per SA 710, can modify their report for current year's figures of financial statements but need not refer to the previous year's modification.

C. As per SA 710, will have to modify their report for both current and previous year's figures of financial statements since the auditor's report on the prior period, as previously issued, included a qualified opinion.

D. As per SA 710, cannot modify their report but need to refer to the earlier year's modification. ***(2 Marks)***

5. *M/s Deva & Co. assigned the following procedures to internal auditors to provide direct assistance.*

(i) that relate to higher assessed risks of material misstatement where the judgment required in performing the relevant audit procedures or evaluating the audit evidence gathered is more than limited.

(ii) that relate to work with which the internal auditors have been involved and which will not be reported to management or those charged with governance by the internal audit function.

(iii) that relate to decisions the statutory auditor makes in accordance with SA.

From the above, identify the appropriate procedure(s) that can be assigned to internal auditors:

A. (i), (ii), (iii)

B. (ii) only

C. (ii) & (iii)

D. (iii) only ***(2 Marks)***

6. *Issue identified by Deva & Co., with regard to holding significant bank accounts and having branch operations in tax-haven jurisdictions and significant related party transactions is a fraud risk factor. What is the condition created by that fraud risk factor and what fraud does it result in?*

A. The risk factor creates a rationalization for the fraud and results in a misstatement due to fraudulent financial reporting.

B. The risk factor creates an incentive /pressure for the fraud and results in a misstatement due to misappropriation of assets.

C. *The risk factor creates a perceived opportunity for the fraud and results in a misstatement due to fraudulent financial reporting.*

D. *The risk factor creates a perceived opportunity for the fraud and results in a misstatement due to misappropriation of assets* ***(2 Marks)***

7. *Out of the following which view of M/s Deva & Co. is the correct one for complying the reporting requirement under CARO, 2020 as regards lump-sum deposit of estimated ESI collections and its adjustment against next months' deposit leaving the insignificant difference of ESI amount?*

A. *the company consistently follows the method of payment in respect of ESI collections and the difference between the total dues and lump sum deposit is not significant, as per materiality concept, it need not be considered that dues have not been regularly deposited and hence not to be reported.*

B. *depositing of ESI collections and the arrears of ESI dues cannot be considered as statutory dues under CARO, 2020 and hence not to be reported.*

C. *lumpsum deposit of estimated ESI amount and adjusting excess/deficit against following months' deposit shall be considered as dues payable and hence to be reported under CARO, 2020.*

D. *even though the difference between the total dues of ESI and lump sum deposit is not significant, as per materiality concept, it shall be considered that dues have not been regularly deposited and hence to be reported under CARO, 2020.* ***(2 Marks)***

Integrated Case Scenario - II

XYZ & Associates LLP, is a firm of Chartered Accountants, consisting of 12 partners has been allotted Central statutory audit of Maha Bank Limited, a scheduled commercial bank.

(i) *During the course of audit, you, as the Engagement partner, have been asked by the GM to calculate CRAR. For this purpose, you have referred to the Master circular on "Prudential Guidelines on Capital Adequacy and Market Discipline - New Capital Adequacy Framework (NCAF)", which provides the guidelines to be followed by banks for capital adequacy.*

You are informed that the basic approach of capital adequacy framework is that a bank should have sufficient capital to provide as table resource to

absorb any losses arising from the risks in its business. You have observed that Capital is divided into tiers according to the characteristics/qualities of each qualifying instrument. For supervisory purposes capital is split into two categories: Tier I and Tier II, representing different instruments quality as capital.

You have calculated Eligible total capital funds comprising -

1. *Tier I capital of Share capital ₹ 200 Crore, and disclosed Reserves ₹ 20 Crore.*
2. *Tier II capital of Other Reserves ₹ 30 Crore, and subordinated debt ₹ 20 Crore.*

The Risk weighted assets constitute ₹ 25 Crore, while Off-balance sheet items are ₹ 5 Crore.

(ii) As a part of the scope, the audit firm has been asked to find out the correct position of Demand and Time liabilities of Maha Bank.

DTL balance as on 30th September 2024 was ₹ 50,000 Crore which included the following-

		₹ Cr.
(i)	Paid up capital	27,000
(ii)	Reserves	1,650
(iii)	Credit balance in Profit & Loss account	1,210
(iv)	Loan taken from RBI	575
(v)	Refinance taken from EXIM bank and NHB	480
(vi)	Part amounts of recoveries from the borrowers in respect of debts considered bad and doubtful of recovery	125
(vii)	Net credit balance in branch adjustment accounts	105
(viii)	Interest accrued but not accounted for in books	90
(ix)	Margins held and kept in sundry deposits for funded facilities	80

(iii) During the FY 2024-25, XYZ & Associates LLP is appointed as Statutory auditors of APP Ltd., an NBFC, which was set up under the Companies Act, 2013 and got itself registered as non-banking financial company (NBFC) with

the Reserve Bank of India, fulfilling the required criteria. During the financial year ending 31st March 2025, the company commenced operations on a massive scale. You are informed that RBI has revised different facets of existing NBFC Classification and regulation like Capital requirements, Government standards, Prudential regulations, etc. based on four layers that are defined based on their size, activity and perceived riskiness.

During the FY 2024-25 APP Ltd. has accepted deposits of ₹900 Crore, while its asset size is ₹990 Crore. It has also undertaken following activities -

(i) Standalone Primary Dealers (SPDs)

(ii) Infrastructure Debt Fund

(iii) Housing Finance

(iv) Infrastructure Finance

The auditors are about to begin audit of APP Ltd. for which your audit team has been asked to prepare audit checklist.

(iv) XYZ & Associates LLP has been appointed as auditors of Heavy Electricals Corporation, a Public Sector Undertaking (PSU) during the FY 2024-25 by C & AG. It has been intimated about the intention of taking up planned performance audit with the scope and extent of audit including the constitution of audit team and the tentative time schedule, well before the commencement of Audit. The Engagement partner has asked the audit team to prepare an Audit Design Matrix (ADM) as it is a structured and highly focused approach for designing a performance audit study. The audit team has been informed that ADM should be prepared on the basis of information and knowledge obtained during the planning stage. Further, it is desirable to prepare ADM for each of the audit objectives.

On the basis of above details, you are required to answer the following questions. ***(Q. Nos. 8 to 11):***

8. Keeping in view of the information in para (iii), Identify under which layer APP Ltd. will be categorised -

A. Top Layer

B. Upper Layer

C. Middle Layer

D. Base Layer ***(2 Marks)***

9. *Based on facts given in para (i), you are required to arrive at the correct percentage of Capital Risk Adequacy Ratio for the Maha Bank Limited*

   A. 9%

   B. 10.80%

   C. 8.33%

   D. 10% ***(2 Marks)***

10. *Based on facts given in para (ii), you are required to Compute Demand and Time Liabilities (DTL) balance as on 30th September 2024.*

    A. ₹ 18,000 crore

    B ₹ 19,360 crore

    C. ₹ 18,790 crore

    D. ₹ 18,880 crore ***(2 Marks)***

11. *Keeping in view of the information in para (iv), in the case of Performance audit of PSU, which one of the following is not part of Audit Design Matrix (ADM)*

    A. Audit programme

    B. Evidence

    C. Audit Questions

    D Data collection and Analysis Method ***(2 Marks)***

Integrated Case Scenario - III

M/s HVM & Co. is a firm of Chartered Accountants based in Chennai. CA M, CA V and CA H are the partners of the firm. The firm is engaged in various assignments including Audits and its engagement partners who were handling their respective assignments for the financial year 2023-24 dealt with the following issues raised during and after the course of their respective audits.

M/s HVM & Co. are appointed as statutory auditors of AST Ltd. for the financial year 2023-24. CA V, the engagement partner while conducting audit of AST Ltd. was encountered with significant difficulties. He observed that there are not only inordinate delays by the management but lack of willingness by the authorised

personnel of the company in providing the required information necessary to perform audit procedures in making the assessment of AST Ltd.'s ability to continue as a going concern in view of material uncertainty related to it. CA V wants to communicate this and other circumstances as additional information in his report with those charged with the governance.

Financial statements of VED Ltd. for the year ended on 31st March 2024 were signed by CA H, the engagement partner on 15th May 2024. The AGM was decided to be held during the month of August 2024. On 17th May 2024 the company had received a communication from the Central Government that an amount of ₹8500 crore on account of incentives in respect of F.Y. 2021-22 which was kept in abeyance would be released to the company by 15th June 2024. Accordingly, the Board of Directors of the company agreed to amend the accounts and gave approval to include this amount in the financial statements of the company for the Financial Year ended on 31st March, 2024 and requested CA H to consider this matter.

During the course of audit of SIM Limited there arose doubts as to the reliability of written representation regarding the existence and value of certain Machineries. The management gave a certificate to prove the existence and value of Machinery as appearing in the books of account. The certificate from the Registered valuer shows a value which is inconsistent with the written representation of management.

HT institute of professional studies is a reputed educational institution providing various courses in the field of commerce and arts. The management of the institution is inclined towards imparting quality education to the students, therefore most of the faculties engaged by them are qualified professionals. CA M of M/s HVM & Co. is an alumnus of the institution, and he has joined as a visiting faculty for teaching financial management and accounting subject. The management of the HT institute of professional studios is highly satisfied with his teaching skills and level of knowledge he possesses. Due to his capabilities, the management offers CA M to take up the assignment of statutory audit of their institute for the financial year 2023-24.

Based on the above facts, answer the following Questions (Q. Nos. 12 to 15):

12. *Since there arose a doubt on the management representation and considering the responsibilities of M/s HVM & Co. to obtain written representations from management as per relevant Standard on Auditing,*

select the incorrect option from the following:

A. *Although written representations provide necessary audit evidence, they do not provide sufficient appropriate audit evidence on their own about any of the matters with which they deal.*

B. *The fact that management has provided reliable written representations affect the nature or extent of other audit evidence that the auditor obtains about the fulfilment of management's responsibilities, or about specific assertions.*

C. *In the case of identified inconsistencies between one or more written representations and audit evidence obtained from another source, the auditor may consider whether the risk assessment remains appropriate and, if not, revise the risk assessment and determine the nature, timing and extent of further audit procedures to respond to the assessed risks.*

D. *The auditor may have identified significant issues relating to the competence, integrity, ethical values or diligence of management, or about its commitment to or enforcement of these, but concluded that the written representations are nevertheless reliable. In such a case, this significant matter is documented in accordance with SA 230.* ***(2 Marks)***

13. *CA V, engagement partner, in the course of audit of AST Ltd. wants to communicate as he considers necessary to include additional information in the auditor's report in accordance with SA 260. Following are the circumstances for which communication with those charged with governance is required.*

Help CA V in getting identified incorrect circumstance from the below mentioned circumstances.

A. *when the auditor has concluded that there is an uncorrected material misstatement of the other information in accordance with SA 720.*

B. *when the auditor considers it necessary to include an Emphasis of Matter paragraph or Other Matter paragraph in accordance with SA 706 or is required to do so by other SAs.*

C. *when a material uncertainty related to going concern is reported in accordance with SA 570.*

D. *when there are no key audit matters to be communicated in accordance with SA 701.* ***(2 Marks)***

14. *In view of the Board of Directors of the VED Ltd. agreeing to include an amount of ₹ 8500 crore on account of incentives in respect of F.Y. 2021-22 in the financial statements of the company for the Financial Year ended on 31 March, 2024 by amending the accounts, CA H shall consider the following procedures. Identify the incorrect procedure from the following:*

A. *Carry out the audit procedures necessary in the circumstances on the amendment.*

B. *Extend those audit procedures to the date of new auditor's report which were designed to obtain sufficient appropriate audit evidence that all events occurring between the date of the financial statements and the date of the auditor's report that require adjustment of, or disclosure in, the financial statements have been identified.*

C. *Provide a new auditor's report on the amended financial statements. The new auditor's report shall not be dated earlier than the date of approval of the amended financial statements.*

D. *Modify the opinion as required by SA 705 and then provide the auditor's report.* ***(2 Marks)***

15. *In response to the management offer, guide CA M, whether to take up the assignment of statutory audit of HT institute of professional studies for the financial year 2023-24.*

Select the correct option in terms of professional code of conduct.

A *CA M can accept the assignment as his role as a visiting faculty will not interfere with the statutory audit functions.*

B. *CA M cannot accept the assignment as it violates clause (4) of Part I of the Second schedule to the Chartered Accountants Act, 1949.*

C. *CA M can accept the statutory assignment as he does not have any substantial interest in the HT Institute of professional studies.*

D. *CA M cannot accept the assignment as it violates clause (11) of Part I of the First schedule to the Chartered Accountants Act, 1949.* ***(2 Marks)***

Answers Key

1. **D**
2. **B**
3. **C**
4. **C**
5. **B**
6. **C**
7. **A**
8. **C**
9. **No correct option**
10. **D**
11. **A**
12. **B**
13. **D**
14. **D**
15. **B**

PART II: Descriptive Question

*Question No. **1** is compulsory.*

*Answer any **four** out of remaining five.*

Question 1

(a) *STA and Associates, Chartered Accountants, is an upcoming firm and its good professional services are hired by diverse clients for assurance services. With a standing of seven years in practice, the firm has clients in various industries like health care, education, hospitality, manufacturing and many more. With the increasing assignments, changes in regulatory compliances and appointment of new personnel, the senior partner CA T is concerned with the proper functioning of the system of Quality control within the firm. He wants to ensure that policies and procedures relating to the system of quality control of the firm are complied with properly. CA T suggests that a proper monitoring of quality control will be the right approach. Discuss the factors that are to be considered by CA T for monitoring the quality control of engagements to ensure that they comply with SQC.* ***(5 Marks)***

(b) *TEA Ltd., a public company is exclusively dealing in blending, processing, packing and selling of various brands of Tea. During the year 2023-24, it had availed credit facilities from Kuber Bank Ltd. The bank had sanctioned a working capital cash credit facility on 21st April, 2023, for a limit of ₹ 4.50 crore and Letter of Credit facility for a limit of ₹ 2.50 crores aggregating to ₹7 crore on the basis of the hypothecation of stocks and book debts of the company against which utilisation of the limits by TEA Ltd. during the year in the case of cash credit facility was ₹ 3.90 crore and of Letter of credit was ₹ 1.05 crore aggregating to ₹ 4.95 crore. During the year under review, the company had faced sluggish market conditions for its various brands of teas due to its inability to cater to the requirements of its customers' expectations. It faced severe cash crunch and found it difficult to manage working capital stress. In order that the bank does not reduce its drawing power of working capital limit, the management decided to peg up the values of the stock statements it submitted to bank by a hike of 15% during the quarters ended June 2023, September 2023 and December 2023. When an engagement partner leading the audit team happened to review the stock statements submitted to the bank, it was noticed that the stock figures declared were not in agreement with book figures and had been hiked as above. The matter*

was taken up with CFO of the company who contended that auditors need not examine and compare the quarterly statements with the books of accounts as the utilisation of working capital limits is less than the specified sanctioned limit as on 31st March 2024 and hence this case is beyond the scope of reporting under CARO, 2020. Is the contention of CFO correct? Analyse the issue and discuss the reporting responsibilities of the auditor.

(5 Marks)

(c) *Best Textiles Ltd. makes an investment in Prime Textiles Ltd. with a view to expand its business, capture more market share and to earn higher returns. While forming an agreement for the same, Best Textiles Ltd. puts a clause in the contract that Prime Textiles Ltd. will get its financial statements reviewed on a quarterly basis for a period of 2 years from the commencement of the contract i.e. 01-04-2023. To comply with the provisions of the contract the management of Prime Textiles Ltd. appoints CA Sumit to conduct the quarterly review of financial statements for the first quarter of the financial year 2023-24. Discuss from the practitioner's point of view, the preconditions for accepting a review engagement in accordance with the relevant SRE.*

(4 Marks)

Answer

(a) Factors considered for Monitoring Quality Control Engagements: As per SQC 1, "Quality Control for Firms that Perform Audits and Reviews of Historical Financial Information, and Other Assurance and Related Services Engagements," factors to be considered by CA T for monitoring the quality control of engagements to ensure that they comply with SQC:

- Deciding whether the quality control system of the firm has been appropriately designed and effectively implemented.
- Examining whether new developments in the professional standards, legal, and regulatory requirements have been reflected in the quality control policies.
- Conducting monitoring by entrusting responsibility of monitoring process to a partner or other persons with sufficient and appropriate experience and authority in the firm.

- Dealing with complaints and allegations against the firm or any employees of it of noncompliance with professional standards or appropriate regulatory requirements by a person within or outside the firm.
- Taking appropriate remedial actions against the personnel who did not conform to quality control policies.
- Taking action when deficiencies in the design or operation of the firm's quality control policies and procedures, or non-compliance with the firm's system of quality control are identified.

(b) Reporting Responsibility of the auditor as per para 3(ii)(b) of CARO, 2020: As per para 3(ii) (b) of CARO, 2020, the auditor is required to report whether during any point of time of the year, the company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets; whether the quarterly returns or statements filed by the company with such banks or financial institutions are in agreement with the books of account of the Company, if not, give details.

The above clause requires the auditor to comment on whether during any point of time of the year, the company has been sanctioned working capital limits in excess of ₹ 5 crores in aggregate. Tea Ltd. has been sanctioned a working capital cash credit facilities for a limit of ₹4.50 crore and for Letter of Credit facility for a limit of ₹2.50 crores aggregating working capital facilities/limit of ₹ 7 crores which is apparently in excess of ₹ 5 crores. based on the security of current assets i.e. Hypothecation of stocks and book debts of the company.

In addition, the auditor is required to ensure that whether the quarterly returns filed by the Tea Ltd. company with Kuber Bank Ltd. are in agreement with the book of accounts of the company.

In the instant situation, management of Tea Ltd. submitted its Stock Statement by a hike of 15% during the quarter ended June 2023, September 2023 and December 2023, to peg up the values of the stock due to fear of reduction in the drawing power of working capital limit. The auditor noticed that the stock figures declared by Tea Ltd. were not in agreement with the book figures and had been hiked as above.

Thus, the contention of CFO is not correct regarding applicability of CARO, 2020 as the working capital is more than specified sanctioned limit as on 31st March, 2024. Hence the auditor is required to report the same in accordance with Clause (ii) (b) of Paragraph 3 of CARO, 2020.

(c) Preconditions for Accepting Review Engagement As per SRE: As per SRE 2400, Engagement to Review Historical Financial Statements, the preconditions for accepting a review engagement are:

(1) Determine whether the financial reporting framework applied in the preparation of the financial statements is acceptable including, in the case of special purpose financial statements, obtaining an understanding of the purpose for which the financial statements are prepared and of the intended users, and;

(2) Obtain the agreement of management that it acknowledges and understands its responsibilities:

(i) For the preparation of the financial statements in accordance with the applicable financial reporting framework, including, where relevant, their fair presentation.

(ii) For such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; and

To provide the practitioner with: -

(a) Access to all information of which management is aware that is relevant to the preparation of the financial statements, such as records, documentation and other matters;

(b) Additional information that the practitioner may request from management for the purpose of the review; and

(c) Unrestricted access to persons within the entity from whom the practitioner determines it necessary to obtain evidence.

Question 2

(a) PN and Associates are appointed as the Statutory Auditors of The Iron Company Ltd. The Central Government holds 65% of the paid-up share capital in this company. The appointment letter of the company gave a very

limited time to PN and Associates for accepting the audit. CA N, the engagement partner communicated with the previous auditor but due to lack of time he had to give acceptance for the audit assignment before receiving reply from the previous auditor. Hence CA N gave a conditional acceptance of the appointment and commenced the audit. Discuss with reference to the Chartered Accountants Act, 1949 and the schedules thereunder, whether CA N has complied with same. ***(5 Marks)***

(b) *UV Limited is a large multinational company with a global outreach. Due to the voluminous business, it has an in-house internal audit function to monitor the day-to-day operations of the company. LK and associates, Chartered Accountants have been engaged to conduct the statutory audit for the financial year 2023-24. Since the company has large scale operations and there is a limited time to perform statutory audit, CA L, the engagement partner decides to take direct assistance from the internal auditors for certain areas of audit. CA L assigns the audit documentation part to one of his audit assistants and instructs him to do the requisite documentation of working papers. Further, he tells his audit assistant not to document the working papers prepared by the internal auditors who directly assisted them, as it does not form part of statutory audit.*

Is CA L right in excluding the working papers prepared by internal auditor from the audit documentation? Guide him as to the matters to be included in the Audit Documentation in this scenario. ***(5 Marks)***

(c) *TP Limited is a medium-sized company involved in manufacturing and retailing of home appliances to cater to the daily needs of a wide range of consumers. The company has in place proper cyber security policies, procedures and framework. Regular assessment of the same is also carried out by the management. The company faced a cyber attack incident of email phishing scam which resulted in inappropriate disbursals to various individuals posing as vendors arid caused a substantial financial loss. This incident highlighted the need for strong and updated internal controls to mitigate the cyber risks. As the statutory auditor of the company, how will you evaluate the controls around the vendor setup and modifications.*

(4 Marks)

Answer

(a) As per Clause (8) of Part I of First Schedule to the Chartered Accountants Act, 1949, a Chartered Accountant in practice is deemed to be guilty of professional misconduct if he accepts a position as auditor previously held by another chartered accountant or a certified auditor who has been issued certificate under the Restricted Certificate Rules, 1932 without first communicating with him in writing.

Although the mandatory requirement of communication with previous auditor being Chartered Accountant applies, in uniform manner, to audits of both government and Non-Government entities, yet in the case of audit of government Companies/ banks or their branches, if the appointment is made well in time to enable the obligation cast under this clause to be fulfilled, such obligation must be complied with before accepting the audit. However, in case the time schedule given for the assignment is such that there is no time to wait for the reply from the outgoing auditor, the incoming auditor may give a conditional acceptance of the appointment and commence the work which needs to be attended to immediately after he has sent the communication to the previous auditor in accordance with this clause. In his acceptance letter, he should make clear to the client that his acceptance of appointment is subject to professional objections, if any, from the previous auditors and that he will decide about his final acceptance after taking into account the information received from the previous auditor.

In the given case, PN and Associates are appointed as the Statutory Auditors of The Iron Company Ltd. which is a government company as Central Government holds 65% of the paid-up share capital of the company and CA N has given a conditional acceptance of the appointment and commenced the audit. In view of above, it can be concluded that CA N has complied with the provisions of the Chartered Accountants Act, 1949 and the Schedules thereunder.

(b) As per SA 610, Using the Work of an Internal Auditor, if the external auditor uses internal auditors to provide direct assistance on the audit, the external auditor shall include in the audit documentation:

(i) The evaluation of the existence and significance of threats to the objectivity of the internal auditors, and the level of competence of the internal auditors used to provide direct assistance.

(ii) The basis for the decision regarding the nature and extent of the work performed by the internal auditors.

(iii) Who reviewed the work performed and the date and extent of that review in accordance with SA 230 Audit Documentation.

(iv) The written agreements obtained from an authorized representative of the entity and the internal auditors; and

(v) The working papers prepared by the internal auditors who provided direct assistance on the audit engagement.

In the given situation, CA L the engagement partner decided to take direct assistance from the internal auditor for certain areas of audit and he assigned his audit assistant to do the requisite documentation of working papers. However, he instructed them not to document the working papers prepared by the internal auditors who directly assisted them as those documents do not form part of statutory audit.

In view of the above, the auditor is required to document the working papers prepared by the internal auditor in case of direct assistance, thus, contention of CA. L in excluding the working papers prepared by internal auditor from the audit documentation is not correct.

(c) Evaluation of the controls around the vendor setup and modifications: Certain cyber schemes exist in which changes to bank account or other critical vendor information are requested through email phishing scams by individuals purporting to be authorized vendor personnel.

Entities have inappropriately dispersed funds to these individuals and therefore inappropriately reduced the liability owed to the actual vendor, resulting in an impact to the financial statements (i.e., loss of cash and related expense)

- Who is responsible for making changes to vendor master data? Is the process centralized or decentralized?

- Are other communication channels, such as email, used to request changes to vendor master data? (If yes, consider if multi-factor authentication is enabled for email).
- What systems and technologies are used to initiate, authorize and process requests related to changes to vendor master data?
- Are authentication protocols defined to verify modifications to vendor master data (e.g., call back procedures, multi-factor authentication)?

Question 3

(a) The Director (Discipline) of The Institute of Chartered Accountants of India had received the matters in respect of cases of alleged misconduct against CA H, the proprietor of M/s HA & Co, Chartered Accountants and was found guilty of professional misconduct under Clause (4) of Part I of the Second Schedule of the Chartered Accountants Act, 1949 and Clause (11) of Part I of the First Schedule of the Chartered Accountants Act, and penalty was imposed by an order passed against him dated 15th June, 2024.

Against the said order, CA H preferred an appeal with the Appellate Authority on 5th August, 2024 by submitting the statement of appeal along with application form of appeal. During such appellate proceedings, it was discovered that the said statement of appeal contained some facts which were false to which CA H admitted it to be false and apologized for it.

Based on the above stated scenario of the matters placed before The Director (Discipline) of ICAI against CA H, you are required to answer the following:

(i) Comment on violation of provisions of the Chartered Accountants Act, 1949 and its schedules thereto by CA H.

(ii) Before which authority, the matters of CA H would have been placed and what maximum punishment could have been imposed on him by the said authority in accordance with the Chartered Accountants Act, 1949?

(iii) Has CA H filed an appeal with the Appellate authority against the order within the time limit prescribed under the said Act? ***(5 Marks)***

(b) MK Electronics Limited is a listed company with eight subsidiaries spread across various states. The financial statements of MK Electronics Ltd. are audited by CA Amar, the principal auditor. CA Amar relies on the work of other auditors for auditing the financial statements of subsidiaries. You are

required to:

(i) Explain the procedures that CA Amar will perform to obtain sufficient appropriate audit evidence to ensure that the work of other auditors is adequate for his purpose.

(ii) Explain how he will document the working papers with respect to the subsidiaries audited by other auditors. What matters need to be documented if the other auditor's report is modified? ***(5 Marks)***

(c) CEP Ltd., a manufacturing company, has a diverse range of suppliers for raw materials and components. Several new suppliers have been added during the past year. It is the responsibility of the Accounts payable department for managing the Suppliers' Ledger, processing invoices and making payments. The management of CEP Ltd. has experienced unexpected financial discrepancies, and they suspect fraudulent activities within the Suppliers' Ledger. The management assigns CA K to conduct a detailed investigation to identify any potential fraud that might have occurred. Discuss the ways in which frauds can be committed through Suppliers' Ledger. Explain the procedures that CA K will adopt to investigate the potential fraud. ***(4 Marks)***

Answer

(a) (i) **As per Clause (3) of Part II of the Second Schedule to the Chartered Accountants Act, 1949,** a member of the Institute, whether in practice or not, shall be deemed to be guilty of professional misconduct if he includes in any information, statement, return or form to be submitted to the Institute, Council or any of its committees, Director (Discipline), Board of Discipline, Disciplinary Committee, Quality Review Board or the Appellate Authority any particulars knowing them to be false.

In the instant case, CA H preferred an appeal with the Appellate Authority on 05th August,2024 by submitting the statement of appeal along with application form for the same. However, it was discovered that the said statement of appeal contained some facts which were false, and CA H admitted it to be false.

Therefore, CA H would be held guilty of professional misconduct under Clause (3) of Part II of the Second Schedule to the Chartered Accountants Act, 1949.

(ii) In case where CA H was found guilty of professional misconduct under Clause (4) of Part I of the Second Schedule and Clause 11 of Part I of the First Schedule of the Chartered Accountants Act, 1949: the matter would have been placed before Disciplinary Committee as it's allied to both the Schedule because as per the Chartered Accountant Act, 1949 if the matter is allied to the Second Schedule or Both it is referred to the Disciplinary Committee. The maximum punishment that the Disciplinary Committee could have imposed would be:

(i) Reprimand the member

(ii) Remove the name of the member from the Register permanently or for such period as it may think fit.

(iii) Impose such a fine which may extend to rupees five lakhs.

(iii) Timeline for Filing an Appeal: Any member aggrieved by an order of the Board of Discipline or the Disciplinary Committee can prefer an appeal within 90 days. In the given case, CA. H has preferred an appeal with the appellate authority on 5th August,2024 against the order passed on 15th June 2024. From 15th June to 5th August, 90 days' timeline has not been lapsed. Thus, it can be said that CA H has filed an appeal within the time limit prescribed under the said Act.

(b) (i) The principal auditor CA. Amar should perform procedures to obtain sufficient appropriate audit evidence that the work of the other auditor is adequate for the principal auditor's purposes. When using the work of another auditor, CA. Amar the principal auditor should ordinarily perform the procedures given below:

(1) advise the other auditor regarding use of his (other auditor) work and report and make sufficient arrangements for co-ordination at the planning stage of the audit. The principal auditor would inform the other auditor of matters such as areas requiring special consideration, procedures for the identification of inter-component transactions that may require disclosure and the time-table for completion of audit;

(2) advise the other auditor of the significant accounting, auditing and reporting requirements and obtain representation as to compliance with them.

(ii) CA Amar should document in his working papers, the components whose financial information audited by other auditors. CA Amar should also document the procedures performed and the conclusions reached. For example, the auditor would document the results of discussions with the other auditor and review of the written summary of the other auditor's procedures.

Where the other auditor's report is other than unmodified, the principal auditor should also document how he has dealt with the qualifications or adverse remarks contained in the other auditor's report in framing his own report.

(c) Ways in which fraud can be committed through suppliers' ledger are-

(i) Adjusting fictitious or duplicate invoices as purchases in the accounts of suppliers and subsequently misappropriating the amounts when payments are made to the suppliers in respect of these invoices.

(ii) Suppressing the credit notes issued by suppliers and withdrawing the corresponding amounts not claimed by them.

(iii) Withdrawing amounts unclaimed by suppliers, for one reason or another by showing that the same has been paid to them.

(iv) Accepting purchase invoices at prices considerably higher than their market prices and collecting the excess amount paid in cash, from the suppliers.

CA K will ensure that the following procedures are adopted to investigate potential fraud:

- that the Purchase Journal should be vouched by reference to entries in the Goods Inward Book and the suppliers' invoices to confirm that amounts credited to the accounts of suppliers were in respect of goods, which were duly received, and the suppliers' accounts had been credited correctly.

- All the suppliers should be requested to furnish statements of their accounts to see whether or not any balance is outstanding or due so as to confirm that allowances and rebates given by them have been correctly adjusted and were duly authorized by the authorized person/ officer.
- Examine the system of internal control in relation to purchase orders issued and identify possibilities of collusion with suppliers.

Question 4

(a) *M/s JPP & Associates have been appointed as auditors of ABC Ltd., an ISO certified listed Indian multinational Jewellery Company having headquarters at Mumbai for F.Y. 2024-25. The company has more than 100 showrooms in India and 60 showrooms across the globe. During the course of audit, from the matters communicated with those charged with governance the auditors determined certain matters as most significant in the audit of the financial statements of the current period which are related to the company's offence of money laundering against which Enforcement Directorate has enforced the stringent provisions of the Prevention of Money Laundering Act (PMLA). Public disclosure of this specific matter by the auditor is not precluded by authorities under PMLA since the same may not prejudice investigation which has already been officially completed and settled on 30th September 2024. What would be the considerations of M/s JPP & Associates in determining the matter requiring significant attention in performing the audit? State the introductory language that JPP & Associates would use while communicating such matter in their audit report as per relevant Standard on Auditing.*

(5 Marks)

(b) *CA Rajni is appointed as the statutory auditor of STS Ltd. for the financial year 2023-24 for auditing complete set of financial statements. The company has also assigned the audit of Property, Plant and Equipment to CA Rajni as a separate engagement for the financial year 2023-24. While drafting the audit report of complete set of financial statements, CA Rajni decides to give an adverse opinion based on the audit observations noted during the course of audit. At the same time, she is also finalizing the audit report of the separate engagement where she wants to give an unmodified opinion.*

Comment with reference to the relevant Standard on Auditing regarding the opinion to be given by CA Rajni in audit report of separate engagement of audit of Property, Plant and Equipment. ***(5 Marks)***

(c) *ESG disclosure and reporting is mandatory for top 1000 listed companies in form of Business Responsibility and Sustainability Reports (BRSR). As reporting of sustainability information becomes the trend being observed globally, the demand for independent assurance of sustainability information is anticipated to grow as entities around the globe look to enhance the integrity of their sustainability reporting. In developing the understanding of an entity, the auditor should include the consideration of climate - related risks and how these risks may be relevant to the audits. Many investors and stakeholders are seeking information from auditor's report about how climate-related risks are addressed in the audit.*

In the context of the above, describe the role of auditor in an audit of financial statements of the company. ***(4 Marks)***

Answer

(a) **Communicating Key Audit Matters in the Independent Auditor's Report:** As per SA 701, "Communicating Key Audit Matters in the Independent Auditor's Report", the auditor shall determine, from the matters communicated with those charged with governance, those matters that required significant auditor attention in performing the audit. In making this determination, M/s JPP & Associates shall take into account the following:

(i) Areas of higher assessed risk of material misstatement, or significant risks identified in accordance with SA 315

(ii) Significant auditor judgments relating to areas in the financial statements that involved significant management judgment, including accounting estimates that have been identified as having high estimation uncertainty.

(iii) The effect on the audit of significant events or transactions that occurred during the period.

In view of the above, the matter related to the company's offence of money laundering against which Enforcement Directorate has enforced the stringent provisions of the Prevention of Money Laundering Act (PMLA) is a key audit matter, and the same shall be communicated in the auditor's report KAM.

The introductory language that M/s JPP & Associates would use while communicating matters in this section of the auditor's report shall state that:

(i) Key audit matters are those matters that, in the auditor's professional judgment, were of most significance in the audit of the financial statements [of the current period]; and.

(ii) These matters were addressed in the context of the audit of the financial statements as a whole, and in forming the auditor's opinion thereon, and the auditor does not provide a separate opinion on these matters.

(b) Audit Report of Separate Engagement of Audit of PPE: As per SA 805, "Special Considerations—Audits of Single Financial Statements and Specific Elements, Accounts or Items of a Financial Statement", if the auditor undertakes an engagement to report on a single financial statement or on a specific element of a financial statement in conjunction with an engagement to audit the entity's complete set of financial statements, the auditor shall express a separate opinion for each engagement. If the auditor concludes that it is necessary to express an adverse opinion or disclaim an opinion on the entity's complete set of financial statements as a whole but, in the context of a separate audit of a specific element that is included in those financial statements, the auditor nevertheless considers it appropriate to express an unmodified opinion on that element, the auditor shall only do so if:

(i) The auditor is not prohibited by law or regulation from doing so;

(ii) That opinion is expressed in an auditor's report that is not published together with the auditor's report containing the adverse opinion or disclaimer of opinion; and

(iii) The specific element does not constitute a major portion of the entity's complete set of financial statements.

In the given situation, CA Rajni is statutory auditor of STS Ltd. for the financial year 2023-24 for the complete set of financial statements and has also assigned the audit of PPE as a separate engagement for the same financial year. Considering the same, it can be concluded that CA Rajni can give separate opinion on separate engagement i.e. adverse opinion for

statutory audit and unmodified opinion for separate engagement provided the above conditions are satisfied.

(c) Role of Auditor - Consideration of climate-related risks in an audit of financial statements:

- The role of the auditor is to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, to report whether the financial statements are prepared and presented fairly, in all material respects, in accordance with the applicable financial reporting framework.
- The auditor should include the consideration of climate-related risks and how these risks may be relevant to the audits.
- The auditor's reports must follow the requirements of applicable auditing standards.
- The auditor's report provides information about auditor's responsibilities and an understanding of the matters of most significance in an audit and how they were addressed.
- The auditor in his audit report may include Emphasis of Matter paragraph to draw attention to disclosures that are of fundamental importance to users' understanding of the financial statements.
- The auditor should determine whether the entity has appropriately disclosed relevant climate-related information in the financial statements in accordance with the applicable FRF.
- The auditor should read the other information for consistency with information disclosed in the financial statements and information that may be publicly communicated to stakeholders outside the financial statements as required under ISA 720 and SA 720, The Auditor's Responsibilities Relating to Other Information.

Question 5

(a) PQR Ltd. is engaged in the business of construction and real estate having various projects across the states. M/s ST & Co., Chartered Accountants have been appointed as statutory auditors. CA T, an engagement partner, who leads engagement team, during preliminary verification, identified a few agreements entered by PQR Ltd. for the provision of services to some parties

under terms and conditions that are outside PQR Ltd.'s normal course of business, suggestive of the indications about existence of related party transactions that management has not previously disclosed to the auditor. Highlight the aspects that M/s ST & Co., shall consider on identification of previously undisclosed related party transactions with reference to the relevant standard on auditing. ***(5 Marks)***

(b) PQ Pharma Limited, a company dealing in research and development and manufacture of pharmaceuticals is coming up with an Initial Public Offer (IPO). PQ Pharma Ltd. has prepared the prospective financial statements for the next 3 years and included the same in the prospectus as part of its IPO. The prospective financial information includes projected balance sheets, statement of profit and loss and cash flow statements, which are prepared on the basis of several key assumptions like favourable government regulations, planned research and development of more effective medicines at reasonable prices, etc.

The company approaches CA Z to provide assurance on the prospective financial information and to assess the presentation and disclosure of the prospective financial information included in the IPO. List out the aspects that must be considered for making such assessment. ***(5 Marks)***

(c) CA Gosh, newly qualified Chartered Accountant, joins a reputed CA firm as a partner. He is full of confidence about his qualification and feels he possesses complete knowledge of his profession for the future assignments. The senior partner of the firm calls a meeting to brief the new partner and other newly appointed audit assistants in his firm regarding the ethics that need to be kept in mind while carrying out assurance and non-assurance services. One of the areas he touches upon is the professional competence and due care that a Chartered Accountant needs to possess all the time. Enumerate the matters envisaged in subsection 113 of Revised Code of Ethics that needs to be complied with by a professional accountant with respect to Professional Competence and Due Care. ***(4 Marks)***

Answer

(a) As per SA 550, "Related Parties," M/s ST & Co. should take the following steps upon identifying previously undisclosed related party transactions:

- Verify whether the circumstances substantiate the existence of such transactions.

- Ensure timely communication of the relevant information to all members of the engagement team.
- Confirm that appropriate substantive audit procedures have been conducted.
- Inquire why the entity's controls failed to identify or disclose the related party relationships or transactions.
- Carry out substantive audit procedures specifically for these newly identified related parties or significant related party transactions.
- Reassess risks associated with other related parties.
- Request management to identify all transactions involving the newly identified related parties.
- If it appears that management intentionally did not disclose such transactions, evaluate the implications for the audit.

(b) When assessing the presentation and disclosure of the prospective financial information and the underlying assumptions, in addition to the specific requirements of any relevant statutes, regulations as well as the relevant professional pronouncements, it needs to be considered whether: -

(i) the presentation of prospective financial information is informative and not misleading

(ii) the accounting policies are clearly disclosed in the notes to the prospective financial information

(iii) the assumptions are adequately disclosed in the notes to the prospective financial information. It needs to be clear whether assumptions represent management's best-estimates or are hypothetical and, when assumptions are made in areas that are material and are subject to a high degree of uncertainty, this uncertainty and the resulting sensitivity of results needs to be adequately disclosed

(iv) the date as of which the prospective financial information was prepared is disclosed. Management needs to confirm that the assumptions are appropriate as of this date, even though the underlying information may have been accumulated over a period of time

(v) the basis of establishing points in a range is clearly indicated and the range is not selected in a biased or misleading manner when results shown in the prospective financial information are expressed in terms of a range and

(vi) if there is any change in the accounting policy of the entity from that disclosed in the most recent historical financial statements, whether reason for the change and the effect of such change on the prospective financial information has been adequately disclosed.

(c) Professional Competence and Due Care – Subsection 113

1. A professional accountant shall comply with the principle of professional competence and due care, which requires an accountant to:

   (a) Attain and maintain professional knowledge and skill at the level required to ensure that a client or employing organization receives competent professional service, based on current technical and professional standards and relevant legislation; and

   (b) act diligently in accordance with applicable technical and professional standards.

2. Serving clients and employing organizations with professional competence requires the exercise of sound judgment in applying professional knowledge and skill when undertaking professional activities.

3. Maintaining professional competence requires a continuing awareness and an understanding of relevant technical, professional and business developments.

4. Continuing professional development enables a professional accountant to develop and maintain the capabilities to perform competently within the professional environment.

5. Diligence encompasses the responsibility to act in accordance with the requirements of an assignment, carefully, thoroughly and on a timely basis.

6. In complying with the principle of professional competence and due care, a professional accountant shall take reasonable steps to ensure

that those working in a professional capacity under the accountant's authority have appropriate training and supervision.

Where appropriate, a professional accountant shall make clients, the employing organization, or other users of the accountant's professional services or activities, aware of the limitations inherent in the services or activities.

Question 6

(a) CA M is appointed as the Statutory auditor of Fincorp Limited for the financial year 2023-24. This company is an NBFC covered under Non-Banking Financial Company - Systemically Important Non-Deposit-taking company. To comply with the RBI Prudential Norms for asset classification, Fincorp Limited has made the following provisioning in respect of loans, advances and other credit facilities as on 31st March, 2024:

Particulars	***Balance outstanding as on 31st March, 2024***	***Provision for the Financial year 2023-24***
Standard Assets	*₹ 200 crores*	*NIL*
Sub-standard Assets	*₹ 15 crores (Fully secured)*	*₹ 1.50 crores*
Doubtful Assets (one to three years)	*₹ 8 crores (Fully secured)*	*₹ 2.00 crores*
Loss Assets	*₹ 2 crores*	*₹ 2.00 crores*
Total Provision for NPA		*₹ 5.50 crores*

CA M is of the opinion that the company has not done the provisioning correctly. Is the opinion of CA M correct? In this context, explain the provisioning requirements applicable to this NBFC and comment on the provision for NPA made by the company. ***(5 Marks)***

(b) ATP Limited, a large manufacturing company, is planning to invest funds in RS Ltd. with a future vision of taking over the company at a later stage. On studying the financial statements of RS Ltd, the investing company wants to get detailed status regarding the Accounts receivable and Inventory appearing in the Balance Sheet. ATP Limited approached you to perform agreed upon procedures for the two elements of financial statement of RS Ltd. and submit a detailed report for the same. As the engagement partner,

you are responsible for drafting the engagement letter. Enumerate the key matters that need to be agreed to form a clear understanding regarding agreed upon procedures and the conditions of the engagement. What matters will you include in the engagement letter addressed to the management of ATP Ltd? ***(5 Marks)***

(c) *CA F is the Chief Financial Officer of ABC General Insurance Limited. Being in insurance business, the company gets majority of its clients through their agency contracts. CA F has the practice of releasing the commission payments on the condition that he gets 20% of the commission amount from the agent. Comment with reference to the Chartered Accountants Act, 1949 and schedules thereto.* ***(4 Marks)***

Or

(c) *The Government of India launched a rural development scheme to undertake projects aimed at improving infrastructure, healthcare and education in the rural areas. To execute the projects the Central Government provided funds to the state government. The Comptroller and Auditor General of India wants to ensure that the funds provided to the State Governments have been utilized for the identified purposes and that public interest has not been harmed. You are appointed by C & AG to conduct the propriety audit and report on the funds utilized by the state government for building hospitals, school buildings and roads and submit a report on the wastefulness in public administration and cases of improper, avoidable and infructuous expenditures, if any, has been done. What functions as an auditor will be performed by you?*

Answer

(a) Provisioning Requirements: The provisioning requirement in respect of loans, advances and other credit facilities including bills purchased and discounted shall be as under:

Categories of Non-Performing Assets:	**Provision required (%)**
Standard Assets: Every NBFC (covered under Non-Banking Financial Company - Systemically Important Non-Deposit taking Company and Deposit taking Company (Reserve Bank) Directions, 2016) shall make	**0.40%**

provisions for standard assets at 0.40 per cent by the end of March 2018 and thereafter, of the outstanding, which shall not be reckoned for arriving at net NPAs.	
Substandard Assets	**10%**
Doubtful Assets (upto 1 to 3 Years)	**30%**
Loss Assets	**100%**

In the given situation, CA M is appointed as Statutory Auditor of Fincorp Limited, an NBFC covered under NBFC (covered under Non-Banking Financial Company - Systemically Important Non-Deposit taking Company and Deposit taking Company (Reserve Bank) Directions, 2016) for the financial year 2023-24. The Fincorp Limited has made the following provisioning in respect of loans, advances and other credit facilities as under:

Categories of Non-Performing Assets:	**Balance outstanding as on 31st March, 2024**	**Provision required (%)**	**Provision required (in ₹)**	**Provision made by the Co.**
Standard Assets	₹ 200 crores	0.40%	₹ 80 lakhs	NIL
Substandard Assets	₹ 15 crores	10%	₹ 1.5 crores	₹ 1.5 crores
Doubtful Assets (upto 1 to 3 Years)	₹ 8 crores	30%	₹ 2.4 crores	₹ 2 crores
Loss Assets	₹ 2 crores	100%	₹ 2 crores	₹ 2 crores
		Total Provision for NPA	₹ 6.7 crores	₹ 5.5 crores

From the above, it can be concluded that provisioning for Substandard Assets and Loss Assets is in accordance with the prescribed RBI Prudential Norms whereas in case of Standard Assets and Doubtful Assets it is not as per provisioning norms. Thus, CA M is correct in his opinion that the company has not done the provisioning correctly.

(b) As per SRS 4400 "Engagements to Perform Agreed-upon Procedures regarding Financial Information", matter to be agreed and would be included in the engagement letter are given as under:

A. Matters to be agreed include the following:

(a) Nature of the engagement including the fact that the procedures performed will not constitute an audit or a review and that accordingly no assurance will be expressed.

(b) Stated purpose for the engagement.

(c) Identification of the financial information to which the agreed-upon procedures will be applied.

(d) Nature, timing and extent of the specific procedures to be applied.

(e) Limitations on distribution of the report of factual findings. When such limitation would be in conflict with the legal requirements, if any, the auditor would not accept the engagement.

B. Matters that would be included in the engagement letter include:

- A listing of the procedures to be performed as agreed upon between the parties.
- A statement that the distribution of the report of factual findings would be restricted to the specified parties who have agreed to the procedures to be performed.

(c) According to Clause (2) of Part II of First Schedule of the Chartered Accountant Act, 1949, a member of the Institute (other than a member in practice) shall be guilty of professional misconduct, if he being an employee of any company, firm or person accepts or agrees to accept any part of fee, profits or gains from a lawyer, a chartered accountant or broker engaged by such company, firm or person or agent or customer of such company, firm or person by way of commission or gratification.

The objective is that when a member is in employment, he must maintain high level of ethics and should not accept any other amount from anyone for which he is not entitled from employer under contractual agreement of service.

In the present case, CA F is the Chief Financial Officer of ABC General Insurance Limited. He releases the commission payments on the condition that he gets 20% of the commission amount from agent as majority of the clients are through their agency only.

Therefore, CA F is guilty of professional misconduct by virtue of Clause (2) of Part II of First Schedule of the Chartered Accountant Act, 1949.

Or

(c) Function of Auditor in case of Propriety Audit: The functions of Auditor in the context of Propriety Audit may be specified as under as to:

- see that all expenditure incurred are properly planned.
- see that the size and channels of expenditure are rightful and expected to give maximum results.
- appraise whether those expenditure are likely to give optimum result.
- see that any substitute plan of action can bring about an improvement on current operation and as well as return from capital expenditure.
- examine the actions and decisions of the management to see that they are conductive to public interests and that they meet the standards of conduct.